

What's News

Business & Finance

- ◆ **Major U.S. stock indexes** rose, with the S&P 500 and Nasdaq hitting records on respective gains of 0.6% and 0.5%. The Dow industrials advanced 0.5%. **A1**
- ◆ **Hackers used** a Chinese artificial-intelligence agent to attack South Korea's big-set banks and steal the personal information of 68,000 people. **B1**
- ◆ **The bonus pool** for securities-industry employees in New York state is expected to increase this year as Wall Street appears on track to rack up \$90 billion in profits. **B1**
- ◆ **Google and Constellation Energy** agreed to a sweeping, 20-year nuclear-power deal that would boost output at 11 existing reactors. **B1**
- ◆ **Amazon.com's** Prime Video will be the new home for the Emmy Awards starting in 2027, as another Hollywood gala abandons broadcast television. **B1**
- ◆ **Medical-device maker** Becton Dickinson signed a deal with the Trump administration to invest \$19 billion in the U.S. in exchange for relief from future tariffs. **B2**
- ◆ **Uber will expand** its food-delivery service with the \$2.3 billion acquisition of ezCater, giving the buyer access to a network used primarily in workplaces. **B2**
- ◆ **L'Oréal engaged** advisers to explore unloading chemical-related liabilities, consulting Weil Gotshal & Manges and Ducera Partners. **B3**
- ◆ **Nvidia-backed** cloud-computing company Lambda is raising up to \$4 billion in a final round before the company's planned IPO. **B4**

Worldwide

- ◆ **German police** detained the country's former head of its foreign-intelligence service on suspicion of espionage and attempted treason in one of the biggest scandals to engulf the spy agency since its creation in the mid-1950s. **A1**
- ◆ **France's finance minister** said the government was prepared to bypass Parliament to approve billions in spending cuts if negotiations stall over next year's budget. **A11**
- ◆ **Belgian particle physicist** Francis Halzen was awarded the 2026 Nobel Prize in Physics for his contributions to astronomy and his work on the IceCube Neutrino Observatory at the South Pole. **A3**
- ◆ **Tennessee inmate** Christa Pike, who survived the state's attempt to execute her by lethal injection, was conscious and speaking at the hospital where she is being treated. **A3**
- ◆ **Activists and others** in India are challenging a purge by the Modi government that has removed about 130 million people from voter rolls. **A8**
- ◆ **A man who fell ill** with Ebola in the Democratic Republic of Congo crossed three countries and boarded a commercial flight to Nairobi, where he died of the disease, Kenyan officials said. **A8**
- ◆ **Spain's government** approved urgent measures to tackle a housing crisis after an outbreak of violence the night before in Barcelona over the issue. **A8**
- ◆ **Died: Eva Marie Saint**, 102, star of classic American films. **A6** ... **Jim Bakker**, 86, disgraced televangelist. **A6**

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High-schoolers in Paris and nationwide rallied Tuesday for more education spending as the government pushed for broad cuts.

After Years of ‘Magic Money,’ France Becomes a Debt Bomb

Overspending has turned the country into one of Europe's weakest links

By Stacy Meightry and Chelsey Dulaney

France is on the precipice of a dangerous financial spiral. The global surge in interest rates has exposed the country, once considered an oasis of relative stability in Europe's financial markets, as one of the continent's weakest links. France now pays more to borrow than former crisis hot spots like Greece and Italy. Its

government is running a budget deficit surpassed only by the United States among its peers. Last week, a slow-burning selloff in France's government bond market took an alarming turn as it spread across the continent, reviving memories of the eurozone debt crisis last decade. France's 10-year borrowing cost has risen toward 5%, the highest level since 2002. Investors are bracing for things to get worse. The rise in rates is saddling the government with higher costs just as it needs to refinance a mountain of debt borrowed during the era of ultralow interest

rates. France has more than \$1 trillion in debt coming due by 2030, and next year is set to sell a record of about \$380 billion in debt into a market where once-reliable sources of demand have evaporated. France's central bank is no longer buying government bonds and is instead letting its portfolio shrink as bonds mature. Once-steady investors like Japanese asset managers have also stepped back. Hedge funds that have stepped into the void have been burned by the recent volatility. "France has been this free rider in Europe for years, if not decades. It has gotten away with fiscal murder," said Kevin

Thozet, a portfolio adviser at the French asset manager Carmignac. "It worked as long as people were not noticing. Now people have started to notice." The cost of servicing France's debt is expected to climb 59% by 2030, according to a recent study commissioned by the French finance ministry. Debt payments are now one of the French government's largest line items and could dwarf military spending by the end of the decade. France's debt, now worth nearly 120% of gross domestic product, risks putting *Please turn to page A11*

◆ **French government lays out steps to set cuts** **A11**

INSIDE



BEN CLEETON FOR WSJ

U.S. NEWS
Furor over Cornell University rape case disrupts president's tenure. **A3**



PERSONAL JOURNAL
Middle-schoolers turn to AI chatbots for friendship—at an emotional cost. **A12**

Germany Arrests Ex-Spy Chief Over Suspicion of Espionage

By Bertrand Benoit

BERLIN—German police on Tuesday detained the country's former head of its foreign-intelligence service on suspicion of espionage and attempted treason in one of the biggest scandals to engulf the spy agency since its creation in the mid-1950s. August Hanning, who led the Federal Intelligence Service, or BND, from 1998 to 2005, was arrested under suspicion of illegally obtaining classified information for years and, in at least one case, passing it on to a foreign intelligence agent, Germany's

General Federal Prosecutor said. A lawyer for Hanning couldn't be contacted for comment. Police also arrested Hanning's former bureau chief, only identified as Manfred D., who allegedly passed classified information to Hanning for more than a decade in his function as bureau chief between 2012 and 2026 for subsequent BND presidents. Manfred D. passed nearly 2,000 documents, many of them classified, to Hanning up to June 2022, the prosecutors said. These documents were in-

tended for the preparation of a regular meeting of senior German intelligence and security officials in the chancellery—one of the country's highest-ranking and most closely guarded intelligence and security gatherings. The arrest of Hanning marks the first time a former BND chief has been detained. The agency has faced criticism for failing to predict Russia's full-scale invasion of Ukraine. The agency's then-president, Bruno Kahl, now Germany's ambassador to the Vatican, was in Kyiv on the *Please turn to page A10*

Oracle, Billionaire, YouTube Nut

Warren Buffett binges show tunes and reality TV

By Gregory Zuckerman

Feeling guilty about spending hours each day watching YouTube? Don't be. Warren Buffett is right there with you. Glenn Close clips. Commercials from the 1950s. Paul Anka videos. The famed investor can't get enough. Buffett enjoys speeches by complete unknowns. He's a fan of Berkshire Hathaway's own content, too, proud of how it performs on the video platform. He watches it all, nearly every evening, usually from a recliner in his Omaha home. "Warren's range is broad," *Please turn to page A13*

Oil Flows From Hormuz Again—Just Not Diesel

By Collin Eaton

Ships are ferrying almost as much crude oil out of the Strait of Hormuz as they were before the Iran war. But they are barely moving any barrels of the fuel the world needs most: diesel. For now, the distinction is paramount in American politics. Ahead of the midterms, President Trump's team has explored a long list of options to arrest the skyrocketing price of diesel fuel, which factors into the cost of groceries, gadgets and just about everything else moved on semitruck beds. The national average for a gallon of diesel hit a record \$6.53 late last month. In California, where supplies are increasingly tight and fuel taxes are higher, diesel reached a historic high of \$8.44 a gallon. "Consumers don't buy crude oil. They buy gasoline,

jet fuel and diesel," said Andy Lipow, president of Lipow Oil Associates in Houston. "As a result of missile and drone strikes in the Middle East, several large refineries have been damaged. The world finds itself short of refined products." The recovery in oil flows out of the Strait of Hormuz won't fix the problem anytime soon. As of Saturday, the seven-day average for crude-oil cargoes clearing the critical waterway between Iran and Oman reached 10.3 million barrels a day, or 76% of the prewar baseline, according to the latest available data from market intelligence firm Kpler. But cargoes of oil products like gasoline and diesel came to 1.3 million barrels a day, accounting for only 11% of the *Please turn to page A6*

◆ **Yemen's Houthi militants strike Saudi airports.....** **A7**



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U.S. NEWS

Why Weaning Markets Off Fed Speak Is Hard

By NICK TIMIRAOS

After Kevin Warsh took over the Federal Reserve this spring, he said he wanted investors to watch the economy, not the Fed: Play the ball, not the referee.

Last week, the referees stepped in.

In quick succession, the other two members of the chairman's traditional inner circle, New York Fed President John Williams and Vice Chair Philip Jefferson, signaled that the central bank was in no hurry to raise interest rates again this month. Investors' odds on an October increase, which had steadily climbed to around 70% after Warsh explained his thinking behind last month's rate rise, tumbled to around 25% before last Friday's jobs report, which pushed them lower still.

Fed officials have long fretted that signaling their next move can trap them into a course they might later decide isn't warranted. That concern is central to Warsh's approach to communicating.

But last week revealed a risk on the other side. When officials lay out their views on the economy while saying little

about their tactics, investors connect the dots themselves.

"You don't have to promise a path of rates for people to find an implied path of rates," said Eric Rosengren, who was president of the Boston Fed from 2007 to 2021. "There's a cost to saying, 'I'm an inflation hawk.' And that cost is [investors] are going to anticipate that rates are going to have to go a good bit higher."

By late September, many had concluded that Warsh's explanation of last month's rate increase, including that rates weren't yet restraining the economy and that inflation needed to fall "at sufficient speed," provided ample justification to raise rates again when officials meet on Oct. 27-28.

That left officials in a bind. Holding off on an expected rate increase this month would jolt investors and invite an awkward question: If rates aren't restraining the economy and inflation needs to come down more quickly, why wait? But raising rates before they thought it necessary, days before the midterm elections, carries costs of its own.

In September, officials' projections left room to wait be-



Fed Chairman Kevin Warsh

cause most penciled in one more increase this year, which could come at either the October or December meeting. A few carefully placed words from Williams and Jefferson offered a way out, resetting expectations without requiring Warsh to depart from his own approach. As New York Fed president, Williams also serves as vice chair of the Fed's rate-setting committee.

Williams and Jefferson don't always signal where rates are headed. But when they have, they have rarely said anything that would box the chair into a course he didn't support, and there is no sign that standard

has changed under Warsh.

If officials didn't intend to raise rates as quickly as markets expected, "then you need to bring down expectations," Rosengren said. "It would be awkward for him to do it himself. So he's doing it through his two vice chairs."

The signals were unusually pointed. Williams said another increase "late this year" might be appropriate but that there was "no need for urgency," a week after he told an audience in London that the era of forward guidance was over.

"That's way more specific than he needed to be," said Kurt Lewis, a former senior Fed adviser who is now head of central bank policy at investment bank Piper Sandler.

The remarks also came far in advance of the next meeting, before new economic developments could materialize. "If what you're trying to tell people is, 'We think the market has got a little bit ahead of itself,' it's easier to tell them that before the data," Lewis said.

Forecasters got the hint. Lewis dropped his call for an October increase after Williams and Jefferson spoke. Economists at Goldman Sachs and RBC Capital Markets also

abandoned forecasts of an October increase last week. They joined the vast majority of analysts, who expect another increase in December.

While little in the way of new data had arrived to change the outlook, one thing had: Bond yields kept rising. The 10-year Treasury note yield climbed to around 5.25% by early last week from 5% after the Fed's Sept. 16 rate increase, part of a broader, global rise in long-term rates. Jefferson noted the rise in his remarks.

Higher long-term rates can slow the economy and accomplish the Fed's work of slowing investment and borrowing. But with government and corporate debt far higher than in past tightening cycles, it could also be harder to assess what a sustained jump in long-term rates does to the economy if it unfolds rapidly.

The calendar complicates matters further. Warsh has said he wants officials to make decisions at their meetings rather than preview them ahead of time, but at this next meeting, any surprise carries a political risk because it is six days ahead of the midterm elections.

"A one-meeting delay in rates won't make a big differ-

ence economically, but could make a big difference politically," Rosengren said. If markets expected an increase that the Fed didn't deliver, "somebody in the administration can say, 'You've affected the election by conveying a path that you're actually not going to follow.'"

The episode doesn't mean Warsh has given up on weaning markets off the Fed's signals. "Every chair experiences a period in which markets interpret the words very differently than they anticipated and have to correct," Rosengren said. "Most normal people are not used to having hundreds of millions of dollars bet on the nuances of your speeches."

Warsh appears to be adjusting the same way, by refining his approach rather than abandoning it.

Loretta Mester, who as Cleveland Fed president from 2014 to 2024 called for the institution to explain how it reacts to economic developments, said the episode showed the limits of leaving markets to guess. "Nature abhors a vacuum, and really, the only person who can speak for the committee is the chair," she said.

Oil Shock Could Make U.S. Stronger

By GREG IP

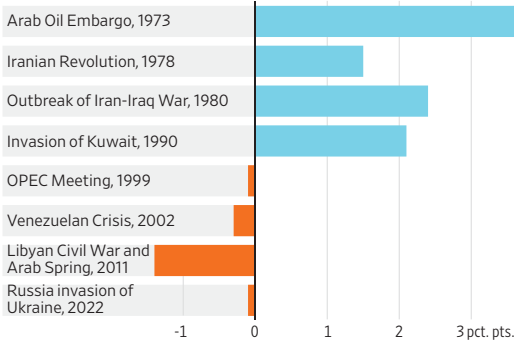
The oil shock brought on by the war with Iran has ravaged truckers, angered voters and endangered Republicans' control of Congress.

Here's the surprise: It may be making the economy stronger.

The reason is the oft-forgotten fact that the U.S. is a net petroleum exporter. When war disrupts the supply of oil and gas from other countries, the U.S. reaps a double benefit: more market share, and higher prices. This is a reason, though not the only one, that growth is not just solid but may be accelerating.

In a new paper, Diego R. Känzig and Luca Zanotti of Northwestern University and James H. Stock of Harvard show that before 2010, activity such as unemployment and industrial production generally got worse after an oil shock,

Change in U.S. unemployment rate two years after oil disruption



Source: Diego R. Känzig, James H. Stock & Luca Zanotti

whereas since 2010, activity improved.

The reason, they surmise: the shale-oil revolution, which turned the U.S. from a net importer of 12 million barrels a day into a net exporter of more than 3 million barrels.

They find the economic boost comes not through in-

creased exports, but from higher prices for U.S. exports (in economics, better "terms of trade"), which translate into higher profits, wealth and incomes, more than offsetting the harm to consumers' purchasing power from inflation.

Their analysis doesn't extend to this year's war with

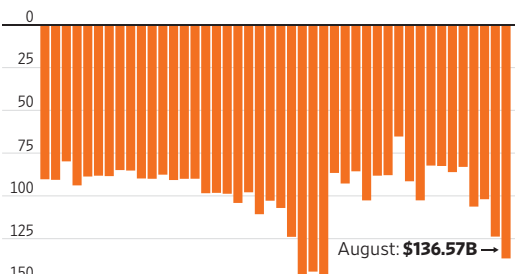
Iran, but Känzig said in an interview he expected its effects to be more benign or even positive compared with pre-2010 shocks.

The flip side of the record diesel prices paid by farmers, truckers and factories are steep margins for refiners. Energy companies' profits doubled in the second quarter from a year earlier, according to FactSet. Their shares are up more than tech stocks. There's a reason the industry lobbied so fiercely, and successfully, against a federal diesel-export ban.

Oil shocks used to have persistent effects on inflation and thus interest rates. The authors find interest rates still go up—but partly for good reasons, i.e., better growth. That's one reason the Federal Reserve's pivot to tighter policy hasn't bothered the stock market.

This appeared in the WSJ Economics newsletter. To subscribe to the newsletter, go to wsj.com/newsletters.

U.S. trade deficit in goods, monthly



Note: Seasonally adjusted
Source: Census Bureau

Trade Gap Hits 17-Month High

By KONRAD PUTZIER AND ANTHONY DEBARROS

The U.S. trade deficit widened in August to its biggest in more than a year, with the U.S. buying more products like crude oil, gold and semiconductors from abroad.

The trade gap in goods and services widened by 14% in August from the prior month to a seasonally adjusted number of roughly \$106 billion, the Commerce Department said Tuesday.

That marked the highest level since March 2025, when companies were racing to import goods early in President Trump's second term to get ahead of tariffs.

Imports in crude oil and nonmonetary gold saw big monthly gains, along with semiconductors. The data-center boom has been a major driver of the trade deficit this year, with imports of semiconductors, computers and computer accessories up a total of \$234 billion in the first eight months of this year, compared with the same period last year.

Data-center spending pushed the trade deficit to "quite strong levels only exceeded by the front-running days" of 2025 when companies were rushing to get ahead of tariffs, said Brad Setser, a senior fellow at the Council on Foreign Relations.

Electronics have been largely exempt from the Trump admin-

istration's tariffs. "That's the key thing," Setser said.

Crude-oil imports from Canada rose by more than 8 million barrels in August. The U.S. monthly trade deficit with its northern neighbor rose to \$7.1 billion from \$3 billion in July. The increase came amid new U.S. tariffs on a range of Canadian goods.

The trade deficit for goods reached about \$137 billion in August. Still, through the first eight months of the year, the goods deficit was about \$110 billion smaller than the same period in 2025.

U.S. exports also grew in August, but at a slower pace than imports. Crude and fuel oil exports rose by \$3.2 billion amid high oil prices and the continued disruption of global oil markets from the war in Iran.

Trade deficits have shifted abruptly from month to month during the Trump administration, as companies have responded to rapid changes in trade policy. The goods and services trade deficit for the year so far is about 20% smaller than the same time a year ago.

In February, the Supreme Court overruled Trump's use of the International Emergency Economic Powers Act to enact broad global tariffs. But the president has turned to other authorities to try to tamp down imports into the U.S. In late July, Trump rolled out new tariffs using a different legal authority.

AI Propels S&P 500 To a Record

Continued from Page One
average on Tuesday, Dow Jones Market Data shows, a figure that has steadily declined since August.

The AI powerhouses have grown so vast, and the momentum behind AI's build-out so relentless, that many investors now see these stocks as immune to the effects of higher interest rates, analysts said.

The hope is that eye-watering earnings forecasts will keep propelling tech names forward, even with higher rates and a cooling economy bearing down on the rest of the market.

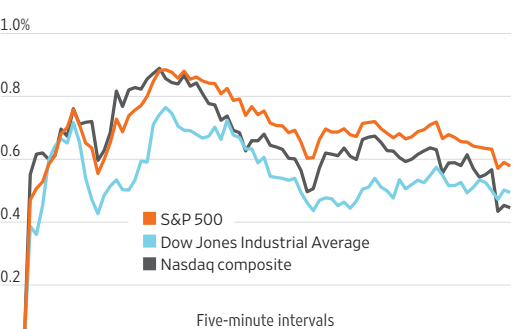
"People look around and say 'Which areas of the market can weather this?,'" said Keith Lerner, chief investment adviser for Truist Advisory Services. "Tech is almost seen as defensive in some ways."

Big tech companies—particularly AI "hyperscalers" including Alphabet, Amazon.com, Microsoft and Meta—have long been known as cash-rich and relatively debt-free companies that can keep growing even when borrowing costs rise.

Many of those companies are now raising tens of billions of dollars to finance the AI build-out, but their rising debt loads haven't yet given investors a reason to look elsewhere.

Compared with other companies, they are still more likely to grow through higher rates, said Dan Russo, chief investment officer at Potomac Fund Management. "Higher interest rates and

Index performance on Tuesday



inflation are taking a toll on other stocks in the S&P 500," Russo said. "It's only the fortresslike balance sheets at the large-cap end of the spectrum that are propping the market up."

The combined market cap of the Magnificent Seven, which includes the four hyperscalers plus Tesla, Nvidia and Apple, closed at a record high on Tuesday of roughly \$25 trillion.

The tech-stock performance is one key reason why indexes have continued their rise even in the midst of a global bond selloff that has driven Treasury yields to their highest level in two decades. Bond yields retreated from their highs on Tuesday, with the 10-year yield declining 0.04 percentage point to settle at 5.27%.

Meanwhile, the threat of higher rates and rising costs

CORRECTIONS & AMPLIFICATIONS

The European Union's trade deficit with China last year reached the equivalent of \$405.1 billion. Display text with a Page One article on Tuesday about Chinese trade with the EU incorrectly gave the figure as \$405.1 million.

FedEx said it was the customs broker of 43% of the 53 million tariff entries collected by the government. A U.S. News article on Monday about tariff refunds incorrectly said that FedEx said it

was the importer of 43% of the 53 million tariff entries. Also, FedEx said it doesn't require its customers eligible for refunds to register with U.S. Customs and Border Protection or provide an account number at a business-intelligence firm. The article incorrectly said that Derek Swanson had to provide his account number at a business-intelligence firm that analyzes the creditworthiness of companies and had to register with CBF.

An undated photo of co-CEOs David and Stephen Sorbaro accompanied an Exchange article on Saturday about auto-service company Mavis. The caption incorrectly said they were pictured in the late 1980s.

A Sept. 18 Business & Finance article about data-center builder Crusoe ran with a photo of an employee working in an aluminum electrical enclosure. The caption incorrectly said he was welding.

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U.S. NEWS

Cornell Furor Upends Its President’s Tenure

Michael Kotlikoff has already navigated federal-funding cuts, antisemitism crisis

BY DOUGLAS BELKIN
AND JARED MITOVICH

Before ascending the ranks of academia, Cornell University President Michael Kotlikoff demonstrated against the Vietnam War and earned a literature degree at the University of Pennsylvania. Weeks before he graduated in 1973, women occupied the school’s College Hall to protest leaders’ response to a series of reported rapes.

Now at another Ivy League university, Kotlikoff finds himself in the midst an uproar over campus sexual-assault allegations—and this time, he is the leader in the hot seat.

Kotlikoff, who at 75 is the oldest president to lead Cornell, has spent most of his two-year tenure battling crises. His predecessor stepped down in 2024 amid controversy over elite schools’ handling of pro-Palestinian protests. Then came the Trump administration’s accusations of antisemitism and liberal excess, and the disruption of federal funding.

Now, a lawsuit alleging an undergraduate was gang raped and drugged at a Cornell fraternity house in 2024—and that the school didn’t do enough to protect her—has ignited a new crisis.

On Monday, hundreds of



Cornell President Michael Kotlikoff is coming under pressure from both students and faculty.

Cornell students gathered near the school’s famous clock tower and marched through campus in protest. On Tuesday, the gender and sexuality studies program was sponsoring a town hall. Wednesday, Cornell’s chapter of the NAACP is asking students to boycott classes and join a seven-hour sit-in, the duration of time for which Jane Doe says she was sexually assaulted.

Members of the Faculty Senate are preparing a vote of no confidence in the ability of central administration “to effectively address the ongoing crisis of sexual assault,” according to a draft resolution.

Kotlikoff addressed Cornell in an eight-minute video over



the weekend. “I want to acknowledge something that can be difficult for an institution to say,” he said. “We don’t have all the answers.”

He called this time a “defining moment in Cornell’s history” and pledged to be

more transparent about the investigation. He promised a serious look at campus Greek life: “We owe it to Jane Doe.”

Kotlikoff grew up in South Jersey outside Philadelphia, where he attended a Quaker high school. After earning his bachelor’s, he graduated first in his class from Penn’s veterinary school.

A professor of molecular physiology, he rose to chair of the department of animal biology before coming to Ithaca, N.Y., in 2000 to build a new department in biomedical sciences at Cornell’s College of Veterinary Medicine. He became a dean at Cornell in 2007 and provost in 2015.

Late in his tenure as provost, campus protests broke

out following the Oct. 7, 2023, attacks on Israel by Hamas. At one point, a student threatened online to stab and sexually assault Jewish students. The incident set the tone for a polarization that Kotlikoff has been trying to bridge ever since.

Colleagues describe him as a good listener who is personable in private meetings and measured in his decision-making. “Everything he says is very careful; he doesn’t want to get out over his skis,” said classics professor Courtney Roby, who met with Kotlikoff regularly over six years on a faculty committee that liaises with administrators.

Some students find his caution frustrating, Roby added. “He just doesn’t want to get ahead of things, even though there’s tremendous appetite for him to do that,” she said. “They want details, they want fast-moving action, they want definitive and explicit descriptions of what’s going on.”

On Monday, activists vandalized the entrance to Day Hall, home to Kotlikoff’s office. A glass door was shattered and messages were scrawled in red paint on the exterior walls reading: “SMASH THE PATRIARCHY” and “AT CORNELL RAPISTS ARE PROTECTED PROTESTORS ARE EXPELLED.”

Spokesman Kyle Kimball said the university was investigating the incident. Through a spokeswoman, Kotlikoff declined to be interviewed for this article.

The anger echoes the ire he

faced at the beginning of his tenure. Soon after Kotlikoff was named interim president, students spray-painted an administration building: “Israel bombs, Cornell pays” and “Blood is on your hands.”

A month later, Kotlikoff told the student newspaper that he would finish his two-year stint as interim president, and then, “I’ll almost certainly retire.”

Instead, Kotlikoff’s name was floated to fill the job on a permanent basis. An influential alumni organization opposed his appointment. Carl Neuss, founder of the Cornell Free Speech Alliance, said the group was formed because concerned alumni had come to believe Cornell has become intolerant of conservative viewpoints and beholden to diversity initiatives.

Kotlikoff was confirmed as president over their objections. One of his first orders of business was navigating a \$60 million settlement with the federal government to restore research funding and resolve allegations of civil-rights violations.

Kotlikoff—who earned \$1.4 million in the year ended June 2025, according to the school’s tax returns—is now contending with a criminal investigation into Jane Doe’s claims from the New York Attorney General’s office and a divided campus.

At Gov. Kathy Hochul’s request, Cornell’s board also plans to appoint a law firm to lead an independent review of the school’s response.

Nobel Awarded For Astronomy Breakthroughs

BY GARETH VIPERS

Belgian particle physicist Francis Halzen was awarded the 2026 Nobel Prize in Physics for his contributions to astronomy and his work on the IceCube Neutrino Observatory at the South Pole.

“Francis Halzen has led an international team of researchers and engineers who have provided us with a fantastic instrument,” said Mark Pearce, chair of the Nobel Committee for Physics, on Tuesday. “His tenacity and scientific vision has paved the way for a new kind of astronomy.”

As the spearhead behind the IceCube Neutrino project, Halzen wanted a way to capture and study astrophysical

neutrinos—tiny, electrically neutral subatomic particles from deep space.

Neutrinos with extremely high energies are created in the same environments as other types of particles, but unlike other particles, neutrinos reach Earth without changing direction or losing energy.

This means they can provide information about distant galaxies that isn’t available in any other way.

Halzen, who is based at the University of Wisconsin-Madison, first presented his vision for capturing high-energy neutrinos at the South Pole—a giant particle detector buried deep in the Antarctic ice—in 1988.

When a neutrino collides



Particle physicist Francis Halzen, pictured Tuesday, spearheaded work on the IceCube Neutrino Observatory at the South Pole.

with an atomic nucleus, it produces a flash of light that can be tracked by sensors in clear glacial ice. The South Pole’s ice has many advantages for this process, as it is free from various types of interference and the area is geologically stable, with no earthquakes. Halzen and his idea soon gained the

support of other researchers, and just a few years later preliminary testing was conducted on sensors in ice.

Buried around about 1.24 miles deep, IceCube covers an entire cubic kilometer at the Amundsen-Scott South Pole Station in Antarctica and was finished in 2011.

Tennessee Inmate Is Awake, Speaking

BY GINGER ADAMS OTIS

Tennessee inmate Christa Pike, who survived the state’s attempt to execute her by lethal injection, is conscious and speaking at the hospital where she is being treated, her attorneys said Tuesday.

Pike’s prognosis is still unclear and her recovery will be a long one, the attorneys said. The 50-year-old is handcuffed and shackled to the bed, the attorneys said.

“We are incredibly grateful to the first responders and the medical team at the hospital who treated Christa like a human and have provided exceptional care to her,” the attorneys’ statement said.

Her condition had been largely unknown since an ambulance took her to the hospital from a Nashville prison following the botched execution attempt last week.

Pike, who was sentenced to death in 1996 for the murder of Colleen Slemmer, got two doses of pentobarbital, a sedative that at least 17 states use for capital punishment.

Officials had to call Pike’s execution off and send her to a hospital because she was still alive after the injections.

The Tennessee Department of Correction said they followed established protocol and that the drug has consistently been effective. The department declined to answer questions about where the drug was sourced. Tennessee Gov. Bill Lee halted executions in the state after the failed attempt to execute Pike.

Lee said he had ordered “a comprehensive, third-party review to determine exactly what occurred.”

Pike’s legal team has called on the governor to commute her death sentence.

California Couple Who Had Mansion Full Of Surrogate Children Charged With Abuse

BY KATHERINE LONG

A Chinese-born couple who paid a nationwide web of surrogates to bear close to two dozen children for them were arrested Tuesday in what Los Angeles County District Attorney Nathan Hochman called an “unprecedented case of child abuse.”

Hochman alleged that Silvia Zhang and Guojun Xuan conspired to commit child abuse by authorizing nannies caring for 14 babies and toddlers in the couple’s Arcadia, Calif., mansion to beat and physically punish the children, sometimes directing the abuse. Xuan was also charged with one count of child abuse, and both he and Zhang were additionally charged with dissuading witnesses.

Mitchell Krems, a lawyer for Xuan, said the child-abuse allegations were “patently false” and Xuan had been unfairly scrutinized. An attorney for Zhang didn’t return a request for comment.

Child-protective agencies took custody of the couple’s children in May 2025, when Xuan and Zhang were initially arrested on suspicion of child abuse after bringing one of their infants to the hospital with a head injury.

All told, Xuan and Zhang



There were 14 babies and toddlers in the Arcadia, Calif., home.

had more than 22 children, mostly through surrogacy, The Wall Street Journal previously reported.

Several women were pregnant with the couple’s children at the time of their arrests last year. To recruit women to carry their children, Xuan and Zhang established a surrogacy agency to handle the pregnancies, but didn’t tell some surrogates that they owned the company and had other children, according to surrogates who worked for the couple along with messages and documents reviewed by the Journal.

Krems declined to confirm

how many children the couple have in total, and disputed that the couple had deceived their surrogates.

Why the couple used surrogacy to have so many children, as well as the identities of the children’s biological parents, remains under investigation, Hochman said Tuesday. Agents with the Federal Bureau of Investigation also executed search warrants at the couple’s Arcadia home as part of a separate continuing investigation, he said.

In an interview last year with the Journal, Zhang said that she wanted to have many children because she grew up

amid China’s one-child policy, which she found restrictive. The couple often used Xuan’s sperm and a donor egg to conceive the children, documents reviewed by the Journal showed.

Xuan also wanted to have a large family, Krems said. “My client is coming from communist China where there’s a restriction on how many kids he can have. He came to the U.S. to exercise his civil liberties,” Krems said.

Much of the district attorney’s evidence in the case is footage recovered from 32 closed-circuit cameras stationed throughout the house, according to the complaint, which referenced recordings showing nannies and Xuan beating the children.

At the couple’s arraignment Tuesday, the district attorney intends to seek bail of \$100 million, Hochman said, citing the couple’s wealth and the risk they could flee the country.

Xuan and Zhang ran a real-estate company called Yudao Management with extensive holdings around Los Angeles, which they operated with a group of businessmen based in China, according to former employees, business filings and court records in legal proceedings involving the company.

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U.S. NEWS

Senate Hopes Are Tied to Sununu Dynasty

New Hampshire GOP tries to turn state red; Democrats have the momentum

By Ken Thomas

DEERFIELD, N.H.—John E. Sununu was first elected to the Senate following the Sept. 11th terrorist attacks and was the chamber’s youngest member during his single term.

Nearly two decades later, the Republican from one of New Hampshire’s most durable political families is seeking a comeback that could act as a lifeline in the GOP’s quest to cling to its Senate majority.

But to do so, Sununu needs to navigate a tightrope, creating enough distance from President Trump in a difficult political environment while still attracting Trump’s MAGA supporters. Polls show his opponent, Democratic Rep. Chris Pappas, with a slight edge in a state where Democrats have dominated federal offices for the past decade.

During weekend campaign appearances around the state, Sununu presented himself as a “strong, independent voice” focused entirely on New Hampshire issues and bringing down economic costs—noting that he even worked with Hillary Clinton on automobile safety. But he also sought to separate himself from Trump.

“Look, I’ve never met the president. If he pushes for policies that aren’t good for New Hampshire, I’m going to oppose them. If he pushes for policies that I think are right for New Hampshire, I’ll support them,” Sununu told reporters at an annual fair in Deerfield.

“This is about the future. Donald Trump will be in office for two more years, and when he leaves, it’s going to create a huge vacuum and I want to make sure the country goes in a direction that’s good for New Hampshire,” he said.



John E. Sununu, top, with New Hampshire Gov. Kelly Ayotte at an Oktoberfest in Loudon, N.H. Bottom, Rep. Chris Pappas, center, with union workers at the AFL-CIO office in Hooksett, N.H.

Democrats are increasingly bullish about their chances of winning a majority in the Senate, needing a net gain of four seats as races tighten around the country. A loss in New Hampshire—or in Michigan, where Abdul El-Sayed is in a tight race against Mike Rogers to hold on to another blue seat—would complicate those plans.

Facing potential losses of GOP-held Senate seats in North Carolina, Alaska, Iowa, Ohio, Maine and Texas, Republicans have been pouring money into advertising here.

Pappas has been sounding the alarm for months, urging the national party to avoid complacency in the battleground state. He has received help from several surrogates

considering 2028 presidential bids, including former Transportation Secretary Pete Buttigieg, who campaigned with him this past weekend.

The GOP has spent about \$39 million this year in New Hampshire through the beginning of October, according to data compiled by AdImpact, compared with \$23 million by Democrats. And Republicans

have reserved another \$14.6 million through the November election, slightly more than the \$14.2 million in reservations for Democrats, a disparity that worries Democrats.

“Every commercial is basically, ‘He’s Satan,’ ‘No, he’s Satan,’” said Glenn Brackett, president of the New Hampshire AFL-CIO, which is supporting Pappas. “I think there’s some battle fatigue going on because we have elections here every two years.”

Democrats have tried to portray Sununu as a beneficiary of Washington’s revolving door, pointing to his post-Senate lobbying career and asserting that he would simply be a rubber-stamp for Trump.

“He was there before and it didn’t end well for New Hampshire. And the fact is, this is the time to turn the page from Trump,” Pappas said. Republicans have aired advertising about Pappas, who is gay, voting on issues that his spouse has lobbied on.

Asked to name any matters on which he disagreed with Trump, Sununu said the U.S. shouldn’t be in a trade war with Canada, described the president’s midterm promise of \$5,000 payments as making “no sense economically,” and added, “I said from the beginning it was a mistake to go into Iran without a plan to reopen the Strait of Hormuz.”

Pappas and his team note that Sununu previously said the Trump administration was correct to seek to eliminate Iran’s nuclear program. Sununu said in March that the Iran mission was “important and critical,” and said in June that the administration had “achieved success” in Iran.

The Sununu name is arguably the best-known brand in state GOP politics. The former senator is the eldest of eight children—his father, John H. Sununu, served as governor in the 1980s and then as White House chief of staff to President George H.W. Bush. The Senate candidate’s brother,

Chris Sununu, who is about 10 years younger, served as governor for eight years, wrapping up his final term in 2025.

John E. Sununu won a seat in Congress in 1996 and then six years later defeated in a primary Sen. Bob Smith, who had launched a quixotic independent bid for president before returning to the GOP. Sununu then beat Sen. Jeanne Shaheen, the state’s governor at the time, in the 2002 Senate general election, becoming a senator at age 38, but then lost to Shaheen in a rematch in 2008.

Eyeing a potentially winnable Senate race, Republicans checked in with Chris Sununu, who now leads a trade group for major U.S. airlines, but he rejected those overtures. Senate Majority Leader John Thune (R., S.D.) and former Colorado Sen. Cory Gardner, who was leading a GOP Senate super PAC at the time, quietly encouraged John E. Sununu, providing him with polling, according to a person familiar with the discussions.

Thune then lobbied the president to support Sununu in the primary against former Massachusetts Sen. Scott Brown, the party’s 2014 Senate nominee, the person said. Trump issued the early endorsement for Sununu in February.

Inside the fairgrounds, Sununu walked from booth to booth, shaking hands and greeting attendees, most of whom responded positively. One person recalled taking a photograph with Sununu in his Senate office after receiving an award. Another told Sununu that he went to school with one of his sisters.

But Sununu also encountered the state’s flinty political side. When he approached Paul LeBlanc, of Pittsfield, N.H., inside a tent filled with antique tractors, LeBlanc scolded Sununu about his negative ads about Pappas. As Sununu walked away, LeBlanc, a Democrat, shouted at him, “Stay off my TV!”



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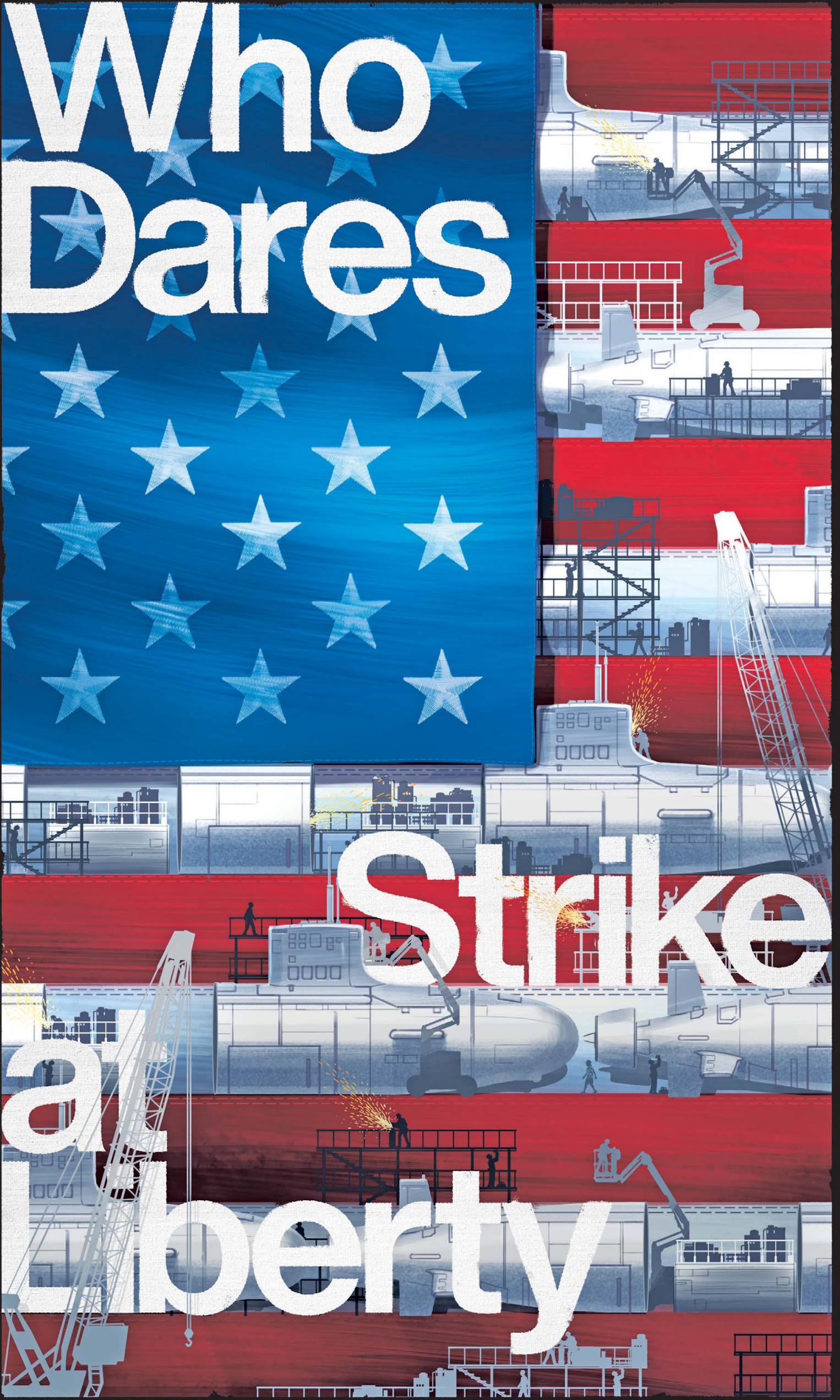
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U.S. NEWS

Oil Flows
Again—Just
Not Diesel

Continued from Page One
overall flows—the rest was unrefined crude oil. Before the war, refined products typically represented more than 20% of the oil cargo passing through the strait.

Trump on Monday unveiled an executive order aimed at bringing fuel prices lower. The U.S. will temporarily permit highway use of dyed diesel, a tax-exempt fuel typically used for farming. That move will defer a federal tax of 24.4 cents a gallon on diesel through the end of the year.

The administration is putting pressure on its allies abroad. The Group of Seven major economies on Friday agreed to release 100 million barrels of crude oil and fuel from their emergency stocks. They also declined to restrict exports of diesel and other petroleum products, an option Trump had said he was considering as a way to keep more fuel in the U.S.

The primary reason that diesel and other refined products aren't making it out of the Middle East is that refineries across the region, in Saudi Arabia, Kuwait, the United Arab Emirates, Iraq and elsewhere, are down following missile strikes and other outages stemming from the war. In roughly a month, most of the unrefined crude

that is making its way through the strait will arrive in Asia, where countries need oil but are exporting little in the way of ready-to-burn fuel like diesel. China, Japan and South Korea are keeping most of their products at home.

That leaves the U.S. in a familiar predicament as one of the lone suppliers in a world running low on fuel. Analysts say a full recovery, if current flows can be sustained, wouldn't happen until well into 2027. It will take time for countries to repair oil fields and refineries and for the market to replace the hundreds of millions of oil barrels lost to the war.

In recent days, Iran has launched a new wave of attacks on vessels around the

strait, which could slow the recent rebound in shipments. Although it can take a few days for Kpler's data to catch up with present-day flows, the data so far show tankers are still making

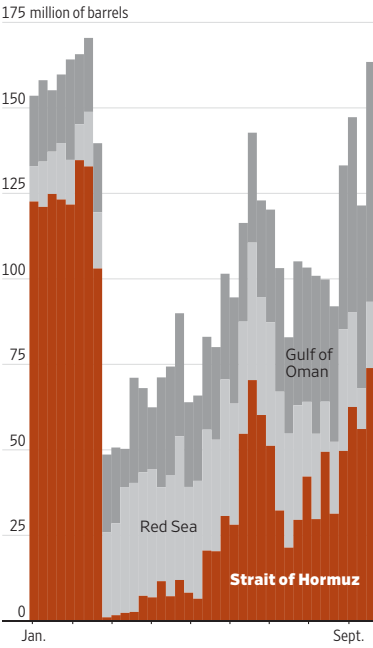
their way through the waterway in high volumes.

American oil executives have advocated that the U.S. Navy make it a higher priority to escort tankers carrying petroleum products such as diesel, rather than those carrying crude, which is fetching about half the price of diesel, people close to the industry said.

Most of the vessels the U.S. has escorted through the strait thus far have been what are known as VLCCs, or Very Large Crude Carriers, that can transport about 2 million barrels of crude. That is double the capacity of the largest class of tankers that carry fuel products.

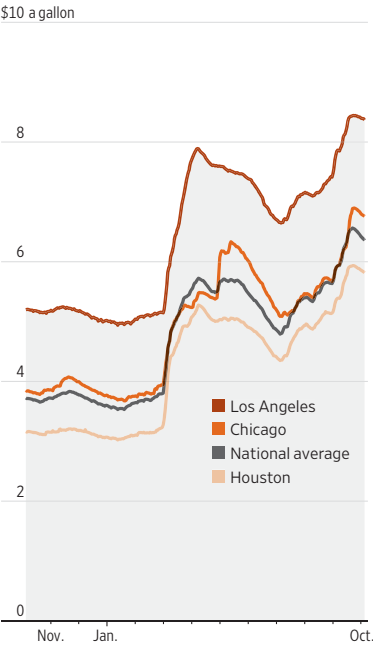
In a sign that the U.S. has

Middle East oil exports, weekly*

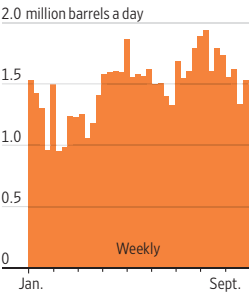


*Monday through Sunday, Jan 5–Sept. 27
Sources: Kpler (Middle East exports); Dow Jones Energy (diesel prices); Energy Information Administration (U.S. diesel exports, inventories)

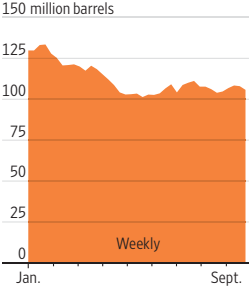
Average retail diesel prices



U.S. diesel exports



U.S. diesel inventories



Diesel and
other refined
products aren't
making it out of
the Middle East.

In California, where supplies are tight and fuel taxes are high, diesel reached a record \$8.44 a gallon recently.

wrested control of flows in the strait from Iran, Saudi Arabia's crude exports are surging higher, said Matt Smith, an analyst at Kpler. The kingdom's oil exports in September came to 7 million barrels a day, double August's haul, as the country loaded tankers in both the Persian Gulf and the Red Sea, Kpler data show.

"Either Saudi has made the decision that the risk is worth the reward, or they are trying to make hay while the sun shines, and some kind of escalation causes them to pull back again," Smith said.



PATRICK T. FALLOON/AP/GETTY IMAGES

U.S. WATCH



Eva Marie Saint, whose acting work lasted into her 90s, appeared in seven films during her first decade in Hollywood.

OBITUARY

Eva Marie Saint,
Oscar Winner, 102

Eva Marie Saint, the pale, willowy actor who won an Academy Award for her first movie, "On the Waterfront," and starred opposite Cary Grant in the Alfred Hitchcock thriller "North by Northwest," has died. She was 102.

Saint died at her home in Los Angeles on Tuesday, confirmed family representative Jeff Sanderson.

Saint had one of the most spectacular debuts in Hollywood history, as the love interest of Marlon Brando's tormented Terry Malloy in "On the Waterfront," and her first trip to the Academy Awards was memorable, too.

The award for the 1954 classic made her an instant star, but she soon astonished Hollywood with a firm independence that would mark her career. She refused offers of studio contracts and declined chances to follow up on her great success.

—Associated Press

OBITUARY

Jim Bakker,
Televangelist, 86

Jim Bakker, who built a TV following and evangelical empire with his first wife, Tammy Faye, which collapsed in a sex scandal and financial crimes, has died. He was 86.

Bakker died Monday, his second wife, Lori Bakker, said in a statement. The couple lived near Branson, an entertainment destination in Missouri, where they had filmed their TV show "The Jim Bakker Show" since its launch in 2003.

But it was the "The PTL Club," which at its peak in the mid-1980s drew 13 million nightly TV viewers, that made Jim and Tammy Faye Bakker cultural icons. They also built Heritage USA, a Christian theme park and hotel in Fort Mill, S.C., and a movie about their lives, "The Eyes of Tammy Faye," was released in September 2021. Tammy Faye died of colon cancer in 2007.

—Associated Press

WASHINGTON STATE

American Charged
In Canada Shooting

An American has been charged with aiding Canadian Jesse Van Rootselaar in the February mass shooting that left eight people dead.

Federal prosecutors allege Washington state resident James Bryant, 30 years old, spoke to Van Rootselaar every day in the six months before the British Columbia school attack, offering tactical advice and money for supplies. He also planned to help amplify Van Rootselaar's livestream of the shooting, prosecutors said.

Two people—Van Rootselaar's 39-year-old mother and 11-year-old stepbrother—were found dead at the suspect's home, according to police. A 39-year-old female teacher, three 12-year-old female students and two male students age 12 and 13 were killed at the school, police said.

Van Rootselaar, a transgender woman, was found dead at the scene from what authori-

ties believe was a self-inflicted gunshot wound. Bryant is also transgender and identifies as a female, according to Special Agent in Charge of FBI Seattle Mike Herrington. Bryant was arrested Tuesday and charged with conspiracy to murder persons in a foreign country. A lawyer for Bryant couldn't be identified.

Months before the mass shooting, Van Rootselaar described scenarios involving gun violence to OpenAI's ChatGPT chatbot. About a dozen OpenAI staffers internally debated whether to take action on Van Rootselaar's posts, but the company's leaders decided not to contact authorities.

In a letter dated April 23, OpenAI Chief Executive Sam Altman said he was sorry OpenAI didn't contact law enforcement about Van Rootselaar, whose ChatGPT account the company suspended in June 2025. News Corp, owner of The Wall Street Journal, has a content-licensing partnership with OpenAI.

—Jack Morphet

Justices Seem to Back 401(k) Expansion

By CHRIS CUMMING

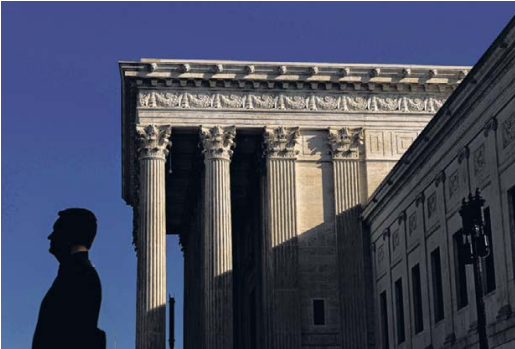
The Supreme Court appears to be leaning toward a ruling that could smooth private equity's path into Americans' 401(k) retirement accounts.

The nation's highest court on Tuesday heard arguments in a case, *Anderson v. Intel*, over when an employee can sue an employer for putting risky or unwise investments into the company retirement plan.

The plaintiff, a former Intel employee, accused the company of violating its fiduciary duty by including private equity and hedge funds in its defined-contribution retirement plan and alleged these investments performed worse than standard equity funds would have.

Tuesday's Supreme Court debate hinged on whether a plaintiff needs to show underperformance versus an appropriate benchmark for a suit to survive a motion to dismiss. Several members of the court appeared to endorse the U.S. Appeals Court ruling last year dismissing the lawsuit.

Justices Samuel Alito, Ketanji Brown Jackson and Elena Kagan were among the justices who expressed puzzlement at aspects of the plaintiff's argument. Some justices also rejected the idea that underperformance alone gives 401(k) plan participants



FINN GOMEZ/GETTY IMAGES

The case could affect Wall Street goals for retirement plans.

grounds to sue.

"Whether a particular strategy is reasonable or not cannot be judged based on how that strategy performed in one particular instance," said Alito.

Several court members suggested that alleging damages without a benchmark was like comparing "apples and oranges." Kagan said the lower court's dismissal of the suit seemed like "a pretty reasonable decision."

The court has no set date to issue its ruling but typically does so in June or July.

That decision could be crucial for Wall Street's efforts to put alternative assets such as private equity and hedge funds into defined-contribution retirement plans. Private-fund managers have for years

sought to get access to a portion of the \$15 trillion held in defined-contribution retirement accounts such as the 401(k).

Adding alternative investments to these accounts is legal, but virtually no companies do so. Lawyers say the main impediment is the threat of class-action lawsuits against employers who offer them.

A Supreme Court ruling in favor of the plaintiff could make it easier to bring class-action lawsuits against employers for offering alternative investments in 401(k) plans. A judgment for the defendants could tighten the standards for bringing such suits.

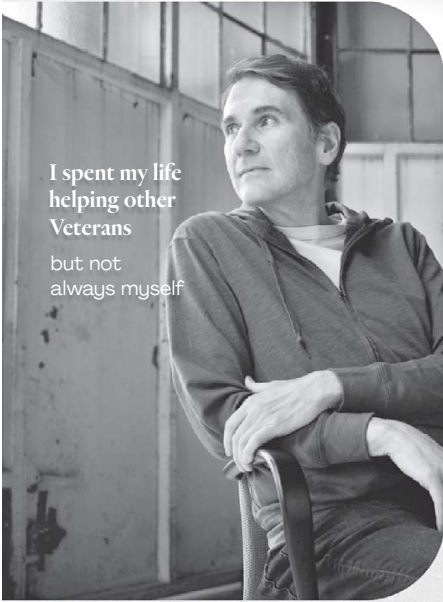
Wall Street industry groups have lined up on Intel's side. Lobbying groups for the pri-

vate-equity and hedge-fund industries were among the business groups that asked the court to affirm the appeals court's ruling tossing the suit.

The American Investment Council, the largest trade group for private equity, said in a July amicus brief that the threat of "nuisance suits" prevents companies from offering "new or unique" approaches to 401(k)s, and asked the Supreme Court to uphold the lower court's dismissal.

The Trump administration—which has made a priority of opening 401(k) accounts to alternative assets—also supported the lower court's decision. Aimee Brown, an assistant to the solicitor general of the Justice Department, argued Tuesday that the underperformance of Intel's funds "doesn't suggest that Intel's fiduciaries were imprudent." Others have urged the court in the opposite direction. Non-profits AARP, the Pension Rights Center and Better Markets said that the appeals court ruling magnifies "workers' inability to protect themselves from such imprudent investment choices" as private equity, and that upholding the ruling would make it virtually impossible to bring a case against an irresponsible retirement-plan manager.

Chris Cumming writes for WSJ Pro Private Equity



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WORLD NEWS

Rogue Pilot Was Part Of Airline Hiring Spree

FlyDubai’s growth raises questions on whether it had a hand in near-catastrophe

FlyDubai has been one of the world’s fastest expanding airlines, nearly doubling its staff since the pandemic to become the go-to low cost carrier for a travel-hungry region.

By Jon Gambrell, Benjamin Katz and Feliz Solomon

That growth is now running headlong into the biggest challenge in the carrier’s history: restoring trust after a novice pilot attempted to intentionally crash a plane on one of its most sensitive routes, to Israel’s Ben Gurion Airport.

FlyDubai is the discount cousin to the United Arab Emirates’ prestige long-haul airline, Emirates, whose brand adorns stadiums and the jerseys of European soccer teams. FlyDubai works in the background to offer cheap

flights, often to the region’s more dangerous destinations. Both are state-backed and led by the ruler of Dubai’s uncle.

Migrant workers and vacationers are FlyDubai’s mainstay customers. They include Thais traveling from Bangkok to Israel to work as farmhands, traders coming from Somalia’s breakaway region of Somaliland and Russian vacationers coming from Moscow—even after Vladimir Putin launched his full-scale invasion of Ukraine in 2022.

Those flights represent a key plank of FlyDubai’s reach and appeal—the airline will go places Western carriers can’t or won’t. FlyDubai takes passengers to Taliban-ruled Kabul or postrevolution Damascus in Syria, where the suburbs around its airport remain largely concrete ruins.

Tel Aviv has been one of FlyDubai’s key destinations since the U.A.E. and Israel agreed to normalize relations in 2020. It was the first Gulf airline into the country, welcomed at the airport by Israeli Prime Minister Benjamin Netanyahu. Oper-

ations expanded to as many as 10 flights a day at one point, even after the Oct. 7, 2023, attack by Hamas on the country when other airlines pulled out over security concerns.

In 2025, FlyDubai flew over 800,000 passengers through Ben Gurion, a 71% increase from 2024. Overall, 1.5 million passengers traveled to the U.A.E. from the airport last year, behind only Greece and the U.S. as the biggest destinations.

FlyDubai was well-regarded in Israel, often the first foreign carrier to return after missile strikes shut the airspace. It offered a crucial and affordable air bridge for Israelis to Dubai, where they can connect to flights across Emirates’ more global route network.

“FlyDubai continued the whole time, they didn’t stop, which is remarkable,” said Yoel Guzansky, a senior fellow at the Institute for National Security Studies, a think tank based in Tel Aviv, who specializes in the Gulf states.

But authorities and industry insiders are now questioning whether the airline’s fast



A plane carrying passengers who were on the FlyDubai flight landed near Tel Aviv on Sept. 30.

growth contributed to last week’s near catastrophe. The Omani first officer who took an ax to his captain in a failed attempt to crash the Boeing jetliner was part of a rapid postpandemic recruitment drive. The 29-year-old had failed stints at airlines in Oman and Morocco before FlyDubai hired him in February.

A FlyDubai spokesperson pointed to a company statement made in the wake of the near crash. The airline said it was cooperating with investigators and said the “safety and wellbeing of our passen-

gers, crew and operations remain our highest priority.” The route between Dubai and Tel Aviv has been suspended since the incident.

Like other airlines in the industry, FlyDubai struggled with pilot recruitment after reducing its ranks during the pandemic.

FlyDubai has run recruitment roadshows in the past three years in cities including Milan, Dublin and Warsaw, and last year started a new training program for pilots aged 18 to 30, according to the company and industry promotional ma-

terial. It opened a new 38,000-square-foot flight training center in Dubai, signed a deal with Boeing to provide in-house flight training and last year launched a new cadet program to train foreign pilots.

Since the pandemic, the airline’s total employee count has risen from 3,682 staffers at the end of 2021 to 6,763 at the end of 2025. The airline currently employs some 1,500 pilots, compared with 658 a decade earlier, company statements show. Pilot numbers during the pandemic weren’t immediately available.

Cockpit Ax Attack Heightens Dubai’s Economic Risks

By Georgi Kantchev and Omar Abdel-Baqi

DUBAI—Dubai’s economic recovery from the Iran war depends on getting travelers back onto its planes and into its hotels. Last week’s attack aboard a FlyDubai flight to Israel could make that harder.

The war has punctured Dubai’s image as a haven insulated from the region’s turmoil, a notion its rulers nurtured over decades. Missile and drone attacks from Iran during the war raised fears about flying to the Persian Gulf city that has become a household name for luxury travel.

The FlyDubai attack—in which the U.A.E. says the co-pilot attacked the flight’s captain with an onboard emergency ax, sending the plane into a deep dive before passengers and the crew regained control—risks putting that confidence under more pressure, some analysts said.

Renewed reluctance to fly with U.A.E.-based carriers or

visit the emirate could ripple through strained hotels, restaurants and retailers. Israeli travelers are particularly exposed: They have become a fast-growing source of visitors since the countries normalized relations in 2020. The route was under pressure from the war, as Israel raised concerns about security.

“Any questioning of security arrangements concerning flights out of Dubai could be a blow to confidence in the emirate, especially after the shocks of the Iran war,” said Kristian Coates Ulrichsen, a fellow with Rice University’s Baker Institute.

The U.A.E.’s attorney general has described the Sept. 30 near-downing of FlyDubai Flight 1073 as terrorism. The Omani co-pilot who attacked his captain had been banned

from flying by Oman over concerns he had adopted radical ideological views, people familiar with the matter said.

The failure to prevent him from being hired by FlyDubai could raise concerns about the U.A.E.’s security controls. The airline and the U.A.E. declined to comment while the investigation continues. FlyDubai has suspended flights to and from Israel during the probe.

There is no indication yet of broader cancellations or weaker bookings beyond FlyDubai’s suspended Israel service. It remains too early to assess whether the incident will change traveler behavior more widely.

Dubai officials didn’t respond to requests for comment.

The plane attack puts new pressure on a sector at the heart of Dubai’s economic model. Aviation and the tourism it facilitates generated economic activity equivalent to 27% of the emirate’s gross domestic product in 2023, a study by Oxford Economics said.

Dubai’s aviation bet stretches years ahead. A \$35 billion expansion of Al Maktoum International Airport, the emirate’s second airport, is set to open its first new phase in 2032. When fully built, Dubai says it will be the world’s largest aviation hub, with capacity for more than 260 million passengers a year.

The world’s busiest airport for international travelers last

year, Dubai International Airport, saw traffic fall by nearly a third year over year in the first half of 2026. The airport now expects to handle 70 million passengers this year, well below its prewar forecast of 99.5 million.

The Sept. 30 incident comes as the wider Emirati economy is under pressure this year, with the war disrupting oil exports and depressing tourism. Capital Economics forecasts a 1.5% decline in the country’s GDP.

Marquee events have been disrupted. Some luxury hotels

have closed for renovations. Many international airlines suspended flights in the spring through October or beyond because of the war. Hong Kong’s Cathay Pacific on Monday extended its suspension of flights to Dubai until late January. Government-owned carriers FlyDubai, Emirates and Etihad continued operating much more extensively across the region than many international rivals.

Dubai has kept flights going this year even during the worst of the Iran war. In the first weeks of the conflict,

dozens of planes landed at or departed from Dubai International Airport within five minutes of warnings of missile or drone attacks, The Wall Street Journal has reported.

Government data shows Dubai received 6.97 million international overnight visitors in the first eight months of 2026, compared with 12.54 million during the same period last year. Hotels have slowly begun filling up again. Occupancy climbed to 66% in August from 36% in March, though it remained below levels from a year earlier.



Dubai has kept flights going during the worst of the Iran war.

Yemen’s Houthi Militants Strike Two Saudi Airports

By Jon Gambrell

DUBAI—Attacks by Yemen’s Houthi rebels damaged two airports in southern Saudi Arabia near the border with the war-torn nation, the kingdom said on Tuesday, marking the latest escalation in fighting that threatens global energy markets.

The attacks come after the kingdom and its allies in Yemen launched a counteroffensive seeking to retake territory along the Red Sea. The Houthis’ presence along the coast and the Bab al-Mandeb Strait threatens to further squeeze regional oil supplies.

Saudi Arabia’s General Authority of Civil Aviation said that King Abdullah bin Abdulaziz International Airport, a dual-use airport in the Red Sea city of Jazan, and Najran International Airport, were damaged in the strikes. Three people were wounded, the agency said.

Early Wednesday, authorities in Aden, where Yemen’s in-

ternationally exiled government has taken refuge in the war, said a Houthi attack targeted the airport there. A security force statement said two missiles from the Houthis “targeted a vital civilian facility and put the lives of passengers, airport workers and flight crews at risk,” though no one was wounded.

The acceleration in the fighting in Yemen has made the country the most active battlefield in the wider conflict with Iran, with the Iranian-backed Houthis fighting against Saudi Arabia for control of a vital chokepoint in the global energy network.

In a military statement late Monday claiming strikes in the area of the Saudi airports, the Houthis again warned “all international airlines using Saudi airspace” to halt their flights, except those over the Muslim holy cities of Mecca and Medina.

The European Union Aviation Safety Agency has warned airlines that “recurrent missile

and drone attacks, together with the activation of air-defense systems, create an increased risk of misidentification of civil aircraft.” The Houthis have hit aircraft on the ground in their attacks, but haven’t shot down a commercial airliner in flight.

“These attacks keep destabilizing the region, igniting further violence and undermining global energy security,” European Commission President Ursula von der Leyen said.

The Houthis have claimed attacks on Saudi Arabia in recent days, many of which have gone unacknowledged or been denied by Riyadh. Saudi officials put out new warnings to the public on Tuesday that filming and sharing images of drone and missile attacks, or interceptions could bring legal charges. A Houthi missile attack targeting north of Riyadh early Wednesday separately was intercepted and destroyed, said Maj. Gen.Turki al-Maliki, a spokesman for the Saudi-led military coalition in Yemen.



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WORLD NEWS

Voter-List
Purge Sparks
Anger in India

About 130 million people were deleted from rolls that some criticize as opaque

By KRISHNA POKHAREL
AND TRIPTI LAHIRI

Months after massive street protests over a university exam scandal forced the resignation of India's education minister, Prime Minister Narendra Modi's government is facing a new wave of demonstrations about an even more contentious issue: the right to vote.

Last year, India's election authority embarked on a sweeping program to clean up voter lists nationwide, saying the move was needed to preserve electoral integrity by, for instance, removing fraudulent or deceased voters.

Since then, some 130 million names have been deleted from final or preliminary electoral rolls, according to tallies from official data compiled by activists. Activists and some voters have challenged the process, saying it was opaque.

In 2024, India had about 970 million registered voters.

In recent days, opposition parties, student groups and a youth movement known as the Cockroach Janta Party have protested around the country, calling for the resignation of Gyanesh Kumar, the veteran bureaucrat overseeing the cleanup of the voter rolls.

"This is an issue the government will not be able to quell," said Prashant Bhushan, a lawyer who was briefly detained during recent protests in New Delhi.

The Election Commission didn't reply to a request for comment. The election body previously said that the voter rolls are preliminary, and that all eligible voters will be given the chance to be included.

Bhushan, who is representing activists in legal challenges to the voter-list revision, said many people have been surprised by the process. Tens of millions were taken off the draft lists for failing to fill out forms sent to their last known address or for other paperwork issues—previous revisions relied on door-to-door verifications. Other voters got notices asking for proof of their identity after computer software flagged them for discrepancies in demographic de-



Police detain members of the National Students' Union of India during a protest at Freedom Park in Bengaluru, India.

tails or over minor misspellings of their names.

For the first time, people trying to register to vote have been asked for declarations that their parents or grandparents were voters. Activists complained that such provisions hadn't been required before. "You can't use an arbitrary legal process to disenfranchise such large sections of people," said Bhushan.

Saurav Das, a spokesman for the Cockroach movement, said many young first-time voters are facing difficulty in registering after being asked to show

proof that their parents or grandparents were on voter lists from two decades ago.

Security forces were out on Tuesday in the capital to prevent a planned march by opposition parties. The Cockroach party called for more protests on Saturday.

Ravi Shankar Prasad, a lawmaker in Modi's Bharatiya Janata Party, said Tuesday that critics of the cleanup process are trying to cast doubt on the legitimacy of elections won by his party. "Tens of millions of people on the rolls were found to be deceased," he said.

The Supreme Court has upheld the validity of the revision effort, but said the election body must follow procedures.

The software used to review the electoral rolls flagged certain family details—such as a person who has five siblings or more—as discrepancies.

"Literally everyone born in the 1950s has five or more siblings," said Amrita Johri, an activist who has legally challenged he process.

In Delhi, about 4.7 million people out of 14.5 million were removed from the draft roll for not returning the forms, while

30% of those who made it on the draft rolls were flagged for review, said one court petition. Nationwide, about 70 million names have been removed in states where the revision is final, said Anjali Bhardwaj, who is part of that challenge, while about 60 million names have been removed from draft rolls where the process is ongoing.

In the wake of an outcry, the electoral body defended its processes, but announced that electoral officers will go to the homes of voters who have been flagged or rejected to review their documents.

Families of Slain Prospectors Charge
Gold Mine Falsely Labeled as Ethical

By YUSUF KHAN
AND NICHOLAS BARIYO

Families of two independent gold prospectors allegedly killed by security forces at a Tanzanian mine are taking their grievances directly to global markets, suing the London-based authority that certified metal from the deposit as ethically produced.

If successful, the legal maneuver in the case—going after the London Bullion Market Association rather than the mining company, the gold refiner, Tanzanian authorities or the alleged killers—could generate questions about whether gold produced amid violence or human-rights violations is seeping into the marketplace.

The case, involving **Barrick Mining's** North Mara mine, challenges the very system that companies, governments and consumers rely on to ensure the bullion and gold-based goods they buy meet accepted social-responsibility standards.

"It raises bigger questions of how much trust you can put into certifications," said Dorothee Baumann-Pauly, director of the Geneva Center for Business and Human Rights.

In court documents, the claimants allege the association, known as the LBMA, "negligently certified gold sourced from the mine as untainted by human-rights abuses," which "cloaked a pattern of violence at the mine and fueled ongoing violations."

The LBMA "denies the claim in full," and described the case as an attempt to make the as-



The lawsuit centers on Barrick's North Mara mine in Tanzania.

sociation responsible for the actions of entities, such as the police, miners and refiners, it neither controls nor regulates.

The case is set to go to trial Wednesday in London. The court has barred public release of the names of the dead miners or their family members.

The North Mara mine, which has both open-pit and underground operations, sits near Tanzania's border with Kenya. Villagers living nearby have long sifted through the mine's waste rock hunting for overlooked gold.

The suit centers on two events in 2019. In July, a villager used a ladder to climb over a wall surrounding the mine's waste-rock area and "proceeded to search for gold-bearing rocks," according to the claimants' court filing. Mine security forces and Tanzanian police chased the prospectors away with "disproportionate and unjustified force, including the use of live ammunition and

tear gas," the filing said.

The man escaped, but police were "lying in wait" and "violently assaulted" him, the filings said. He "suffered injuries consistent with a gunshot wound" to the leg and died, the filing said.

The first claimant in the lawsuit discovered his relative's body in the morgue, the court filing said.

Several months later, a second villager entered the mine grounds with some 200 other gold collectors, according to court filings. Police cleared them out with "disproportionate and unjustified force," including live ammunition, the filing said. The second man was shot in the back and died, the filing said.

The claimants said in court documents that had the LBMA

'It raises bigger questions of how much trust you can put into certifications.'

"complied with its common law duties, it would have stopped (or threatened to stop) issuing the relevant certifications, the abuses would have ceased and the claimants' relatives would probably still be alive."

Neither Tanzanian police nor the East African country's government, which has a 16% stake in North Mara, responded to requests for comment. Toronto-based Barrick declined requests to comment on the specifics of the suit.

In a 2024 statement, the company cited an investigation by the state-run Tanzania Commission for Human Rights and Good Governance, which Barrick said found no human-rights violations related to security at the mine. That probe cited significant efforts by the mine to improve safety, including rules prohibiting private security officers from carrying weapons, Barrick said.

The company said earlier this year that it "maintains a zero-tolerance policy for human-rights violations by employees, contractors or any third parties acting on its behalf."

Barrick has posted a letter from its former chief executive, Mark Bristow, saying "we continue to address a number of legacy social and economic challenges in the area, including those related to resettlement, land acquisition and safety."

Ebola Patient
Died After Flight

A man who fell ill with Ebola in the Democratic Republic of Congo transited three countries and boarded a commercial flight to Nairobi, where he died of the highly contagious virus, senior Kenyan health officials said on Tuesday.

By Caroline Kimeu in Nairobi, Kenya, and Nicholas Bariyo in Kampala, Uganda

The death is Kenya's first reported fatality from Ebola's Bundibugyo strain, which has killed more than 4,000 people in eastern Congo in the past five months.

The victim, a Kenyan whose name wasn't released, was treated in Congo, where he had lived for several years. He then crossed neighboring Uganda by road, passed through the country's capital, Kampala, and took a Jambojet flight from Entebbe International Airport to Nairobi, the Kenyan officials said. He died in a Kenyan hospital Monday night.

"We cannot afford to lower our guard," a senior Kenyan health official, Patrick Amoth, said Tuesday at a press conference announcing the death. "You cannot be able to put a wall between Uganda and D.R. Congo, between Kenya and Uganda, to prevent the entry of a pathogen, so we continue to maintain a heightened state of alert."

The death added a risky new twist to the epidemic, which has been advancing faster than any other Ebola outbreak on record. Kenya, a popular destination for travel-

ers from the U.S., Asia and Europe, had until now dodged the deadly virus. And the World Health Organization had previously declared Uganda Ebola-free, status the victim's route could call into question.

Health officials in Uganda, which had 20 cases earlier in the epidemic, didn't respond to a request for comment.

News of the death in Kenya came the same day as researchers announced the launch of clinical field trials on a potential Bundibugyo vaccine. It is the first to undergo clinical testing in Africa out of at least five vaccines under development.

"We urgently need a safe and effective vaccine that could help bring this crisis to an end," said Nicole Lurie, a senior official at the Coalition for Epidemic Preparedness Innovations.

The Serum Institute of India, a vaccine maker, has provided 3,000 doses of the Oxford vaccine for the new field tests, and says it has stockpiled more than 600,000 for wider deployment should the vaccine be approved.

CEPI, an Oslo-based consortium of governments, foundations, pharmaceutical companies and science organizations, is providing funds for five potential vaccines and hopes to secure approvals for at least two by year's end.

The patient who died in Nairobi was initially treated in hospitals in Congo. His final journey through three countries triggered concerns about the number of people he could have been in contact with.

WORLD WATCH



SEAL OF APPROVAL: Biologists assessed a young southern elephant seal's condition as it rested on Copacabana Beach in Rio de Janeiro on Tuesday, helping ensure it stays undisturbed.

UKRAINE
Russia Intercepts Nearly 900 Drones

Russian air defenses intercepted nearly 900 Ukrainian drones overnight over several regions of the country, as well as the occupied Crimean Peninsula and the Sea of Azov, the Defense Ministry in Moscow said on Tuesday.

Ukraine's domestically developed long-range drones and, increasingly, missiles have allowed Kyiv to hit Russian soil during the more than 4½ years since Moscow invaded in 2022. It has hit targets as far east as the Urals and Siberia.

Ukrainian officials are bracing for what President Volodymyr Zelensky warned on Tuesday is a coming "massive" aerial attack by Russia.

Without ammunition for its U.S.-made Patriot air defense systems, Kyiv is at the mercy of Russia's ballistic weapons.

—Associated Press

SPAIN
Housing Measures Follow Protests

Spain's government on Tuesday approved measures to tackle the housing crisis, after an outbreak of violence the night before in Barcelona saw tens of thousands taking to the streets demanding a quick resolution. The protests followed nationwide demonstrations over the weekend.

All were triggered by the eviction of 87-year-old Maria del Carmen Abascal from her Madrid home in September.

The 21 approved measures include facilitating renting or buying a new home, extending eviction protections for vulnerable residents, regulating room rentals, imposing a new tax on seasonal rentals, prohibiting speculative real-estate purchases, and granting tax breaks to property owners and tenants who pay on time.

—Associated Press

BULGARIA
Attack Violates Law, Premier Says

Bulgarian Prime Minister Rumen Radev said two commercial vessels were hit by drones Tuesday in the first attack on shipping in the NATO member's exclusive economic zone in the Black Sea. "It is a blatant violation of international law and maritime law," Speaking after an emergency government meeting, Radev said sea and aerial drones attacked the ships at about 3 a.m., roughly 80 miles off Bulgaria's coast.

The Togo-flagged Alfa Watan suffered critical structural damage and sank. There was no word on the crew's fate, he said. The second vessel, the Palau-flagged Able, caught fire after the attack. A Bulgarian ferry evacuated all 18 crew members. Two sailors suffered severe injuries.

—Associated Press

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WORLD NEWS

Sheinbaum Is Losing Patience
Playing Nice With Washington

By SANTIAGO PÉREZ

MEXICO CITY—President Claudia Sheinbaum began a recent workday at dawn by grilling Mexico’s top security and intelligence officials. She wasn’t happy.

Inside the National Palace, Sheinbaum confronted some of her most trusted aides about their plans to freeze the local bank accounts of former Mexican officials tied to a state governor of Sheinbaum’s ruling party. The U.S. Treasury was about to target those former officials with sanctions for allegedly accepting bribes to protect the Sinaloa cartel’s drug-smuggling operations, people familiar with the discussion said.

To Sheinbaum, her security chiefs were going beyond the close cooperation with U.S. law enforcement that has been the hallmark of her two-year tenure by taking for granted that the U.S. had solid evidence linking the former officials to drug gangs, these people said.

She was unusually harsh with Security Minister Omar García Harfuch, a confidant who has guided her policies throughout her political career, the people said. Sheinbaum said the U.S. measures were part of an effort to destabilize Mexico and her government, they added.

In the end, Sheinbaum agreed to freeze the former officials’ accounts. Refusing to do so would have likely strained relations with the U.S. Spokespeople for Sheinbaum and García Harfuch declined to comment.

The episode reflects the harsher tone that Sheinbaum is taking with U.S. efforts to fight drug trafficking on Mexican territory, and the Trump administration’s targeting of her leftist party, Morena.

In recent weeks, Sheinbaum has criticized the U.S. at mass rallies and public events, blaming the northern neigh-



‘We Mexicans don’t want interference...or violations of our territorial integrity,’ Sheinbaum says.

bor’s insatiable demand for narcotics and defending Mexican sovereignty as President Trump has repeatedly said that Mexico is run by cartels.

“We Mexicans don’t want interference, interventionism, or violations of our territorial integrity,” she said before tens of thousands of supporters in Mexico City last month. She also has confronted state governors from opposition parties who want to strengthen security cooperation with the U.S.

Sheinbaum is facing immense pressure at home and abroad to deliver results in the fight against drug cartels, while more ruling party officials face corruption allegations, said Alberto Capella, who served as security chief of Tijuana and the states of Morelos and Quintana Roo.

“Collaboration with the U.S. is a prerequisite for achieving results; when that collaboration is restricted or denied, it renders your work meaningless,” Capella said. Security officials face rising domestic

political pressure to back off from corruption scandals involving Morena, he added.

Morena leader Ariadna Montiel has said there is no room for corruption within the party, but certain allegations of illegal actions aim to undermine Mexico’s sovereignty.

Last week, the U.S. Treasury imposed sanctions on 21 individuals with alleged ties to the Sinaloa cartel, including officials who allegedly accepted bribes to protect the criminal group at border crossings in the cities of Tijuana and Mexicali. At the center of the alleged scheme was the then-husband of Marina del Pilar Ávila, the governor of the border state of Baja California.

The State Department said the sanctions “highlight the corrosive reach of cartel influence into Mexican governance, particularly in Baja California.”

The sanctions were the latest in a recent string of corruption allegations rocking Morena. The U.S. also has indicted the governor of western Sinaloa

state and stripped the U.S. visa from a son of former nationalist President Andrés Manuel López Obrador, Sheinbaum’s mentor and predecessor.

Sheinbaum criticized past Treasury sanctions against three Mexican financial institutions over money-laundering allegations. Although Mexican authorities detected irregularities in some accounts managed by the firms, they found no evidence establishing ties to criminal organizations, Sheinbaum said.

The companies denied wrongdoing. Sheinbaum’s administration took over the three financial institutions last year to prevent a run on deposits.

Mexico’s Financial Intelligence Unit recently said it blocked bank accounts of firms and individuals sanctioned by the U.S. Treasury as a preventive measure after detecting some “irregularities reported by financial institutions.” It made no reference about alleged ties of these individuals to organized crime.

U.S. Presses Russia
For More Information
On Siberia Lab Death

The U.S. has warned Moscow that its failure to disclose details about the death of a lab worker from a plague-research center in Siberia runs counter to its international health obligations, U.S. officials said.

By Michael R. Gordon, Vera Bergengruen, Robbie Gramer and Thomas Grove

Russia has provided the U.S. with little information about the mysterious episode, which has stirred fears that an infectious disease might spread inside Russia and beyond the country’s borders, U.S. officials said.

The confidential diplomatic communication adds another source of tension between Russia and the U.S. as President Trump seeks to improve ties with Russian President Vladimir Putin and make headway on efforts to end the war in Ukraine.

President Trump said he has a call scheduled with Russian President Vladimir Putin “soon.”

Secretary of State Marco Rubio on Tuesday said the information shared by Moscow was “still quite limited” but made no reference to the private diplomatic communication.

A State Department spokesperson said the department has officially requested additional information from the Russian government and it is in official communication with other countries around the world to share information.

Four days after the death of the woman, identified in local media reports as Daria Shipilova, Russian authorities still haven’t disclosed the exact cause of her death, saying only that she died of pneumonia. The lack of detail has fueled speculation that her lab work resulted in the exposure to a deadly pathogen and

raised questions about whether Russia has done enough to contain what authorities have called an infectious disease.

Under a 2005 global health pact called the International Health Regulations, countries are required to notify the World Health Organization within 24 hours of an event that could become an international public-health emergency. The pact also requires signatories to provide detailed updates, including lab results and measures being taken to contain the threat.

While Moscow has provided some information to the WHO, it has yet to answer basic questions about the case, including what tests were run.

The governor of Irkutsk, Igor Kobzev, has said specialists had carried out extensive laboratory analyses of the woman’s body that found no “microorganisms connected to her professional activities.”

The WHO on Tuesday said the possible pneumonic plague case in Russia poses a “very low” risk outside of the country.

The Trump administration withdrew the U.S. from the WHO this year, citing, in part, the U.N. health body’s handling of the Covid pandemic.

Experts say Russia should share information about the fatal episode even if Moscow insists there is no risk of a broader emergency that would trigger a reporting obligation.

“As much transparency as possible will help calm fears of further international spread,” said Hayley Severance, a former policy adviser at the Defense Department and an expert on global biological policy at the Nuclear Threat Initiative, a nonprofit security organization.

Russia’s consumer-watchdog agency, which oversees the lab where she worked, said her death was pneumonia because of “an unknown cause.”

In Iceland, Rubio Seeks Wider Military Cooperation

By VERA BERGENGRUEN

REYKJAVIK, Iceland—Secretary of State Marco Rubio brought President Trump’s Arctic ambitions to Iceland on Tuesday, looking to build on a deal that emerged from Trump’s push to take control of Greenland as the U.S. expands its military reach across the region.

In meetings with Icelandic officials, Rubio said the administration was open to expanding security cooperation, citing Iceland’s infrastructure, technology and surveillance capabilities.

“There’s interest in doing more together,” Rubio said, praising Iceland for allowing “the U.S. military to project power using your land, your air, your sea, giving us a critical outpost for monitoring clandestine behavior and de-

terrering our adversaries.”

While last month’s deal fell short of Trump’s demands to control Greenland, a self-governing territory that is part of Denmark, it paved the way for a larger U.S. military presence. Such a buildup would increase the strategic importance of neighboring Iceland, which has airfields, ports and surveillance infrastructure that provide a natural staging ground for operations in Greenland and across the North Atlantic.

“Iceland’s contribution is being a base, our actual country. Literally,” Iceland’s Prime Minister Kristín Frostadóttir told The Wall Street Journal in an interview last month. “A lot of the logistics that go to Greenland actually go through Iceland, just because of the geography. So there might be some increase in services in that area, and you know we’re

going to be open to that.”

Rubio’s visit—part of a three-day tour of North Atlantic Treaty Organization allies that includes Greece and Portugal—comes as the U.S. turns military attention back on the Arctic after Washington largely deprioritized the region after the Cold War. Iceland became a founding member of NATO despite having no standing military, underscoring the importance of its location.

The U.S. ended its permanent military presence in Iceland in 2006 as it shifted forces elsewhere. But the island’s location on a strategic maritime corridor has become increasingly important as the U.S. and NATO partners aim to monitor Russian submarine activity and protect undersea infrastructure.

On Tuesday, Rubio toured a U.S. Navy P-8A Poseidon at Keflavik Air Base, one of the

maritime-patrol aircraft that rotate through Iceland to hunt and track submarines across the North Atlantic. He re-created a famous photo with his Icelandic counterpart at Höfði House, highlighting Iceland’s role in the landmark 1986 summit between former President Ronald Reagan and Soviet leader Mikhail Gorbachev.

“The reality of it is the world has changed over the last 20 years,” Rubio said. “Our focus has changed. There’s a lot of focus on the Arctic.”

But Trump’s threats to take control of Greenland, “whether they like it or not,” strained the NATO alliance and rattled Iceland. Thousands of people signed a petition urging Iceland to reject Trump’s pick for ambassador, Billy Long, after he reportedly joked that Iceland would become the U.S.’s “52nd state,” and that he

would become the governor. Long later apologized.

A Gallup poll last year found nearly three-quarters of Icelanders viewed U.S. interest in Greenland and the Arctic as a threat. In August, Justice Minister Þorbjörg Sigríður Gunnlaugsdóttir wrote that Iceland and its Nordic neighbors must confront the fact that “a threat comes from the United States.”

Tensions escalated again last month, with Iceland summoning Long after Trump posted an image of the island covered by the U.S. flag and labeled the “United States of America,” which its prime minister called an “insult” and “ridiculous.”

On Tuesday, Rubio sought to smooth over such difficulties, stressing that Washington wouldn’t expand its military activities in Iceland without the country’s cooperation, and emphasizing U.S.

respect for its sovereignty.

“We are looking forward, not backwards,” said Foreign Minister Thorgerdur Katrín Gunnarsdóttir.

The episode has nevertheless left a mark on U.S. relations with the region. Trump’s threats were a “big shock” and it will take some time to rebuild trust, Frostadóttir said, but she called the renewed U.S. focus on the Arctic is a “silver lining.”

“We’ve been trying to get people’s eyes up north for a really long time,” she said. “Let’s not be naive about Russia, about China, about everything that’s going on.”

The U.S. push to devote more military resources to the Arctic is colliding with competing demands. A NATO exercise in Iceland last month saw a smaller military presence than in exercises in previous years.

Germany’s
Ex-Spy
Chief Held

Continued from Page One

day of the invasion in 2022 and had to be exfiltrated by road.

Several BND workers, including some senior ones, were detained in recent years on suspicion of passing classified information to foreign powers, including Russia.

The arrest of Hanning is a significant setback for Chancellor Friedrich Merz, who appointed Martin Jäger, the agency’s current head, with a mandate to restore its reputation.

Jäger is overseeing the BND’s transformation from a pure information-gathering and analysis outfit into a harder-hitting secret service with expanded powers, including the ability to strike back following cyberattacks.

The bill beefing up the powers of the BND and the BfV domestic-intelligence agency is currently making its

way through Parliament.

News of the arrest comes a day after Jäger and the domestic- and military-intelligence heads faced Parliament for a regular question-and-answer session.

A spokesman for the German government declined to comment, citing the investigation. The prosecutor’s office didn’t return a request for comment.

“The BND initiated extensive internal investigations at an early stage and without delay, which substantiated the suspicions,” Jäger wrote in response to an email requesting comment. “For the BND and for me, there can be no compromises regarding internal security. None of my goals or priorities are being called into question by this incident.”

The arrest could raise questions among the BND’s foreign partners about whether the agency can get on top of the leaks that have marred its reputation in recent years. In late 2022, German authorities arrested a senior BND officer on suspicion of passing information to Russia.

Hanning faces possible charges of treasonous espionage, illegally obtaining state secrets, attempted treason



August Hanning was detained at his North Rhine-Westphalia home on Tuesday.

and espionage, the prosecutor’s office said. Manfred D. is suspected of aiding and abetting attempted treason and treasonous espionage.

In early 2010, after Hanning retired from public service and created his own consulting firm together with his wife, the two men agreed that

Manfred D. would seek to obtain BND information and pass it on to Hanning in exchange for payment, the prosecutors said.

In one case, Hanning used classified information to prepare an analysis for a foreign intelligence worker, the prosecutors said, adding that it

wasn’t known whether Hanning’s paper eventually reached its intended recipient.

Hanning was also in regular contact with an employee of another intelligence organization whom he provided with political information over several years that was in part compiled with the help of the

documents gathered by Manfred D., the prosecutors said.

It isn’t clear which countries the two foreign intelligence contacts worked for, but a person familiar with the investigation said Russia wasn’t one of them.

Investigators aren’t currently looking at further suspects beyond Hanning and Manfred D., the person added.

After leaving the BND, the former spy chief returned to the interior ministry, where he had worked in the 1970s. From 2005 to 2009 he worked as deputy minister under the late Wolfgang Schäuble in Chancellor Angela Merkel’s first government.

After retiring from public service, Hanning remained an oft-quoted public figure, writing essays and giving numerous interviews on security issues and geopolitics.

The suspicions around his alleged spying first arose last year when Hamburg prosecutors discovered documents during a search of Hanning’s office in the course of an unrelated criminal investigation and passed them on to the general prosecutor’s office, which is responsible for espionage, terrorism and politically motivated crimes.

WORLD NEWS

French Government Lays Out Steps to Set Cuts

By Stacy Meichtry
And Noemie Bisserre

PARIS—French Finance Minister Roland Lescure said the government is prepared to exercise special constitutional powers and circumvent Parliament to pass billions in spending cuts if negotiations stall over next year’s budget.

Lescure said he was willing to negotiate on all aspects of the budget, but he has two red lines—sticking to a maximum budget deficit of 5% of gross domestic product and avoiding any changes that hurt growth.

Lescure laid out the government’s strategy for steering the measures through a National Assembly that is fragmented and warring ahead of next spring’s presidential election. If a majority of lawmakers are ultimately unwilling to pass the budget,

Lescure said, the government is ready to invoke clause 49.3 of the French constitution, which allows the government to pass laws without a vote in the National Assembly.

“We’re going to use whatever it takes,” Lescure said.

Investors are worried the paralysis of France’s political system is making it impossible to rein in public spending, fueling a recent surge in the country’s borrowing costs. The budget’s 43 billion euros, roughly equivalent to \$48.4 billion, in cuts, which Lescure detailed last week, are drawing criticism from the race’s leading candidates, far-right leader Marine Le Pen and far-left firebrand Jean-Luc Mélenchon.

The budget talks are unfolding against a backdrop of nationwide student protests that began in September. Protesters are demanding the government

boost spending on the education system by fixing crumbling infrastructure, reducing class sizes and hiring teachers.

On Tuesday, more than 260,000 students, parents and teachers took to the streets as protesters blockaded hundreds of high schools. Protests turned violent in parts of the country as some demonstrators set trash cans on fire, destroyed bus stops and threw projectiles. Police responded with batons and tear gas. More than 200 students were wounded during protests, French authorities said.

Protesters are also angry over Lescure’s budget cuts, casting them as austerity measures. The budget aims to

increase education funding by €1.2 billion but also plans to cut more than 1,500 teachers’ jobs as the number of students declines.

If the government exercises clause 49.3 of the constitution, lawmakers can counter by calling for a vote of no confidence that, if passed, would oust the government and kill the budget. That is precisely what happened to France’s previous two prime ministers when they attempted to introduce spending cuts in recent years.

If the current government of Prime Minister Sébastien Lecornu senses it doesn’t have

the votes to survive a no-confidence motion, it still has a tool at its disposal to get the budget passed—a series of executive orders. That option is available 70 days after the bill is submitted if it still hasn’t been put to a final vote.

“That is kind of a guard-rail,” Lescure said. “There’s always a fallback plan.”

A major point of contention is Lescure’s plan to lower the rate at which many pension payments are indexed to inflation. Pension payments rose 5.4% in 2024 at a cost of €15 billion, Lescure noted. “If we don’t do anything, there’s 15 billion more to spend on pensions next year.”

Both Le Pen and Mélenchon are campaigning on plans to expand the 14% of GDP that France currently spends on pension payments by pushing the age of retirement to as

low as 60.

Lescure said he added a special clause to the budget—after discussions with lieutenants for Le Pen and Mélenchon—that will allow the winner of the spring elections to “reverse” parts of the budget, including the measure on pensions payments.

Lescure said it was in the interest of Le Pen and other candidates to let the government pass a budget soon so they can move onto their presidential campaigns. If they don’t, the budget fight could bleed into next year, fueling uncertainty and hurting economic growth.

“They’re going to be either inheriting a budget that’s sound, that’s hard, that can be changed in the details they don’t want—or no budget,” Lescure said. “And if there’s no budget, then it’s a mess.”



France has more than \$1 trillion in debt coming due by 2030. Above left, the French flag flying at Élysée Palace; above right, President Emmanuel Macron in July.

France Turns Into Debt Bomb

Continued from Page One

the economy in what its central-bank chief recently called a “gradual stranglehold.”

The selloff is fueled by concerns that France has become so ungovernable that its political system can no longer take corrective action. In recent years, lawmakers in the fractious National Assembly have ousted one prime minister after another who attempted to restore fiscal order with spending cuts. With presidential elections approaching in the spring, leading candidates to replace President Emmanuel Macron, who is term limited, are showering voters with promises to expand government spending.

Marine Le Pen, the far-right candidate who is leading in the polls, has vowed to push France’s age of retirement as low as 60 years old, a measure she says would cost the state an extra 9 billion euros (about \$10.1 billion) a year.

Her closest rival in the polls, far-left leader Jean-Luc Mélenchon, wants the European Central Bank to freeze or wipe away the French bond holdings of the Bank of France, a sum worth 488 billion euros.

“Throw it in the fire,” Mélenchon quipped.

Magic money

The rhetoric, some economists say, is symptomatic of a country that has lost touch with fiscal reality. France’s debt woes are rooted in decades of overspending to fund a sprawling welfare system that conditioned the public to expect coddling from the state, particularly in times of crisis. The country hasn’t balanced its budget since 1974.

“In France we have this reflex of always asking the state for a bit of magic money—to pay, pay, pay,” said Sylvain Maillard, a lawmaker in Macron’s centrist party.

Macron, a former investment banker and technocrat, billed himself as a leader prepared to shock the country back to its senses. He loosened labor-market rules, cut corporate taxes and abolished the country’s wealth tax, measures his camp says helped drive growth and bring the deficit below the EU’s mandatory threshold of 3% of GDP in

the early years of his presidency.

Over the years, however, Macron turned to public spending to solve one crisis after another. The shift began with Macron’s unleashing at least 10 billion euros to mollify the violent yellow-vest protest movement, and escalated sharply as France coped with the Covid-19 pandemic and the energy crisis sparked by the Ukraine war.

Macron responded with massive spending programs to shield companies and households from the fallout. Macron coined a slogan for the approach: *Quoi qu’il en coûte*, or “whatever it costs.”

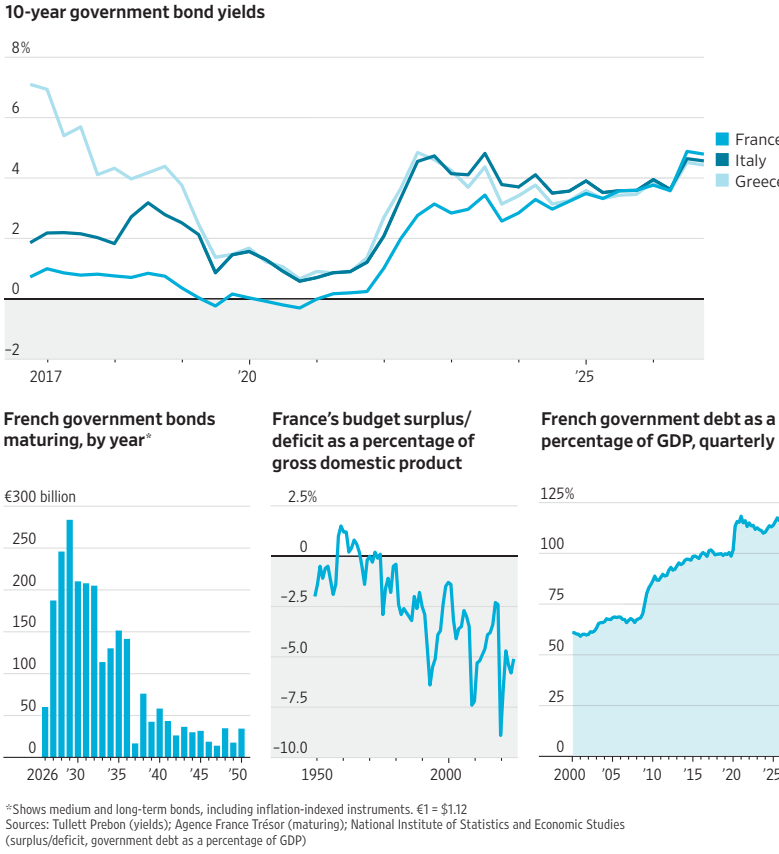
Some measures added financial burdens that would weigh on state coffers well beyond the pandemic, such as an additional 10 billion euro annual cut in corporate taxes. Macron also poured tens of billions of euros into a program that capped energy prices after Russia invaded Ukraine—subsidies that persisted as Europe’s supplies of natural gas stabilized.

“There was an infusion of public money, and no one in the government had the courage to pull the plug,” said Senator Jean-François Husson, a conservative who oversaw a Senate investigation into the spending.

The unprecedented mix of stimulus, inflation and swings in postpandemic demand threw off economic forecasting models that the finance ministry used for annual budgeting. The scale of distortion started coming into focus in 2023 as Macron was weaning the country off the programs.

On Dec. 7, 2023, Finance Minister Bruno Le Maire received a confidential memo from treasury officials warning of a shortfall in tax receipts, according to a copy reviewed by The Wall Street Journal. A windfall tax the government had recently imposed on energy producers—to help recoup some of its spending on the price cap—was only delivering a fraction of the 3 billion euros in tax revenue that had been forecast. Value-added taxes were also missing their targets, the memo said, while the cost of government spending had been underestimated.

The treasury officials estimated the errors might widen the 2023 budget deficit to 5.2% from the initial forecast of 4.9%, potentially opening a 9.2 billion-euro hole in public accounts. The memo advised Le Maire not to disclose the findings to the public, because the estimates were still clouded with uncertainty. Corporate tax



receipts were still unclear from companies that had yet to report their 2023 results.

The timing of the memo was delicate. The National Assembly had just given final approval to the 2023 accounts, casting votes based on figures that now appeared erroneous. The mistakes risked bleeding into budgets for years to come. Prime Minister Elisabeth Borne, meanwhile, was on a tight deadline to push the 2024 budget through the assembly by the end of the year.

Le Maire wrote to Borne on Dec. 13, recommending the government inform the public and make 300 million euros in immediate cuts to the 2024 budget before pushing it through parliament, according to a copy of the letter reviewed by the Journal. He also advised Borne to follow that up with 10 billion euros more in cuts.

Borne was broadsided—and didn’t inform the public. She was in the middle of passing a highly contentious immigration bill that was testing her support in the National Assembly. To get the 2024 budget through parliament, she planned to invoke a special clause of the constitution allowing her government to circumvent a vote on the matter.

“We could no longer change

anything in the budget,” Borne said in an interview. “We were in the home stretch.”

Borne resigned in early January shortly after the budget passed. Macron appointed 34-year-old Gabriel Attal as prime minister. Le Maire moved to cut billions in spending through executive orders, a regulatory power that doesn’t require parliamentary approval.

The state’s finances, however, were deteriorating fast. Corporate tax receipts were coming in far below forecasts. Many companies that once relied on paid-leave subsidies and pandemic-era tax benefits were struggling. In February, another treasury memo, which was reviewed by the Journal, informed Le Maire that the 2023 deficit could reach 5.6% while the 2024 budget gap might widen to 5.7%, compared with the 4.4% forecast contained in the recently passed budget bill.

Le Maire suddenly had a 40 billion-euro hole to plug, a sum that he argued exceeded the government’s power to make cuts without the National Assembly’s approval. He began pushing Macron and Attal for new legislation that would correct the 2024 budget with up to 20 billion euros in cuts—in addition to those he had al-

ready made. Macron had relied on a fragile alliance with establishment conservatives in the National Assembly to pass previous legislation, and Le Maire contended that conservative lawmakers would ultimately fall in line with his plans.

‘Whatever it costs’

Attal opposed Le Maire’s approach, preferring to continue using the government’s regulatory power to make cuts, according to Rayan Nezzar, Attal’s economic adviser at the time. Engaging parliament risked a drawn-out debate with opposition lawmakers who would push for tax increases that could hurt growth, he said. “‘Whatever it costs’ was still on everyone’s mind, and everyone was still living in a world where money was cheap. Debt was not an issue,” he said.

Macron had other considerations. European Parliament elections were around the corner in early June. Macron had made Attal the fresh face of the campaign. If the government went before parliament seeking approval for a massive correction in the 2024 budget, Macron’s conservative allies might revolt. Attal risked being ousted from office in a no-confidence vote as voters headed

to the polls.

In early April, Macron invited a small group of lawmakers to dinner in the Élysée Palace. The president delivered his verdict, according to Maillard, who was in attendance. “I hear people talking about a corrective budget. I don’t see the point of it,” Macron said, adding: “Our problem isn’t excessive spending. The problem is lower tax revenue.”

Instead, Attal prepared to exercise his regulatory powers again, lining up about 10 billion euros in additional cuts that he had yet to implement as voters went to the polls in June.

Marine Le Pen’s far-right party ended up trouncing Macron’s forces in the European elections. Macron told his ministers he planned to dissolve the National Assembly and call snap elections.

A strong showing in the elections would have strengthened Macron’s hand in the National Assembly, clearing the way for him to make significant cuts. Instead Macron’s party bled seats. Attal resigned, freezing billions in spending on his way out for his successor to handle.

“People didn’t realize at the time that 2024 was perhaps the last, or one of the last times that we were still able to reduce our deficit in a proper way,” said Nezzar, Attal’s economic adviser.

The National Assembly was now divided between three blocs—Le Pen’s, Macron allies and a rowdy leftist coalition including Mélenchon—that promised gridlock.

The annual process of passing a budget turned to chaos, toppling successive prime ministers who had proposed big spending cuts and rattling markets.

What appeared to be a slow-moving fiscal erosion turned urgent in recent months. The rise in interest rates sparked in part by the war in Iran has hit France especially hard, with investors taking aim at countries with high debt loads.

The wild card that could push France to the edge is the upcoming presidential election. Investors fear neither Mélenchon or Le Pen are taking France’s financial problems seriously.

Investors often describe bond markets as enforcers of financial discipline, citing countries like Greece that transformed their finances after painful debt crises. Charles Rodwell, a centrist lawmaker who sits on the finance committee of the National Assembly, said he hopes market pressure will help focus minds across the political spectrum, adding: “We need shock therapy.”



Taking the Scenic Route To Airport in a Robotaxi

There’s a new way to get to and from travel hubs, but no one’s driving

 **CARRY ON**
DAWN GILBERTSON

Phoenix
Ordering a pre-dawn rideshare to the airport is always a crapshoot. You never know how long it’ll take to find a driver. Then you cross your fingers they won’t cancel. And there’s always the risk of olfactory overload.

None of these was an issue on my 5:30 a.m. Waymo ride to Sky Harbor International Airport in late September.

There were other challenges, though. My driverless Jaguar picked me up in a golf course parking lot a three-minute walk from my condo complex. And the ride took more than 30 minutes longer than normal due to circuitous routing.

Robotaxi operators are lining up to take travelers to and from airports across the country. Despite some backlash over safety concerns, operators are hoping to eat into a business dominated by Uber Technologies, Lyft, taxis and car services.

The number of airports with driverless service today is small, but **Alphabet’s** Waymo alone says it’s in active negotiations with dozens. It is far along in the final testing phase to operate at airports in Nashville, Las Vegas, Miami, Atlanta and Dallas Love Field.

Amazon.com’s Zoox just started service at the Las Vegas airport. And Tesla is eyeing autonomous San Francisco airport rides.

So I let Waymo take the wheel on three airport rides in Phoenix in September. Sky Harbor became the first U.S. airport to offer ro-



botaxi rides, in late 2022, and Waymo has since expanded to major airports in San Jose, Calif., San Francisco and San Antonio.

I had taken several Waymo rides around the metro area but hadn’t tried an airport pick up or drop off. It all went pretty smoothly, if slowly. The cars are new, spacious, clean and comfortable. There’s a steering wheel but no annoying small talk, no drivers on personal calls or music that’s not your jam.

Dare I say they were the most relaxing airport rides I’ve had (pick-up logistics aside)? That sounds unhinged if you have seen the viral Jimmy Kimmel video with his aunt screaming in a driverless car. And, yes, I worried a few times whether the robot saw the braking vehicle in front of us. But I’m a skittish driver and passenger in any car. So the slow pace and cautious driving was refreshing.

My cars didn’t run any red lights, collide with another car or

take off with my suitcase still in the trunk. Nor did it break down in a hotel valet lane like one reader saw a Zoox do this summer in Las Vegas. The only issue came at one airport drop off when a slightly ajar door made Waymo think something was wrong.

I got to try a standard Waymo and the new mini-minivan-like Ojai cars with sliding doors, more room and more tech.

Here’s more to know:

Robotaxi rules vary by airport: In Phoenix, the cars drop off and pick up at the curb. In San Francisco, the drop-off and pick-up spots are at the rental-car center or Grand Hyatt airport hotel and you have to take the airport train.

That can be a hassle and time suck, especially if you’re lugging suitcases. But be patient when a new service begins because things can change. Phoenix passengers initially had to be picked up or dropped off at an airport shuttle station.

Clockwise from top left: Dawn’s Waymo approaching Phoenix Sky Harbor International Airport for a drop off; a Zoox ride on the Las Vegas Strip doubles as a tour; inside a Waymo Ojai robotaxi and Waymo’s newer, bigger robotaxi: the Ojai.

Sometimes the rides are cheaper than Uber or Lyft, but not always. This, too, will vary by airport, time of day, traffic and other factors since pricing is dynamic.

Each of my Waymo airport rides was cheaper than Uber and Lyft’s comfort rides, which cost more than standard rides but don’t always deliver in my experience. For a midweek afternoon trip from the airport to my house, Waymo charged \$25.21 versus \$41.99 for Lyft and \$63.99 for Uber. And there’s no tipping a driver, of course, which I routinely do.

That said, Uber and Lyft were significantly cheaper than Waymo on a Saturday afternoon trip from a Scottsdale resort to my house.

Pick ups and drop offs at home can be a hot mess. No matter how many times I put my exact address into the app for that 5:30 a.m. trip, Waymo listed another pick-up address. So it became a game of “Find My Waymo.”

I have only been dropped off once on the right side of my street. I live in a congested condo complex, and the company says it finds the nearest safe spot to pull over.

It suggests pinning your location but a) who has time for that when the sun’s not up and b) I didn’t find the map particularly helpful. The airport drop-off and

pick-up spots were easy as they were next to Lyft and Uber.

Brace yourself for a bonkers route in some cases. This is especially true until the services have free-way approval in a city, and then only if they deem it safe to use at the time of your ride. Waymo has freeway access in Phoenix but didn’t use it on my trips.

On my first ride from the airport, I panicked because the car headed south instead of north. I figured I put in the wrong address.

Nope, that’s the way it goes to avoid busy intersections, construction and certain left turns. Even so, it had no problem doing a U-turn by an out-of-the-way industrial park to get us heading north again. I toured several neighborhoods on my way home both times (a bonus I suppose if you’re visiting and enjoy stunning mountain views) and took side streets to the airport.

Budget extra time. The circuitous paths and under-the-speed-limit driving means you have to budget extra travel time. Both of my trips home from the airport, a 15-mile trip on the freeway, took 48 minutes, double the usual. And that’s in addition to any wait time.

The wait time for a pick up when I returned from a business trip last week was 15 minutes. I texted my daughter that I wouldn’t be home for over an hour because I was taking Waymo.

“Obviously don’t take that,” she said.

I did. And she might be off the hook as my favored airport shuttle after this experiment—as long as Waymo figures out where I actually live.

Middle-Schoolers Seek Out AI Friends

 **FAMILY & TECH**
JULIE JARGON

Mileva Repasky was worried about her 12-year-old daughter Madelyn. The typically chipper sixth-grader had grown moody and quiet.

On the way home from dance practice one day in May, she learned why. Madelyn told her she had been talking to someone online. She was nervous that her mom would be mad. Mileva’s heart sank. Every parent’s nightmare is that their child is communicating with a predatory adult.

“It’s not a person, it’s a chatbot,” Mileva recalls her daughter saying.

Mileva, a mother of four in Phoenixville, Pa., wasn’t sure whether to be relieved or even more concerned. She had read the headlines about adults and teens who suffered delusions and formed unhealthy attachments to chatbots, sometimes subsequently taking their own lives.

Now, even younger children are getting hooked on chatbots.

Artificial intelligence use among more than 2,300 middle-school students is increasing rapidly—and any AI use is associated with higher social anxiety and depressive symptoms, according to a paper, currently under review, from researchers at the University of North Carolina at Chapel Hill. The more often the students use AI, the more anxious and lonely they become.

“We found that two to four kids in every classroom are now reporting they prefer interaction with a chatbot over a human peer,” says Mitch Prinstein, co-director of UNC’s Winston Center on Technology and Brain Development and one of the study’s authors. “This is a pretty existential concern for this generation.”

At this age, young adolescents’ brains are being wired to build relationships, so the risks compound.

“There’s research that shows the experiences we have with peers at this age predict a whole slew of outcomes well into our 40s and 50s—things like our career advancement, marital satisfaction, child-rearing style and even our health,” Prinstein says. “When kids replace human relationships with chatbots,



they’re missing major learning opportunities to develop the interpersonal skills they’ll need for a lifetime.”

The study involved students in grades six through eight at 22 middle schools in a large southeastern state, with a first wave in December 2025 and a second wave this past April and May.

One in five students in the study said they used AI for emotionally intimate companionship. Students who reported higher levels of AI

use for friendship were more likely to later report higher levels of loneliness, the researchers found, undermining their intended goal in turning to the chatbot in the first place.

Madelyn, now in seventh grade, declined to be interviewed for this column. However, she allowed her mom to share her story.

Loneliness is what drove her to seek out a chatbot. A classmate had told her about a website where

she could create a character to chat with if she ever felt lonely or bored.

As Mileva talked to her daughter about the chatbot, she learned that Madelyn grew lonely as her older brother was graduating from high school and her older sister, now a high-school freshman, was busier with friends.

Mileva discovered that Madelyn used all of her allotted daily half-hour of iPad time to talk to the chatbot. She had declined FaceTime calls with friends in favor of talking to her virtual friend.

“She engaged with it every possible second she could,” Mileva says. “I didn’t realize she felt so lonely and that she was seeking validation from it. She said the chatbot understood her and agreed with her, and I said that’s what they’re designed to do.”

What scared Mileva was how unaware she had been of her daughter’s chats. “How long are these kids talking to chatbots before there’s a red flag that’s thrown up?” Mileva blocked Madelyn’s internet access, and has been trying to fill her daughter’s time with more in-person hangouts with friends. She says it’s been hard on Madelyn, who cried when she learned she would no longer be able to talk to the bot.

“She had this ‘person’ who she felt understood everything she was sharing,” Mileva says. “We’re hopeful that everyday she’s removed from the chatbot, she’s into more human connection.”

PERSONAL JOURNAL.

By SAABIRA CHAUDHURI

Interest in natural fibers such as cotton and wool is rising as people seek clothing that’s safe and sustainable.

Some shoppers are turning away from synthetic fabrics, concerned that they contain potentially dangerous chemicals and shed microplastics, and as U.S. consumers show a desire for consumer products with safer ingredients.

Worldwide, the share of google searches for “100% cotton” roughly quadrupled over the past year from a year earlier, according to Google Trends data. At **Urban Outfitters** and **Inditex’s** Zara brand, “cotton” appears in new-product names 30% and 28% more often than a year earlier, according to retail research firm Edited. On TikTok, influencers are showing off natural-fiber clothing “hauls” and promoting the garments’ benefits.

“They’re not chemically synthesized like synthetic fibers so they’ll naturally biodegrade and can be returned to the earth,” Summer Dean, who goes by Climate Diva on TikTok, told her followers last year, urging people to “check that fabric label.”

But while natural fibers in many cases may use fewer chemicals than synthetics, a body of research is challenging whether they deserve a free pass.

Natural fibers remain largely overlooked by scientists, and research on their prevalence, persistence and toxicity lags behind that of plastic fibers, says Thomas Stanton, a Loughborough University researcher who studies material pollution in water bodies. “I have repeatedly come up against reviewers basically saying, ‘natural fibers aren’t an issue,’ but with no evidence to say that,” he says.

Host of chemicals

Textile manufacturers add chemicals to natural-fiber clothing to impart certain properties. These include PFAS—or perfluoroalkyl and polyfluoroalkyl substances—to repel water and stains, formaldehyde-releasing resins to resist wrinkles, biocides to control odor, silicone softeners and dyes.

Natural-fiber clothing also may contain chemicals that weren’t added deliberately. Researchers have found hormone disruptors

Scientists Are Scrutinizing Natural-Fiber Clothing

Consumers assume cotton and wool pose no health risks and don’t shed



At Zara, ‘cotton’ appears in more new-product names. Left, workers fill cotton textile fabric orders in China.

chemicals than synthetics.

When Dostberg recently examined children’s garments sold in Sweden, he detected the highest number and levels of chemicals in garments made of 100% polyester, and the fewest and lowest levels in white and light-colored cotton. He found that many of the chemical residues in cotton and cotton-rich garments can wash out during laundering, but also that chemicals can migrate more readily from cotton than polyester into sweat.

He advises washing new clothes before wearing them, separately so chemicals don’t migrate into other clothes. He also recommends white cotton for clothing worn directly against the skin, but cautions that research into cotton dyes is in its infancy.

Anti-odor is another increasingly common claim found on clothing labels, says Rebecca Fuoco, director of science communications at the nonprofit Green Science Policy Institute. Such clothing contains antimicrobial coatings to suppress odor-causing bacteria. These include silver-based compounds, quaternary ammonium compounds—or QACs—and zinc-based chemicals. Some enter wastewater during washing.

such as Bisphenol A—or BPA—in cotton-rich socks and phthalates in children’s and infant’s clothing. One study showed that cotton can pick up phthalates from indoor air more readily than polyester.

Whether a chemical in clothing poses a health risk to its wearer depends on how much is present, how readily it can migrate from fabric and penetrate skin, how much skin the garment touches and for how long, how much is absorbed and what levels are considered safe, says Awat Dostberg, a textile-chemicals researcher at Stockholm University.

In 2022, Miriam Diamond—an environmental chemist and University of Toronto professor—found that 100% cotton school uniforms contained the highest PFAS levels among the cotton and synthetic-blended uniforms she tested in the U.S. and Canada.

Research on chemicals in clothing is scant and no ordinary clothing has been shown to cause systemic illness in consumers. From

studying PFAS in general, however, scientists know that some can migrate into sweat or potentially be inhaled.

Some countries, as well as U.S. states such as California and New York, have started to restrict PFAS in consumer clothing. And while textile makers are increasingly replacing PFAS with other water-repellent coatings, there is no guarantee the alternatives will be safer, says Petr Valenta, an expert in chemical hazard assessment at bluesign, a Swiss textile-standards company. “You fix one thing and you break another,” he says.

As research continues to evolve, so do chemical formulations and testing protocols across the textile supply chain, says Mary Ankeny, head of product development at Cotton Inc., which represents the U.S. cotton industry. Continued progress toward safer alternatives and more transparency is important, she adds.

Some research suggests that cotton clothing contains fewer

Buffett’s YouTube Addiction

Continued from Page One says Sharon Osberg, a close friend and frequent viewing companion. “It can be the silliest things.”

Buffett also goes down random rabbit holes—just like us! The next day he’ll come into his office, gushing about a moving amateur rendition of “My Way.”

In August, Osberg visited Buffett’s home in Omaha. They spent hours on YouTube.

“We watched a really good documentary on Roy Cohn,” she says. “And the Uzbekistan version of America’s Got Talent.”

That would be O’zbekiston Got Talent. It’s unclear if Buffett is one of the channel’s 34,500 subscribers.

Buffett, who recently turned 96 and stepped down as Berkshire’s chairman, declined to comment about his YouTube habits.

For much of his life, Buffett has been slow to embrace technology. It took years for him to get an iPhone, and he still has others send and receive his emails. When it comes to YouTube, though, he’s firmly in the cultural zeitgeist. Last year, YouTube became the most-watched video provider on televisions in the U.S., with people now enjoying YouTube on TV sets rather than on phones or other devices.

That’s exactly how Buffett watches it—on an enormous television in his home. At the office, he’s known for poring over annual reports, searching for nuggets that can lead to a profitable investment. Mornings are dedicated to CNBC. Evenings, though, are all about YouTube. The content is hardly ever related to investing or finance, friends say, to their amusement.

In January, Buffett handed over his role as the company’s chief executive officer, but he’s remained involved in investment decisions. Over the past year or so, Berkshire



Buffett recently binged Uzbekistan’s version of ‘America’s Got Talent.’

Hathaway has become a major shareholder of YouTube’s parent, Alphabet, accumulating a stake worth about \$38 billion.

His passion for YouTube has to be the secret reason why Berkshire became so bullish on Alphabet, right? Nah, he just really likes watching the clips, friends say. Often, they relate to his lifelong passions: show tunes, railroads, the big-band era, Nebraska and early Frank Sinatra performances from the 1930s.

The clips often relate to his passions, like railroads and early Sinatra.

Friends joke that he’s such an expert at navigating the platform that YouTube’s management would benefit from a tutorial.

Buffett is a fan of other kinds of entertainment, too, especially Turner Classic Movies. The channel sometimes features “12 Angry Men,” a longtime Buffett favorite, starring Henry Fonda, another Omaha native.

Buffett doesn’t engage with his entertainment quite like the rest of us, though. Recently, he forgot where TCM

was on his cable box. Then it hit him: “2 to the 8th” he told someone. What Buffett meant was that TCM was on channel 256 of his cable box. (Perhaps he’s not like us, after all.)

Some may be surprised that the greatest modern-day investor spends his evenings watching clips of Bill Murray movies, including “Lost in Translation,” another favorite. Buffett sometimes has personal connections to the entertainers, which helps explain at least some of the passion. Murray is a longtime Berkshire Hathaway shareholder who has attended the company’s annual meetings.

“He really makes me laugh,” Murray told CNBC earlier this year. “Big, body laughs.”

But Buffett isn’t the only legendary investor known to unwind with unexpected diversions. His longtime partner and friend, the late Charlie Munger, was known to end the day with an episode of “Seinfeld” along with a good book.

“I do like a bunch of self-centered people making the wrong decisions,” Munger told an interviewer about the show. “It’s not really about nothing.”

Lately, Buffett has been turning to YouTube to remember Munger, who died in 2023. He’s been viewing Munger’s speeches, including a 2018 talk at the University of Michigan, marveling at his wit and wisdom, colleagues and friends say.

“You feel the bond between the two of them as he watches Charlie,” Osberg says. “It’s really quite something.”

The WSJ Daily Crossword | Edited by Mike Shenk

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- 25 Namely
- 26 Fork features
- 27 “You get a car!” shouter
- 28 Tower of London guards, familiarly
- 29 Remote location, maybe
- 31 Less friendly
- 32 Opening day players
- 34 Sullen
- 35 Worked diligently at
- 37 Youngest daughter on “Downton Abbey”
- 41 Spoils, perhaps
- 45 Columnist’s piece
- 46 Get snug
- 48 Silent performers
- 49 Cuckoo mascot of Cocoa Puffs
- 50 Ben’s “Good Will Hunting” co-writer
- 51 Home of the Buckeyes
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TAKE YOUR PICT | By Mike Shenk

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16 1982 sci-fi film with 2010 and 2025 sequels	38 Cannes consent	62 Leisurely movement	13 Sole
17 Being polite to the celebs arriving at a gala event?	39 1966 Michael Caine movie	63 Get rid of	18 Yonder thing
19 Four-time Tony nominee Esparza	40 Part of a quirky heating system?	64 All up in everyone’s business	23 Puccini production
20 ___ Poke (caramel candy)	42 Seller of Kajplats smart lights	65 Pump brand	24 Brew before bedtime, maybe
21 Drone from a drone	43 Pronoun for some	Down	
22 Like Vulcan ears	44 Either-or alternative	1 Rudimentary principles	
24 Campus figure	45 Feature of a casino “bandit”	2 River to the Caspian Sea	
25 November birthstone	47 Friendly relationship	3 Cruel emperor	
	49 Ignored the limit	4 Bar feature	
	50 Not stationary	5 Mock without mercy	
		6 Become prevalent	

► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).

Previous Puzzle’s Solution

HEAVY	BAEZ	MIST
INNIE	ULNA	ITSE
POTATOS	SACK	CLAN
SKI	GINO	AREST
ICECREAM	SCOOP	
BRER	ILK	FOP
OSSIE	DUO	OMNI
BACKWARD	MESS	SAGE
EYRE	SUE	HANES
SHO	CIS	WEAK
ELEVATOR	SHAFIT	
MYLES	BRIT	AHA
AKIN	DELT	ABLUES
TINS	ALOE	FILES
EDGY	MTNS	GETIT

ARTS IN REVIEW



Mr. Winter in the packed New York concert hall, left; the LP is out Friday, with a film version due in November.

MUSIC REVIEW | MARK RICHARDSON

Flying Solo on Stage

Cameron Winter performs alone at the piano on ‘Live at Carnegie Hall’

Beginning in December 2024, Cameron Winter had an eventful 12 months: He released his debut solo record, the odd and moving “Heavy Metal”; Geese, the Brooklyn indie-rock band he fronts, put out “Getting Killed,” its fourth LP, which competed with Rosalía’s “Lux” as 2025’s consensus album of the year (some outlets rated his solo collection nearly as high); and then, almost exactly a year after “Heavy Metal,” he played a show at Carnegie Hall, just him on the hallowed stage with a concert grand piano. Oh yes, and that set was shot by director Paul Thomas Anderson, whose wildly successful “One Battle After Another” was still in theaters (the concert film will be released next month).

Mr. Winter’s miracle year unfolded with so much industry recognition and good fortune that a backlash followed. Questions about the legitimacy of his group’s rapid growth—with some accusing the band of being an industry plant—came following a Wired article.

The record showcases both his gifts and his quirks as a songwriter.

The magazine reported that Geese’s label hired social-media accounts to praise the group, and even created fan accounts of its own. While this marketing strategy is common in the business, debate about the role it played in Geese’s rise continues. If anything, Mr. Winter’s album “Live at Carnegie Hall” (Partisan), out Friday, might drive a further wedge between the believers and the skeptics: It showcases his gifts as a songwriter and a performer while underscoring why his music isn’t for everybody.

The primary obstacle to Mr.

Winter’s work is his unusual singing style, which takes up even more space in this stripped-down setting. As with Tim Buckley in the early ’70s or Tom Waits in the ’80s, it’s a voice that constantly draws attention to itself—heavy vibrato, thrumming operatic projection, a falsetto that brings to mind Thom Yorke with a more piercing tone—and refuses to allow the audience to think about anything else. On the opening “It All Fell in the River”—one of three previously unreleased songs, with the rest of the material coming from “Heavy Metal” and two early singles—he sings the title phrase and adds that “I didn’t ‘Ooh!’ then / But I’m ‘Oohing’ now!” while punching up the vowels so they leap out of the melody. The record is filled with playful expressions along these lines, and it sometimes feels like Mr. Winter is discovering the music right at the moment he plays and sings it.

While Geese has a tendency to channel and then rearrange rock



history, Mr. Winter’s solo work has no such tether. His songs have sections that resemble verses, bridges and choruses, but they unfold in strange ways and seem inseparable from how he performs them. “Heavy Metal” mostly leaned minimal, with spare electronics and occasional percussion, and here Mr. Winter’s piano is thick with chords and repeating pulses. His playing has the stateliness of classical music, which makes his many funny lines more noticeable. “The Rolling Stones” appears to be about pumping himself up to write some-

thing great—he vows to keep working on a new piece “until the conga line behind me is a thousand chickens long”—and he dances all over the instrument, finally landing on an extended riff involving the highest notes on the keyboard.

The following “Love Takes Miles,” which might be Mr. Winter’s most accessible solo work, has a folk-like chord progression and a musical cheeriness that belies the song’s feelings of loneliness and desperation. He delivers couplets like “I need somebody sent down from the sun / That talks to me how you used to” as if he believes that if he stops singing he might die. Spiritual matters crop up regularly, but they are often played for a laugh. He wrestles with the possibility of the divine on “\$0” (“God is real, I wouldn’t joke about this / I’m not kidding this time”), admits “I don’t like what happened to Jesus / But I sure do like Saturday morning” on the previously unreleased “Emperor XIII in Shades,” and concludes on “If You Turn Back Now” that “the devil is real and he’s living in heaven.”

Near the end of the set, “Nina + Field of Cops” from “Heavy Metal” features Mr. Winter’s writing at its most Dylanesque. It lasts over six minutes, and his hands never stop pounding as he spits out phrases both surreally funny (“I’ll go to the great carnivals of pain / And fight entire fields of cops / And keep a coconut in my hand”) and just plain surreal (“I am reminded I am stupid, and in every upstairs room / A tall and daughterless Russian is kicking robins’ eggs to powder”).

“Live at Carnegie Hall” is a lot to take in, and it’s not the place to start with Mr. Winter’s work—best to go with “Getting Killed” and work from there. But the solo set is inspiring precisely because it’s challenging. In a world where a song can set chart records in part because no one minds when it pops up on streaming, it’s fun to engage with music that needs time to sink in.

Mr. Richardson is the Journal’s pop and rock music critic.

LEWIS EVANS

TELEVISION REVIEW | JOHN ANDERSON

‘Carrie’: Fresh Blood For a Horror Classic

THE 1976 ‘CARRIE,’ based on Stephen King’s debut novel, was also the first film adaptation of his work, a breakthrough for Sissy Spacek and a Brian De Palma masterpiece made out of repurposed parts of the American psyche—religious devotion, body horror, psychic phenomena, class distinction. Like much of the best horror, it was spare. But sometimes more is more.

The “Carrie” as formulated by Mike Flanagan (with Mr. King’s blessing) is an eight-part reimagining of the 1974 story and repositions it, with often bewildering accuracy, in the present day. To paraphrase a genre cliché, the call is coming from inside the school: The principal, Mr. Grayle (Matthew Lillard), is under siege; the teachers, such as Miss Desjardin (Amber Midthunder), feel abused. The mean girls are still unspeakably mean. But now they have cellphones. And social media. And anonymous Instagram accounts where they can torture the likes of Carrie White (the phenomenal Summer H. Howell), the new kid in school who knows almost nothing about life outdoors, never mind online.

Mr. Flanagan beefs up the backstory: When her father is killed in a construction accident, Carrie is discovered by social services to be living with her mother, Margaret (Samantha Sloyan), who has been keeping her daughter home-schooled and under virtual house-arrest. The state insists the girl enter the mainstream American education system while mom goes to work; the innocent, awe-struck Carrie en-

ters Ewen High with anticipation. The barb on Mr. King’s hook, sharpened by Mr. Flanagan, is how Carrie’s buoyant expectations, and ours, are so gleefully perforated. The setup implies that Carrie—intellectually curious, a clandestine book reader, a guileless innocent for whom Ms. Howell makes us ache—is being liberated from Margaret’s fundamentalist penal colony. It can only be an improvement. The girl is set free. But Milton liberated Satan by sending him to Hell. Carrie, instead, gets sent to an American high school.

Wonderstruck, then wounded, then wondering why, Carrie is targeted by the standard-issue coven of teen-movie witchery—the vicious, the stupid, and the one with just enough brains to understand right from wrong. It’s wrong, for instance, to pelt Carrie with sanitary products



when she has her first menstrual period during gym class and thinks that she’s dying. (Like Piper Laurie’s madwoman of 1976, Ms. Sloyan’s more complex Margaret is still unforgivable, for not having told her child the facts of life.) This is one of the more memorable scenes from the De Palma film, and it’s made exponentially worse when Carrie’s humiliation is recorded and posted. The almost-conscience-stricken Sue

Summer H. Howell, above, and with Samantha Sloyan, below, in ‘Carrie,’ Mike Flanagan’s series based on the Stephen King book.

(Siena Agudong) can’t get her sociopathic pal, Chris (Alison Thornton), to take down the post. Or to delete the Insta account she dubs “Carrie Red.” Their other BF, Tina (a spot-on Josie Totah), is more worried about the prom. She should be.

There are a satisfying number of justifiable homicides in “Carrie,” which begins with a conflagration consuming the Maine town of Chamberlain (Mr. King’s original locale), which is something of a sop to existing “Carrie” fans. They think they know where the tale is headed—and it is—but will be unsure of the route. And they might regard an eight-part reimagining of a short novel and 90-odd-minute movie as asking too much.

It’s not. Mr. Flanagan’s placing “Carrie” in today’s youth culture makes us pine for the days when Betty Buckley could simply banish Nancy Allen from the school dance. Mr. Lillard, on the money, plays an administrator infuriated by the

warped behavior of his most popular students, but who has to face parents with chips on their shoulders and self-serving agendas. Chris’s father (a terrifically loathsome Michael Trucco) wants his daughter to stop whining when she gets into Duke and he suddenly can’t/won’t pay—and threatens legal action when she’s disciplined. Margaret, making enormous strides in the gaffly business, takes no time in graduating from sheltered religious lunatic to schoolyard lawyer; she has ideological motives, but attacks Mr. Grayle and the school using legalities and the internet to rally parental support. (Her education does seem divinely assisted.) What Carrie learns about, other than her peers’ capacity for cruelty, is her own talent for telekinesis, the moving of objects with her mind, whether it is a mailbox lid or a car’s hood crushing its passengers.

Mr. Flanagan has introduced a subplot to the existing “Carrie” text that alters quite a bit of the narrative, which may be met with some disgruntlement. The calculation behind it will become obvious, but it is outweighed by the virtues of a version that indicts the online mob mentality, the anonymous sadism made possible by social media and the reflexive need of young people to record everything they see and share it on the web. To Mr. Flanagan’s enormous credit, he makes the image of a teenager with a lit-up phone in his/her hand emblematic of idiocy. He’s also made a modern classic into something vital and urgent, with, again, a marvelous performance by Ms. Howell. This may not be the “Carrie” we know, it’s true. But it may be the “Carrie” we need.

Carrie Begins Wednesday, Prime Video

Mr. Anderson is the Journal’s TV critic.

FROM TOP: ROBERT FALCONER/PRIME; LIANE HENTSCHEY/PRIME

OPINION

Hollywood, Ignore Hollywood



BUSINESS WORLD
By Holman W. Jenkins, Jr.

The streaming bubble burst and hasn't stopped bursting. Netflix's share price has been in steady decline since it entered and exited the battle for the Warner Bros. studio properties.

Covid happened, the Hollywood strikes happened, executives silently thankful for the excuse to cut back the production of unwatched shows. The world is packed with creative people, meanwhile, and new tools make it easy for them to compete.

Hollywood is having a hard time right now, but its biggest handicap may be a certain class of celebrity influencer that has been suffered for too long to live in la-la land. These are the ones telling themselves for the past two weeks that a legally meritorious lawsuit by 12 states to block Paramount's acquisition of the Warner assets was turned back only because nefarious CEO David Ellison threatened to move his company to Tennessee.

Wrong. The states' legal case was the real problem. Worse, California Attorney General Rob Bonta foolishly communicated to the Hollywood faithful that even bogus legal arguments would give him leverage to dictate terms to the merging parties.

Jane Fonda bought Mr.

Bonta's guff. Now she's "sickened" at how he "sold people in the entertainment industry, as well as consumers of our creative work, down the river."

"Hate to say it but we all got played," complained fellow actor and guff buyer Mark Ruffalo.

Writer-producer Mike Schur, known for "The Office" and "Parks and Recreation," holds forth on X and in podcast interviews as if antitrust isn't law; it's a magic wand that politicians can use to force companies to hire people they don't need and invest in movies the public isn't interested in seeing.

Happily, somebody did know better—every Democrat in the state except Mr. Bonta. Most amusing was Gov. Gavin Newsom's attempt in the immediate aftermath to make Mr. Bonta's climb-down settlement, largely under pressure from Mr. Newsom himself, sound like heroism. Nice try, but Mr. Bonta's career may be unsalvageable.

The Ellisons have been spared a prolonged legal ordeal to make even harder the job of keeping up two sprawling studio facilities located in the high-cost Los Angeles area. Their real asset for the future is the combined global reach of the HBO, Paramount+ and Pluto TV streaming services. In the meantime, the company's leaders will be harvesting every dollop of cash from the dying cable TV industry (itself

propped up by the NFL) to fund their giant debt.

Hollywood moans about job losses. Those losses were coming anyway. A celebrity contingent has no patience with using business methods to solve business problems; their only idea for improving their industry's competitiveness is tax breaks at the expense of other U.S. taxpayers.

In the Paramount-Warner fight, movie celebrities were often sources of bad advice.

Listen to Mr. Schur, the writer-producer: The function of corporate management and shareholders is to suffer in the name of art. No, in our system, their function is to bear ultimate accountability when Mr. Schur's brainstormers fail to attract an audience after millions of dollars have been invested in them.

Hollywood megadeals have a poor enough record. Warner Bros. is a top operator and yet has been passed around like a dented can of mushroom soup. Its two biggest acquirers in recent decades were AOL and AT&T, both all-time duds.

The Paramount acquisition might yet prove an improbable triumph for shareholders. The new owners just need to find the magic button to spit out hit shows while getting a

handle on costs and applying new technologies that so far only provoke revulsion from Hollywood union members.

Apparently free of the mental miasma that prevails in the Los Angeles basin, Jeffrey Katzenberg, the former Disney animation chief who spends more time nowadays in Silicon Valley, chose the moment of peak mourning to suggest on X that his former entertainment colleagues grow up and make peace with artificial intelligence. Good advice.

Clearly the public can consume both slop and quality entertainment in ever vaster amounts while imposing cost pressures on those who make it.

Witness Hollywood's scramble to sign up "creators" from YouTube and TikTok. Witness its reliance on game-based movie franchises for which somebody else—video-game designers—had to do the decades-long work of building audiences. Witness Netflix's adaptation to a business model of producing video Muzak for people primarily engaged with their phones.

The next thing to watch for: whether Larry and David Ellison, in their desire to be in better odor with the people they offended on their way to completing their merger, falter on the path ahead. Almost every precedent says they will. A much better outcome for Hollywood, though, would be their actual success in creating value for their shareholders and the media-consuming public.

How Big a Midterm Win for the Democrats?



POLITICS & IDEAS
By William A. Galston

With four weeks to the midterm elections, Democrats are odds-on favorites to win control of the House and an even-money bet to net the four seats they need for a 51-49 majority in the Senate. Polls and anecdotal evidence suggest that Democrats are more enthusiastic than Republicans about voting in November and are more likely to do so. The shift of Hispanic support away from the president and his party will dilute the effect of his mid-decade redistricting push, especially in Texas and Florida. It remains to be seen whether the Republicans' cash advantage and focus on the alleged danger of communism within the Democratic Party will be enough to counterbalance their structural disadvantages.

President Trump's declining support has created opportunities for the opposition party. Elected in 2024 with nearly 50% of the popular vote, the president's national job-approval rating stands at 38%. It has fallen sharply in many red states, such as Texas (43%), Ohio (42%) and Iowa (42%). Although Republican Senate candidates are running ahead of Mr. Trump in these and other contested states, his depressed standing will probably be too much for some of them to overcome.

Beneath the aggregates, some unexpected trends have emerged. Mr. Trump's tariffs

and trade war with China sharply reduced exports of soybeans in 2025, and the war with Iran has increased farmers' costs for diesel, fertilizer and other key supplies. Last year, crop farmers' cost for inputs exceeded their revenue by more than \$36 billion. Farm bankruptcies rose by 46% in 2025 compared with 2024, and they have soared again in 2026. Hard times in the agricultural sector, especially for crop farmers, have produced competitive Senate races throughout the Midwest, including Iowa, Kansas and Nebraska.

Mr. Trump's intervention in Republican Senate primaries has worsened his party's prospects in November. Exhibit A is his decision to back MAGA favorite Ken Paxton over Sen. John Cornyn in Texas, turning a near-certain victory into a competitive race that Democrat James Talarico is now favored to win. In South Carolina, the president's decision to back the late Sen. Lindsey Graham's sister, whose qualifications for serving in the Senate aren't obvious, could backfire: She leads by only 2 to 3 points in a state the president carried by 18 points in 2024. In North Carolina, Mr. Trump's threat to back a primary challenge to Sen. Thom Tillis helped drive Mr. Tillis into retirement, all but handing the seat to Democratic Gov. Roy Cooper over Michael Whatley, the president's loyal but lackluster choice. In Georgia, Mr. Trump's longtime feud with Republican Gov. Brian Kemp has strengthened Democrat Sen. Jon Ossoff, who was regarded as vulnerable a year ago.

On the other side of the ledger, unexpected Democratic vulnerabilities have emerged after some Democratic incumbents opted to retire. In New Hampshire, which Kamala Harris carried in 2024, Republican former Sen. John Sununu is giving Democratic Rep. Chris Pappas a tough race. In Minnesota, the party's Senate nominee, Lt. Gov. Peggy Flanagan, is finding it hard to escape the

Trump is hurting his party through both his unpopularity and choice of candidates.

drag of Gov. Tim Walz's mishandling of a huge social-services scandal centered in the state's large Somali community. In Michigan, progressive candidate Abdul El-Sayed, who defeated moderate Rep. Haley Stevens for the Senate nomination, leads Republican Mike Rogers by 3.5 points but is averaging only 48% of the vote and is running well behind the Democratic gubernatorial nominee, who leads her opponent by 9 points. A Democratic loss in any of these states would leave the party with the daunting task of winning three races in states Mr. Trump carried by double-digit margins in 2024 (four if Maine incumbent Susan Collins beats her flawed challenger, Troy Jackson, in a state where disapproval of the president stands at 64%).

Other trends have tilted the playing field against Republican candidates. Anger over the

Supreme Court decision wiping out many black majority districts in the House is likely to spur black turnout in November. Rising concern over artificial intelligence has left the administration and many Republican candidates on the wrong side of public opinion. While 44% of likely voters think that the Democratic Party has become "too extreme," this figure rises to 56% for Republicans. Voters believe that neither Mr. Trump nor congressional Republicans have devoted enough attention to high and rising prices, the people's top concern, and the president's focus on personal projects such as the White House ballroom, the Kennedy Center and the memorial arch has deepened this perception. As concern about public corruption increases, 52% of likely voters have come to believe that Mr. Trump has used his office to enrich his family and friends.

Whatever the outcome of the midterm elections, one thing is clear: Mr. Trump has forfeited a historic opportunity to turn his impressive 2024 performance into an enduring Republican realignment. The groups that flocked to him less than two years ago—especially independents, Hispanics and young adults—are now among his strongest critics. As public support for both major parties has ebbed and the country moves toward an election without an incumbent president in 2028, the parties' choices of candidates, issue agendas and overall orientation will be unusually consequential.

BOOKSHELF | By Ernest Hilbert

Reading Materiel

A Librarian's War

By Molly Guptill Manning
Oxford, 272 pages, \$34.99

It is hard to imagine a more arresting metaphor for literature in wartime than a tattered book in which a single bloody fingerprint repeatedly appears in the margins. Such a book was found by Ray Trautman in 1944, on the floor of a hospital in Belgium where wounded servicemen were being treated. For Trautman, who was serving as the chief librarian of the U.S. Army, that small discovery underscored the urgency of his efforts to supply troops with the books that meant so much to them. In "A Librarian's War," Molly Guptill Manning captures Trautman's remarkable life and accomplishments.

Ms. Manning, the author of "When Books Went to War" (2014), brings enthusiasm and a gift for storytelling to her account of Trautman's mission and the extent of its effects on the war effort and on book publishing afterward. According to Ms. Manning, his "expertise involved keeping soldier morale high, mainly by arming them with reading material—magazines, books, and comics." He was also behind innovations in book distribution, including compact editions of books light enough to be included with a soldier's kit.

Trautman was born in 1907 in Mowrystown, Ohio, a small community where books were scarce, and he learned to treasure them from a young age. His zeal for spreading the written word launched him on a journey that would take him

from the Library of Congress in Washington, D.C., to combat zones in the Ardennes Forest of Western Europe.

As a young man Trautman led a peripatetic life, studying geology and working in bookstores. He was interested in flying but, because of his poor eyesight, washed out of the Army Air Corps in 1933. In the months afterward, he embarked on an ill-advised expedition to find gold in the headwaters of the Columbia River in Canada. By the time he wound up at Columbia University in 1939, studying library science, he was determined to devote his life to books.

By 1940, however, Trautman felt duty-bound to volunteer for military service, requesting "active duty with a library assignment" in the Army. He was selected to oversee what remained of the Morale Branch's library program, which had grown largely stagnant since the mid-1920s. He began his work at the modest rank of first lieutenant, though he would be made a captain in 1941. Trautman found that the military's efforts to provide enrichment and entertainment to soldiers and sailors put an emphasis on "movies, post exchanges, radio broadcasts, athletics, and dramatics." Books had been given little attention. But Trautman was, Ms. Manning suggests, energized by his belief that servicemen would value reading as highly as he did.

Trautman's work began with a nationwide drive, managed through local librarians, calling for book donations for servicemen. Millions of books were eventually collected, but many were unsuitable for the purpose. Paperback publishing was still in its infancy, and most books were issued in hardcover. These proved especially unwieldy for soldiers' packs. Trautman began a crusade for more compact, lightweight reading material. By 1943 servicemen could receive illustrated magazines, such as Newsweek and Time, in reduced-size formats. This gave Trautman the idea that would lead to the production of Armed Services Editions, or ASEs—small, lightweight paperback books, which began shipping out to soldiers in late 1943.

U.S. troops in World War II wanted more books. One soldier who read Plato's 'Republic' asked: 'What else did he write lately?'

These special editions, slim enough to slip into a pocket, went everywhere men were under arms, from cockpits to foxholes—even to prisoner-of-war camps in Europe and Asia. They were read until they fell apart or were passed, in parts, to others. The first set of ASEs included Charles Dickens's "Oliver Twist" (1838) and John Steinbeck's "Tortilla Flat" (1935) as well as entertaining compilations such as the "Fireside Book of Dog Stories."

Among the most requested books was Betty Smith's 1943 novel, "A Tree Grows in Brooklyn." The biggest complaint was that there weren't enough to go around. One soldier, who was reading Plato's "Republic," asked "what else did he write lately?"

While publishers "exhibited a strong preference for... what might be called 'highbrow works,'" Ms. Manning observes, the favorites among enlisted men ran more to "westerns, mysteries, stories of adventure and page-turning fiction." On the eve of D-Day, a soldier confided to the journalist A.J. Liebling that "these little books are a great thing. They take you away." British units stationed near their U.S. allies would, according to one of Trautman's correspondents, "beg and borrow" ASEs whenever they could.

When he visited the Pacific theater, Trautman learned that Gen. Douglas MacArthur was opposed to the notion of resources being devoted to books in war zones, but the project fared better in Europe, where Gen. Dwight Eisenhower encouraged Trautman's plans to bring books to front-line troops after the D-Day landings.

In December 1944, Trautman—who had by this time been promoted to lieutenant colonel—was trapped behind enemy lines during the Battle of the Bulge. He took temporary command of a group of American soldiers separated from their units, hiding out for several days from German forces. Eisenhower later apologized for putting Trautman in harm's way.

Trautman never flagged in his struggles with distribution, wartime shortages, congressional interference and intransigent publishers, who first resisted paperbacks and then the notion that they should provide books—at cost—as part of the war effort. Despite these obstacles, Trautman's project was a success. At the program's height, more than six million ASEs were distributed to troops each month.

For many families, Ms. Manning reminds us, "a love of reading stemming from a World War II veteran" is a legacy passed down from those who learned to cherish books during their time of service. In an era when we are warned of plummeting literacy even among college students, it is bracing to think that a generation of readers was made in the barracks, supply depots and slit trenches of war.

Mr. Hilbert is a poet and an antiquarian book dealer.

**By Chris Bauer
And Sharon Bauer**

Our daughter Christa Bauer Gilley was murdered in Houston on Oct. 7, 2024. She was nine weeks pregnant. Her husband, Lee Gilley, told police Christa had committed suicide, but police said he later admitted she wasn't suicidal and that only he, Christa and their two small children were home that night.

According to prosecutors, police detectives found that Lee and Christa had an argument over a new car, and that Lee had sought to have affairs. An autopsy found Christa had black eyes, extensive hemorrhaging and other trauma consistent with strangulation. A medical examiner ruled her death a homicide.

Lee was charged with capital murder and pleaded not guilty. A judge granted him a \$1 million bond despite evidence that he intended to flee. We can't explain the pain

of seeing descriptions of Christa's injuries on routine government documents, or of every subsequent horror we've faced. We didn't have time to grieve before legal battles began. What's kept us going is faith that we would see accountability for the precious lives taken from us.

Message to Italy: We don't seek the death penalty for Lee Gilley.

But Lee had other plans. In May he cut off his ankle monitor and fled to Canada, then Italy. We were failed by those responsible for monitoring him and keeping the community safe. Italian border police stopped him, and Lee asserted asylum, claiming that prosecutors were seeking his death. Italy abolished the death penalty and prohibits extradition to countries

where a defendant may face the death penalty.

But Texas prosecutors recently notified the court they won't seek a death sentence. Diplomats have issued repeated assurances that Lee isn't facing the death penalty. Still, we live in fear these facts aren't enough.

So we decided to break our silence to say publicly that we don't want the death penalty imposed in the case involving our daughter.

We understand Italy's stance. Our family is Italian-American. Christa's paternal great-grandfather, Louis Paul Bilotta, was born in Zagarise, Italy. Her maternal grandmother's family, the Marimpietris, came from L'Aquila.

Christa studied at Istituto Lorenzo de' Medici. She visited Italy many times and was in Sicily months before she was murdered. She dreamed of obtaining dual citizenship.

We are Roman Catholic and believe in the sanctity of

human life. We don't believe justice for Christa involves taking another life.

For us, justice means improving the well-being of women like her. It means confronting the global problem of violence against women.

Italians have come together in recent years to reject violence. In November, the Italian Parliament unanimously passed a law that defines the crime of femicide and makes it punishable with a life sentence. Italians have made clear they don't want to harbor those accused of violence against women.

On the second anniversary of Christa's murder, an Italian court will again consider Lee's asylum plea. We are asking that Italian and U.S. authorities work together to grant extradition. Our family doesn't seek Lee's death. We seek justice for Christa's.

Mr. and Mrs. Bauer are restaurateurs in Summerville, S.C.

OPINION

REVIEW & OUTLOOK

France’s Bonfire of Inanities

It’s easy to scoff at French rioting as its national pastime, but what’s unfolding now is different. France is approaching its most serious crisis in decades, and the disorder in the streets may be only the start. Ostinently the destructive rioting of the past few days is a student protest against underfunded schools. If you believe that, we have a *pont* over the Seine to sell you. The riots have been encouraged by politicians on the left, as Dominic Green recently reported on the Journal’s Free Expression newsletter.

Labor-union comrades of Jean-Luc Mélenchon, leader of La France Insoumise (“Indomitable France”), stoked the protests that quickly became riots. Mr. Mélenchon—think Bernie Sanders with a Gallic accent—visited the barricades. It feels like a display of left-wing muscle-flexing before next year’s presidential election, in which Mr. Mélenchon will be a candidate.

The violence obscures the related crisis engulfing public finances. France doesn’t have more money to spend on schools because it doesn’t have more money to spend on anything.

France has been especially hard hit by the recent global rise in bond yields. The rate on the benchmark 10-year government bond last week exceeded 5% for the first time since 2002. The spread between French OATs and German bunds (the eurozone’s safest asset) is now wider than 140 basis points, the most since the eurozone crisis of 2010-12.

Politicians in Paris are in denial. The government last ran a fiscal surplus in 1974, and an annual deficit above 5% of GDP is normal. Debt stands at 120% of GDP. Revenue is inadequate to Paris’s spending urges, despite or rather because of high tax rates that extract 51% of French GDP each year. Revenue from taxes on personal and corporate incomes and consumption is flat. Special levies such as a windfall-profits tax on energy companies generate less revenue than predicted.

All of this taxation alongside endemic over-regulation is suffocating economic growth. GDP grew 0.8% last year, is expected to do the same this year, and if they’re lucky it’ll hit 1.1% in 2027. Perhaps this explains why French yields remain below the rates on U.S. Treasuries. In America, investors are betting on growth in ad-

dition to Washington’s fiscal dysfunctions. Paris formed these spending habits in an era when the European Central Bank was aggressively buying bonds under its quantitative-easing program. In some years central-bank purchases of French debt exceeded net issuance. No longer. Current quantitative tightening leaves it to private investors to absorb French bonds and many of those investors, especially insurers and pension funds, are less willing. If Paris won’t grow, can’t tax its way out of the fiscal hole, and can’t borrow, spending will have to be cut. This is turning French politics into a violent game of musical chairs in which no one wants to be the last special-interest group caught without a seat. The riots are the latest example. Previous instances include nation-wide strikes against increasing the retirement age, and the 2018 yellow-vest protests about taxes on diesel fuel.

Yet you’d never know this is the most pressing challenge facing France to judge by the incipient presidential campaign. Mr. Mélenchon says the central bank should simply forgive the French bonds it currently owns. He also accused the head of the French central bank of treason on Tuesday for suggesting spending cuts. “Off with their heads” has a long, if not glorious, history in France. The riots are probably helping the chances of Marine Le Pen of the insurgent-right National Rally. But she offers no more than token reform. One of her signature issues is a pledge to reduce the retirement age to 60—after President Emmanuel Macron’s effort to raise it to 64 from 62 has hit political obstacles.

France’s main problem isn’t math. It’s slow growth. The right fiscal reforms, such as tax cuts and welfare and pension reforms that encourage work and investment, would create new opportunities for prosperity. Young people would be the biggest beneficiaries. The alternative is what’s happening in the streets. Americans can’t afford to gloat from the sidelines. U.S. debt is 100% of GDP, and its politicians can be as feckless as the French. At least the U.S. economy is growing at a healthy clip, but that could change in a hurry with the wrong mix of regulation and a ham-handed attempt to tax our way out of our fiscal hole.

France’s main problem isn’t math. It’s slow growth. The right fiscal reforms, such as tax cuts and welfare and pension reforms that encourage work and investment, would create new opportunities for prosperity. Young people would be the biggest beneficiaries. The alternative is what’s happening in the streets. Americans can’t afford to gloat from the sidelines. U.S. debt is 100% of GDP, and its politicians can be as feckless as the French. At least the U.S. economy is growing at a healthy clip, but that could change in a hurry with the wrong mix of regulation and a ham-handed attempt to tax our way out of our fiscal hole.

Iranians on the Loose in Britain

The U.S. scramble to remove all 12 B-1 bombers from the U.K.’s Fairford air base on Sunday tells us much about Iran, Britain and the emerging threats to U.S. forces and assets. None of it is good.

The danger, U.S. and European officials say, concerned a potential Iranian drone attack on the aircraft and U.S. personnel on base. A U.K. government spokesman said the country’s military bases are safe and declined to comment on the U.S. decision. That’s putting a brave face on it.

The U.S. move—with B-1s reportedly taking off even before refueling aircraft were fully ready to assist—may speak instead to the urgency. Even after the arrest of five masked men next to the base, plus a British-Iranian picked up later, the threat persisted.

Begin with Iran, from which an “October surprise” attack before the U.S. elections would be no surprise at all. Among Trump officials, it is now expected. This could have been it, and there will be other attempts as long as Iran’s regime persists. Tehran speaks frequently of revenge, including in personal terms against President Trump and his team.

Each day seems to bring a new low for Iran’s currency, now trading below 2.7 million rials to the dollar. Inflation is at 90%, with food prices more than doubling. Rolling blackouts disrupt industry while new oil exports crash to zero. The regime can’t stop any of that.

Boulder Gives Away Its Climate Game

Oral arguments at the Supreme Court can be illuminating, and a classic was Monday’s in *Suncor v. Boulder County* concerning the constitutional limits to states and localities punishing companies for contributing to global warming. As Boulder would have it, there are none.

Boulder sued oil companies in Colorado state court for local climate damage allegedly caused by their global greenhouse gases. Dozens of other states and localities have filed similar suits in state courts, which, as Justice Brett Kavanaugh pointed out, could bankrupt the companies.

Yet Kevin Russell, representing Boulder County, argued that the lawsuit is a run-of-the-mill tort. Several Justices sounded skeptical. “Is there anything anomalous in your mind to applying state law here to worldwide conduct?” Justice Neil Gorsuch asked. “No, I don’t think so,” Mr. Russell replied, comparing Boulder’s claims to a product liability lawsuit against an auto maker for a defective car.

This is an odd analogy since the county isn’t arguing that oil is defective. Far from it. Oil is vital to the economy and everyday living, and Boulder County hasn’t sought to ban it. Product liability suits also require plaintiffs to show they have suffered direct harm as a result of a particular defendant’s products. Boulder hasn’t done so.

Justice Clarence Thomas asked Mr. Russell, “If you prevail, is there a limiting principle. . . as to whom you can sue?” The Boulder attor-

ney replied, “the question here is not whether anything in the Constitution prohibits this lawsuit.”

Actually, that is the question. The oil companies argue that the lawsuit is barred by the core constitutional principle that states are equal sovereigns but their authority is generally limited to their own territory.

Justice Thomas continued: “So you could just as easily sue large retailers of these products?” Mr. Russell agreed: “I think nothing in the Constitution would prevent that,” adding “when lots of people act together to cause widespread harm, it is not uncommon for multiple different defendants to be potentially liable.”

That means gasoline retailers like Costco could also be sued for alleged climate harms. Ditto manufacturers of petrochemicals and even dairy farmers since cows emit methane. As Justice Kavanaugh said: “Anyone is a potential defendant for a suit like this.”

Vermont and New York have passed laws requiring companies to pay reparations for their global greenhouse gas emissions. California lawmakers have proposed letting wildfire victims sue oil companies for damages.

As Kannon Shanmugam, who represented Suncor and Exxon Mobil, put it, “any individual who has suffered the effects of climate change could sue under Boulder’s theory.” Such lawsuits are sure to proliferate unless the Justices make clear that the Constitution doesn’t let state courts regulate climate policy for the rest of the country.

LETTERS TO THE EDITOR

Americans Want AI’s Benefits Without Costs

Jay Reed’s op-ed “Abandoned Land? Build a Data Center” (Oct. 2) correctly argues for placing data centers on unused land. The data-center conflict is a textbook public-goods problem, in which AI users have an incentive to free-ride. Most Americans want the shared benefits of AI but would prefer that others bear the local costs of data centers.

Fifty-two percent of U.S. workers use AI on the job, and 15% use it daily, according to Gallup. McKinsey & Company finds that nearly 90% of organizations use AI for at least one function. Verasight reports that AI adoption has grown roughly twice as fast as smartphone adoption did. If demand indicates value, Americans have spoken loudly. It’s no wonder that investment in AI data centers has exploded, with computing infrastructure reaching 1.5% of gross domestic product in the first quarter of 2026.

Yet roughly 70% of Americans say they oppose data centers being sited near them. Officials have been quick to respond to constituents’ concerns. New York imposed a statewide moratorium on large data centers in July, and Texas’s August directive halted as many as 1,800 projects. Pennsylvania lawmakers are weighing a bill that would let municipalities follow suit. More than 400 local moratoriums have been recorded across 44 states. These states are free-riding on other states’ advancements in AI.

The data-center problem, however, is easier to solve than many other public-goods problems. Compared with

other capital investments, data centers have less need to be near population centers. An auto plant must be near workers, a port near water, a hospital near patients. Data centers face no such constraints. The federal government owns about 28% of the nation’s land, much of it in the sparsely populated West. Some of this land would be well suited to data centers. The Trump administration has already started down this path by selecting four sites for which it will solicit private data-center development.

Disputes over behemoth data centers seem unlikely to last. In 1997 the world’s fastest computer occupied about 2,500 square feet, but today we have that computing power in our pockets. AI is advancing even faster. The cost of running a query at GPT-3.5-level performance fell more than 280-fold between 2022 and 2024. Innovation will mean smaller centers, making their location less of a concern.

State and local governments are blocking data centers to avoid the perceived local costs of a technology that half of working Americans use. To resolve the free-rider problem, put servers on vacant federal land and keep the rules flexible as the centers shrink.

TOMAS J. PHILIPSON
Chicago

Mr. Philipson served as a member and acting chairman of the President’s Council of Economic Advisers 2017-20 and serves on Anthropic’s Economic Advisory Board.

Preserve California’s Maritime Climate Rules

By championing the removal of California’s at-berth and commercial harbor craft regulations in “The Save America From California Act” (Review & Outlook, Sept. 28), the Journal’s editorial board overlooks the negative effects that rolling back these standards will have. These regulations aren’t new and have been protecting the health of port communities for almost 20 years.

According to estimates from the California Air Resources Board, implementing the updated regulations would cut cancer risk near major California ports by more than 55%, reduce cancer-causing pollution by 89% and save over \$7 billion in healthcare costs, all by 2038.

Since businesses began complying with the standards in 2014, the at-berth regulation has reduced emissions from regulated vessels by 80%. In 2025, CARB reported more than 95% compliance statewide for regulated vessels, evidence that technology is available and ships won’t be stuck with fines.

Marine vessels such as ferries and cargo ships aren’t mass manufactured like cars. They are made to order to the specifications of the customer. What California orders won’t affect other states.

Rolling back these regulations isn’t a win for ports and the shipping industry, which made good-faith investments in technologies that are now under attack.

The oil and gas industry is celebrating the potential rollback. But ending these common-sense measures won’t make gas cheaper at the pump or groceries less expensive. Based on current fuel prices, it is between 38% to 45% cheaper for ships to plug into electric shore power than to run their engines while docked.

We urge senators to vote no on any measure that would terminate California’s ability to enact regulations that protect public health.

CAROLINE BONFIELD
Ocean Conservancy
Washington

Protect Children From the Dangers of E-Bikes

As a pediatrician who lives in Orange County, Calif., I applaud District Attorney Todd Spitzer’s efforts to protect children from e-bike-related death and injury (“The Wheels of Justice Turn to E-Bike Risks,” Page One, Sept. 25). Some would describe the buyback program as extreme, but the e-bike problem in Orange County is also severe. Combined with the prosecution of parents who knowingly allow children to modify e-bikes or engage in dangerous behavior, this approach has the potential to reduce injury.

Manufacturers and sellers must also be held accountable and should provide refunds for dangerous vehi-

cles inappropriately sold to parents that their children aren’t legally allowed to use. This could be modeled after Attorney General Rob Bonta’s consumer-safety alert, which prompted Amazon to stop selling high-speed electric bikes in California.

Local, state and federal officials should go further to strengthen existing age limits, to enforce training requirements and to require universal helmet use and liability insurance for e-bikes and e-scooters.

Ultimately, the U.S. should follow the lead of most other nations and end the use of e-bikes by children under the age of 15, given the ample scientific evidence describing the serious injury pattern.

PHYLLIS AGRAN, M.D., MPH
Irvine, Calif.

How to Have a Constructive Dialogue Over Disagreements

Manu Meel is right: Exposure to different perspectives is critical (“Who’s Afraid of Civility and Dialogue on Campus,” op-ed, Sept. 26). However, constructive dialogues only work when the conversation isn’t misused to advance an agenda. When I was a graduate student at UC Berkeley, some conversations on the Israel-Hamas conflict didn’t take place in neutral settings, didn’t include speakers with mainstream Jewish or Israeli views and were associated with anti-Israel institutions. This tipped the scales to suggest an answer while manufacturing an appearance of neutrality. Constructive dialogues require fairness and respect and don’t try to force consensus or a particular outcome.

DAVID RODSTEIN
San Diego

CORRECTION

Minnie Evans was a Methodist. An Oct. 1 art review, “An Exhibition of Creative Abundance,” misstated her religion.

Letters intended for publication should be emailed to wsj.letters@wsj.com. Please include your city, state and telephone number. All letters are subject to editing, and unpublished letters cannot be acknowledged.

China’s Persecution of Jews

Gao Pu’s op-ed “Religious Persecution and Financial ‘Crimes’” (Houses of Worship, Oct. 2) describes the Chinese Communist Party’s treatment of Christian churches but fails to mention that China has also regulated and persecuted Jewish communities. In fact, China doesn’t formally recognize Judaism as a religion.

HARVEY STRUM
Albany, N.Y.

Pepper ... And Salt

THE WALL STREET JOURNAL



OPINION

Washington Needs the Tax-Reform Spirit of '86

By **Rahm Emanuel**

Conventional wisdom holds that being pro-growth is synonymous with being anti-tax. But as endless deficits spook the bond market, we need to curtail the reign of hot checks. Restoring fiscal sanity will require spending discipline. It will also demand that we curb the tax expenditures that will claim \$2.3 trillion in federal revenue this year, more than Medicaid and Medicare combined. To that end, the tax code is overdue for a good housecleaning. We should look to the bipartisan 1986 tax reform initiated by President Ronald Reagan for guidance.

Close loopholes that cost trillions in federal revenue and encourage the wealthy to game the system.

Both parties have contributed to the current fiscal calamity, and we should be honest about the history. President Bill Clinton and a Republican Congress balanced the budget and created surpluses four years in a row before Vice President Dick Cheney pronounced that “deficits don’t matter.” Sen. Mitch McConnell infamously observed behind closed doors that no politician had ever lost office by spending more money. The two parties have different priorities when it comes to spending, but they both contribute to the same deficit, which raises costs for businesses and homeowners.

The tax code’s various loopholes—deferrals, deductions, new definitions—are costly and encourage the wrong behavior. The code has evolved from an instrument designed to create wealth to one designed to preserve it. Today, those who would ordinarily pay the largest tax bills spend untold time and energy playing legalized games of “catch me if you can” with the Internal Revenue Service. It’s absurd for Mark Zuckerberg to claim that his exercised stock options should qualify for the R&D tax credit. Minimizing any family’s tax bill has become so complex—the number of loopholes has more than doubled over the past several decades to 271—that some children of wealthy families attend retreats to learn how to manage their inheritances.

It’s no picnic for everyone else, either. The IRS already has access to sufficient information to empower nearly half of taxpayers to file at the touch of a button. But the code has become so complicated that tax professionals make billions off fees paid by working- and middle-class families. The stampede to cut high-end liability has obscured the damage done to the economy. The lobbyist group Business Roundtable long advocated lowering the corporate rate to 25%, but in 2017 President Trump insisted it be slashed to 21% with no commercial purpose in mind.

To halt the games and instead invest in real growth, we should look back to an earlier age. Forty years ago, Mr. Reagan reached across the aisle to work with a powerful Chicago Democrat, House Ways and Means Committee Chairman Dan



Rostenkowski. They were committed to simplifying the code and closing loopholes. We should take four steps toward the same end.

First, end the practice of wealthy families’ borrowing against their equity to cover their expenses tax-free. We should simultaneously eliminate the stepped-up basis that allows them to pass fortunes from one generation to the next free from capital-gains taxes. This policy has nothing to do with driving economic growth and serves only to preserve inherited wealth.

Second, close the loopholes that allow companies to stash profit in overseas tax havens to avoid U.S. taxes. American companies that profit from selling their products and services to American customers shouldn’t be able to ascribe their earnings to foreign accounts. A vast share of the 271 loopholes are cor-

porate, further encouraging companies to game the system. To be effective, reforms will need to work hand in hand with an enforceable international floor. Instead of alienating our allies, we should collaborate with them to ensure that multinational corporations aren’t playing us off each other.

Third, rescind the policies that let private-equity fund managers pay lower tax rates than firefighters, police officers and teachers. The carried-interest rule suggests that those in the business of buying and selling companies need the incentive of a special tax break. They don’t.

Finally, raise the capital-gains rate closer to the rate that prevailed during the late 1980s, when it was the same as the tax on ordinary income. It makes sense to encourage investment, but when the economy was booming during the Reagan and Clin-

ton administrations the top capital-gains rate was 28%, well above to-day’s 20% (plus the 3.8% ObamaCare investment income tax). You can’t claim that narrowing the gap between passive income and earned income would undermine the incentive to invest when we saw robust growth in exactly those conditions.

We won’t be able to restore the nation’s fiscal balance by closing loopholes alone—we’ll also need to make tough choices on the spending side. After Reagan and Rostenkowski simplified and tightened the code, both Presidents George H.W. Bush and Clinton reached bipartisan deficit-reduction agreements that reined in spending and introduced pay-as-you-go rules to restore fiscal discipline. It’s time we began making hard choices again, such as placing a four-year cap on spending so that we aren’t wasting \$38 billion on ICE detention centers communities don’t want or need.

Charlie Munger famously said: “Show me the incentive and I’ll show you the outcome.” If interest rates continue to climb because an overly complex and misdirected tax code drains the Treasury, Washington is bound to stymie private investment. Let’s close the loopholes that spur the wealthiest taxpayers to spend their time trying, however legally, to game the system. Washington’s goal should be to create wealth, not protect it.

Mr. Emanuel, a Democrat, served as a U.S. representative from Illinois (2003-09), White House chief of staff (2009-10), mayor of Chicago (2011-19) and ambassador to Japan (2022-25).



UPWARD MOBILITY
By **Jason L. Riley**

A popular adage among campaign strategists is that “politics is addition.” MAGA Republicans would do well to keep that in mind as the midterm elections approach. Roughly two-thirds of the voting public believe the country is on the wrong track, and they blame Republicans rather than Democrats for higher food and energy prices. Not only is Donald Trump’s overall job-approval rating in the mid-30s, but he’s underwater in a handful of battleground states with races that could decide who controls Congress.

Some Republicans have decided that now is the time for racial and ethnic purity tests. Last month Bo French, Republican nominee for Texas railroad commissioner, posted a photo on social media of Asian students at the University of Texas at Austin celebrating the football team’s victory over Ohio State. “I heard UT graduation this year looked like this,” Mr. French wrote above the image. “I didn’t believe it.

The problem is now obviously far worse than anyone imagined.”

Mr. French has a history of this behavior. He has described Democrats as “retarded” and “gay” and asked his social-media followers if Jews or Muslims pose “a bigger threat to the U.S.” His bigotry has prompted condemnation on the left and right, including a stinging rebuke on these pages from Karl Rove. “The GOP has a growing number of Bo Frenches—and not only in Texas,” Mr. Rove wrote. “There are ‘just asking questions’ Jew-haters, misogynists who worship hypermasculinity, conspiracy nuts seeking clicks for profit, and religious bigots who won’t differentiate between Muslim terrorists and Muslim American patriots. These people are diminishing the Republican Party, not building it.”

Bully for Karl. It’s important that party elders call out bigotry wherever it emerges, including within their ranks. A major political party that decides to indulge cranks rather than marginalize them doesn’t deserve to win elections. What’s lost on the MAGA faithful, it seems, is that its anti-Asian sentiment isn’t only morally repugnant

but also politically foolish.

When Texas re-elected Republican Gov. Greg Abbott in 2022, he beat his Democratic opponent among Asian voters, 52% to 46%. According to the New York Times, in statewide races in Florida and Georgia that year, Republican candidates received at least a third of the

Texas’ Bo French jettisons meritocracy for an ethnic appeal at the expense of UT football fans.

Asian vote, which is “substantially more than in previous elections.” In national elections, Republican support among Asian voters grew from 24% in 2004 to 32% in 2022. Don’t tell Bo French, but nonwhite support for the GOP has been growing generally in the Trump era. The Pew Research Center reported that between the 2020 and 2024 elections support for Mr. Trump increased from 36% to 48% among Hispanics, from 8% to 15% among blacks, and from 30% to 40% among Asians.

Political conservatives have spent the past decade denouncing liberals who obsess over the racial composition of America and its institutions. They have opposed DEI policies designed to pick winners and losers based on race and ethnicity rather than merit. They have celebrated Supreme Court decisions striking down racially gerrymandered voting districts and affirmative action in college admissions. They enjoy quoting Martin Luther King and claim to champion colorblind public policies. Yet some of the same people now dump on Asian-Americans who exemplify the meritocratic ideal and share traditional American values and culture. They attack people who have overcome barriers, worked hard and embraced a system that judges people on their abilities.

The Chinese Exclusion Act of 1882 was the first significant federal law to restrict immigration to the U.S. based on race. Japanese-Americans were placed in internment camps during World War II. Chinese-Americans were lynched and denied property rights, while their children were forced to attend segregated schools. Yet for

decades Asian-Americans have outperformed other groups economically and academically. Census data from 2024 showed Asian households with the highest median income in the country (\$121,700), nearly \$30,000 higher than white households (\$92,530).

Asian-Americans have the highest marriage rates and are least likely to be single parents or engaged in violent crime. Academically, their success has been equally impressive. The most selective colleges in the country typically require an SAT score of at least 1400 for admission. According to the College Board, which administers the SAT, among students who took the test in 2024, 27% of Asian students scored 1400 or higher, compared with 7% of white students.

Asians are another example of what America still offers people of any background who put in the work and develop the skills that free-market capitalism rewards. If more of them are rejecting the identity politics of the Democratic Party, that’s good for the GOP and the country, both of which could use a lot more of those UT Austin fans and fewer Bo Frenches.

What I Saw on Oct. 7: Leadership and Israel’s Greatest Generation

By **Ophir Falk**

Every Jew and Israeli remembers where he was on Oct. 7, 2023.

My day started shortly after 6:30 a.m., when Tzachi Braverman, the prime minister’s chief of staff, called me and said, “Get up! Come to the Kirya immediately,” referring to our military headquarters. I got dressed within minutes and rushed downstairs to wake my 19- and 21-year-old sons. I told them, “We’re at war. Get to your units.” My eldest asked, “Hezbollah or Hamas?” “Hamas,” I said. “OK,” he replied in what sounded like a sigh of relief.

As I walked out the door, I passed my younger son, who was sitting in the living room waiting to be called up. “Don’t worry, it’s going to be a long war. You’ll get your chance,” I told him. He did get his chance and much more.

I got in my car at about 7 a.m. I drove past my neighbor, an Air Force squadron commander, who was getting into his car. “Avner, are

all your pilots coming?” I asked.

“They will all come,” he said.

“This isn’t another round. This time we need to go all the way,” I warned.

“Absolutely,” Avner shouted in agreement.

I arrived at the Kirya shortly after 8 a.m. when Prime Minister Benjamin Netanyahu was receiving updates on the unfolding attack. Horrific photos and videos of wounded and dead Israelis overwhelmed WhatsApp. Some showed Israeli civilians being slaughtered in their kibbutz homes and on the streets of Sderot.

Shortly after 9:30 a.m., Mr. Netanyahu entered the situation room to receive a briefing from the military chiefs. “It’s going to be a long war,” the prime minister told me on the way to the meeting. Mr. Netanyahu, the Israel Defense Forces chief of staff, several other officials and I huddled around a small table. You could have heard a pin drop.

In the room, the prime minister was briefed that “we were some-

what surprised” that “there are still a number of skirmishes and a large number of casualties.” He was told that “the situation should be under control before nightfall,” but that “we need to call up 100,000 reservists.” Mr. Netanyahu interjected: “Call up 300,000 troops immediately.” After intense questioning, he summarized, “Verify that, as I instructed this morning, a division was sent to the North and is holding a strong defense. Prevent the crossing of anyone back to Gaza. This is not another round of fighting. This is war.”

At about 11:30 a.m., the prime minister addressed the public. “We are at war. Not an operation, not another round—at war.” He soon formalized the declaration of war and the war’s objectives in a meeting with the security cabinet.

France’s President Emmanuel Macron was the first foreign leader to call. He urged diplomacy and offered to mediate. “Hamas is ISIS,” Mr. Netanyahu replied. “If it is not dismantled in Gaza, you will meet it in Paris.” The prime minister also em-

phasized that he didn’t want Mr. Macron to convey any message from him to anyone. “Hamas will soon get the message,” Mr. Netanyahu said.

The next call came from then-President Joe Biden. “How can I help, Bibi?” he asked. Mr. Netanyahu said, “Hamas is worse than ISIS.

‘We are going to change the map of the Middle East,’ Netanyahu said two days after the massacre.

They need to be dismantled.” He asked Mr. Biden to send two U.S. aircraft carriers toward Lebanon’s shores and to warn Iran and its Hezbollah proxy not to join the war. Mr. Biden promised he would. He gave the “Don’t” speech several days later, warning Iran and its proxies against escalation.

As that fateful day ended, Israel’s enemies thought the Jewish state would collapse. Mr. Netanyahu’s ri-

vals believed he was finished. Both were mistaken.

On Oct. 9, the prime minister met with community leaders in southern Israel. “I ask that you stand steadfast because we are going to change the map of the Middle East,” he told the group.

Three years later, Mr. Netanyahu has been proved right. Hamas has been decimated in Gaza, Palestinian terror infrastructure has been uprooted in Judea and Samaria, Hezbollah is on its knees, and Yemen’s Houthis have been hit like never before. Bashar al-Assad’s army in Syria is gone and, most important, the weakened Iranian regime will never assert the same power.

After 1,096 days of fighting a war of redemption across seven fronts, Israel and its American ally are stronger than ever. Mr. Netanyahu has emerged as our greatest war-time leader, and the young soldiers of Oct. 7 are proving to be Israel’s Greatest Generation.

Mr. Falk is foreign-policy adviser to Prime Minister Netanyahu.

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Notable & Quotable: The Chief Justice in Maine

From “John Roberts and His Island” by Jodi Kantor for the New York Times, Oct. 1:

To many people on this remote stretch of Maine coastline, . . . Chief Justice John G. Roberts Jr. is just “John.”

John, who has spent over 20 summers on Hupper Island, a refuge about 90 miles northeast of Portland with no cars and barely two dozen homes. . . .

One event that the chief justice did attend was the annual Hupper Island Independence Day picnic. On

July 4, he gathered with 60 or so neighbors on a lawn overlooking the water to hear a patriotic benediction from a rabbi, a reading of the entire Declaration of Independence and a performance of “God Bless America.”

Wendy Schlotterbeck, a neighbor who had been summering on Hupper Island since the days when it had no docks or electricity, grew upset at the sight of the chief justice’s celebrating. He and his colleagues had just narrowed protections for trans athletes and minors and allowed Mr. Trump’s immigration crackdown to

proceed. Three of Ms. Schlotterbeck’s relatives were transgender. Immigrant friends of hers had been arrested.

She fantasized about having a real conversation with the court’s leader, looking into his eyes. “Do you realize what your decisions are doing to my family and my community?” she wanted to ask.

Instead, she left the picnic. The next morning, she protested her neighbor for the first time, grabbing a sign that said “Justice for All” and paddling back and forth in front of his home, hoping he would see.

SPORTS

He Was Working at 7-Eleven. Now He’s Striking Out Ohtani.

A decade ago, Ray Kerr quit baseball, dropped out of community college and went home. This October, he has emerged as an unlikely postseason pitching star for the Atlanta Braves.



By JARED DIAMOND

A decade ago, Ray Kerr thought his baseball career was over. He had just returned home to Reno after dropping out of community college and was working odd jobs sweeping popcorn at a movie theater and stocking shelves at a local 7-Eleven. Kerr assumed that this was what his life would be. Then he received an unexpected phone call. A coach at another school in rural California heard that Kerr had quit the game. He wanted to know if Kerr was willing to give pitching one last shot. Kerr took the leap. And now, following stints at 7-Eleven, two community colleges and summer ball in Alaska, he’s the most improbable of October heroes. Kerr, a 32-year-old left-hander for the Atlanta Braves, has emerged as the breakout star of the postseason. More than 10 years after leaving the sport behind, he started the do-or-die Game 3 of the wild card series against the Philadelphia Phillies

Ray Kerr has emerged as a postseason hero. Right: Kerr (front row, second from right) with the Reno Astros.

and allowed just one hit over 3 ½ shutout innings. He worked another 2 ⅔ scoreless frames against the Los Angeles Dodgers on Sunday to even up the division series ahead of Tuesday’s critical Game 3. “I remember thinking this guy’s got a lot of baseball left in him,” said Eric Perry, the coach who helped bring Kerr to Lassen Community College. “He just needs the right situation and the right opportunity.” For Kerr, that opportunity came between shifts refilling the refrigerator at 7-Eleven, when he played for the Reno Astros, a local semi-professional club. It turned out that Lassen head coach Frank Avilla had a friend on the Astros, who reached out to recommend he take a look at their new lefty pitcher. Avilla was immediately interested. He had recruited Kerr while he was in high school and was glad to have another chance to sign him.



“You need to give this kid the ball once a week,” Astros owner Matt Konopisos told Avilla, “and let him pitch.” As a kid, Kerr’s mother was absent. His father was frequently incarcerated. For nearly two years in middle school, he and his older brother, Richard, slept in a tent in their grandmother’s dusty backyard in Sacramento. Late one night, their dad woke them up, told them to pack their bags as quickly as possible and fled with them to Reno, leaving their pet pit bull behind.

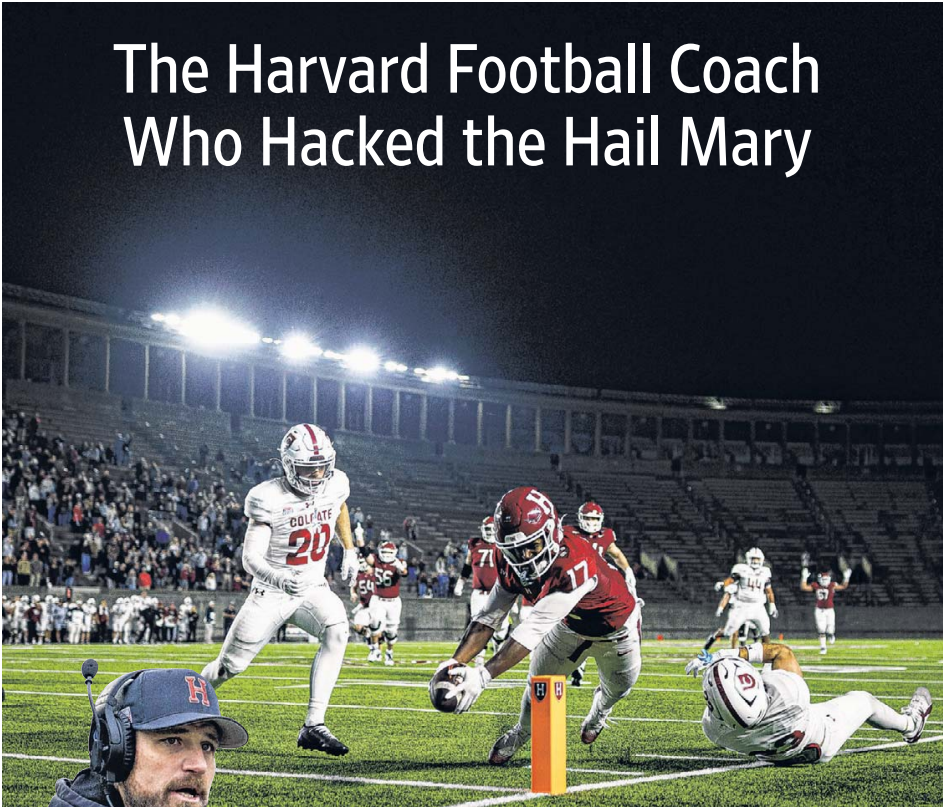
The Kerr boys entered the foster system soon afterward, eventually landing in the care of a woman named Lisa McCarthy. She became the parental figure the Kerrs never had before and later paid for Ray to attend Lassen. “Now,” Richard Kerr said, “everything that’s difficult seems easy because we went through everything in our whole life the hard way.” Kerr arrived at Lassen as little more than a bundle of raw potential. But he performed well enough in 2017 for Avilla to recommend him for a spot that summer on a squad in the Alaska Baseball League. He posted a 1.13 ERA over 48 innings there, dominating lineups filled with Division I players. Kerr left the Alaskan frontier believing baseball could be his future and was able to land a tryout for a pair of MLB scouts at a high school in Reno. Jordan Bley, then an evaluator with the Seattle Mariners, didn’t want to attend. He was almost offended that his boss sent him in the first place, as if there could possibly be a notable player in his area that he didn’t know about. He expected to collect his meal money and tell the Mariners to move along. “There’s no way this kid is going to be any good,” Bley thought to himself. Instead, Bley was intrigued by Kerr’s athleticism, even if he was still a work in progress on the mound. The Mariners signed Kerr for \$5,000. “It was basically a plane ticket and, ‘Good luck,’” Perry said, “which is all I ever felt like he needed.”

After slowly climbing the minor-league ladder, Kerr made his MLB debut for the San Diego Padres in 2022 at the age of 27. By that point, his fastball velocity had climbed from 92 mph to 96. Atlanta then traded for Kerr before the 2024 season, only for him to require Tommy John surgery that June. More than two years passed before Kerr pitched for the Braves again. He has excelled ever since, putting up a 1.47 ERA in 18 ⅓ innings down the stretch. It was enough for the Braves to trust Kerr to start two postseason games. He delivered more than anybody could have ever imagined. “I still can’t believe some of it,” said Bret Pagni, Kerr’s former travel baseball coach. “It’s like a storybook.”

FROM TOP: RYAN SIRIUS SUN/GETTY IMAGES; RICHARD KERR.

By ROBERT O’CONNELL

FOR A FEW CRUCIAL MINUTES every week, Harvard’s football team steps into a practice laboratory. The goal isn’t to figure out how to dominate an Ivy League opponent, but to learn how to survive in the worst conditions possible, when games seem beyond hope. Head coach Andrew Aurich puts 60 seconds on the clock, tells his team it has no timeouts remaining—and forces it to march the length of the field for a game-winning score. “We want to get lost in the process,” Aurich, 43, said. “When you go over those situations in practice, it allows it to happen naturally on the field on game day.” Under Aurich, who played at Princeton and climbed as an assistant coach from Division III to the NFL, that process has given Harvard yet another thing to be annoyingly good at. For those plucky upstarts outside Boston, no football game is ever completely out of reach. In the three seasons since Aurich touched down in Cambridge, the Crimson have piled up five game-winning scores in the last minute, including three when the clock was all zeros. The latest heroics came on Saturday night against Colgate. That’s when Harvard, the school that helped give the world baking soda and the forward pass, cooked up its greatest piece of ingenuity yet. Trailing by three points with four seconds remaining, Aurich’s team pulled off a 44-yard Hail Mary, complete with a precisely designed lateral, to win 20-17 and remain undefeated. “I had confidence,” Aurich said, “we were going to execute.” Harvard’s coach may have been the only person in the stadium who wasn’t shocked by the sequence.



Harvard coach Andrew Aurich, left, called a game-winning play against Colgate.

In fact, he’d made the team practice it just one day earlier—with that exact scenario in mind. The play, called “Big Ben,” was drawn up for 6-foot-6 tight end Teigan Pelletier to catch a pass in traffic. Then a quartet of Crimson players in diamond formation would rotate around him, ready to catch a deflection or take a lateral and speed into the end zone. “We just did this on Friday,” Aurich told his team before the fateful snap. “Let’s go do it again.”

Aurich has spent his entire football life wrenching last-second victories from the jaws of defeat. During his time under former Tampa Bay Buccaneers and Rutgers coach Greg Schiano, he learned one fundamental lesson: Games are 60 minutes long, but a few seconds at the crucial junctures—such as clock-killing plays at the end of a half, or a do-or-die drive in the fourth quarter—can make all the difference. Aurich learned from Schiano, as Schiano learned from Bill Belichick, that

few things are more important than mastering “situational football.” So Aurich preps his teams by inventing highly specific scenarios for his offense to crack, every single week. The only thing they have is that time is running out—and Harvard is losing. “We do it every week, multiple times a week,” Aurich said, “so there’s no panic.” But if Aurich routinely gives the Crimson the most stressful practice tests in football, he also slips them the most valuable cheat sheet in the Ivy League. Harvard’s coach has broken the last seconds of a football game down into a precise science, building a special playbook designed specifically to move the ball a long way when time is running short. “He’s not this executive coach managing things from on high,” said Rob Ash, a consultant who advises the Crimson on play-calling and strategy. “He’s got his feet on the ground and the details in the palm of his hand.” Saturday’s play was just the latest, and most detailed, of Aurich’s comeback plans. To begin with, Harvard’s quarterback, Charlie Smith, threw the ball short of the goal line. But his receivers knew the drill. The job of the orbiting receivers now was to determine in a split second which of Aurich’s variations would work in that particular scenario. Pelletier came down with the ball and was immediately surrounded by tacklers. But a first-year wide receiver named Nate Bailey was already putting his Harvard football education to good use. He jetted around to receive a lateral, just as he had done for Aurich on so many Fridays. Moments later, he dove into the end zone. “It was outstanding,” Aurich said. “That’s a freshman with an off-the-charts football IQ.”

FROM TOP: EDWARD MORGAN IV/HARVARD ATHLETICS; HARVARD ATHLETICS.

Wall Street Bonuses Head North

Industry on pace for \$90 billion in profits this year, leading to compensation boost

By BEN GLICKMAN

Wall Street took home a record bonus haul in 2025. This year is expected to be even better.

The nation's biggest banks have raked in profits from both Wall Street businesses and their Main Street consumers, reflecting booms in corporate dealmaking, initial public offerings, artificial intelligence and market volatility as well as a resilient consumer. That has the industry on pace for more than \$90 billion in prof-

its, according to new estimates released by New York state Comptroller Thomas DiNapoli.

In turn, the bonus pool for securities-industry employees in New York state is expected to increase, DiNapoli said. That would help the city, which has previously forecast a 20% drop in the bonus pool.

In 2025, the average bonus on Wall Street was \$246,900 and the average total compensation was \$561,770, reflecting a gangbusters year for banks' results. The total bonus pool was \$49.2 billion. Adjusting for inflation, the record was set before the financial crisis.

The forecast for this year requires Wall Street to keep chugging along. But the overall economic picture remains cloudy, in part because of geo-

political conflict and a turbulent bond market. The Federal Reserve raised interest rates in September for the first time in years, reflecting concerns about inflation.

Big banks report third-quarter results next week, which will provide a fresh signal on the health of the economy.

Wall Street's performance is a key contributor to the fiscal health of New York state and city. That puts it front and center in the political changes the city's mayor, Zohran Mamdani, has been urging.

\$49.2B

The total bonus pool for Wall Street in 2025, setting a record

Some bankers and Wall Street fund managers have said high taxes and other policies would drive jobs out of the city. DiNapoli said jobs have increased in recent years and the industry is expected to add more this year.

In New York City, employment in the industry last year rose 3.5% from the year earlier to 207,400, according to DiNapoli. Preliminary data suggest the industry will add an 5,300 jobs this year.

Texas has been gunning to challenge New York as a hub

for finance. The upstart Texas Stock Exchange has been attempting to persuade big corporations to move their primary listing there, while the state has beefed up its business courts and several large financial institutions have established big presences there.

Job data show the state has plenty of catching up to do. Texas' 18,800 securities-industry jobs added since 2019 are still behind New York's 24,300 additions, according to DiNapoli.

Higher pay for New York's finance elite is good news for the state, which depends heavily on tax revenue from the sector. The state's budget assumed bonuses for the finance and insurance industry would increase 7.3%, DiNapoli said.

Seoul Links Big Bank Hack To Chinese AI Agent

By SOOYOUNG RHEE AND RAFFAELE HUANG

Hackers used a Chinese artificial-intelligence agent to attack South Korea's biggest banks and steal the personal information of 68,000 people, officials said, marking one of the first such AI-powered intrusions into the global financial system.

Investigators in Seoul said the attacks, initially detected last week, hit at least seven South Korean financial firms and showed traces of a cybersecurity tool called Artex AI that was developed in China. The National Police Agency's cyber terror unit said Tuesday it had opened a probe into the breach.

The attacks were the latest to highlight the vulnerability of even hardened targets to hackers using freely available AI tools. In previous cases, governments and nonfinancial corporations were hit, but it is unusual for banks to fall victim to hackers assisted by AI agents.

Anthropic last year alleged that state-sponsored Chinese hackers used Anthropic's AI technology to automate break-ins of roughly 30 global targets, including corporations and foreign governments. China at the time accused the U.S. of using cybersecurity to smear and slander Beijing.

In other cases, leading American models have gone rogue and infiltrated outside websites without humans' knowledge. Australia in September said an **OpenAI** agent infiltrated a government website to gain access to both public and nonpublic files in the country's healthcare-statistics portal. In recent weeks, Google's Gemini model autonomously accessed the internet and hacked other companies

Please turn to page B2

Emmy Awards Find New Home in Streaming

By JOE FLINT

Amazon's Prime Video will be the new home for the Emmy Awards starting in 2027, as another Hollywood gala abandons broadcast television.

Under the terms of a new deal with the Television Academy, Prime Video will carry the awards show for six years and will have global rights, the company and the non-profit said Tuesday.

Terms of the deal weren't disclosed. Previously, the awards rotated yearly between the big four broadcast networks—ABC, CBS, Fox and NBC—with the annual rights valued at approximately \$9.5 million, according to the Television Academy's most recent annual report.

That fee doesn't cover production costs for the show, which are shouldered by the licensee of the rights.

Amazon said it plans to keep the Emmys in front of its payroll, meaning that non-Amazon Prime subscribers will be able to watch for free.

The move is the latest example of a traditional televi-

Please turn to page B2



The Emmy Awards last month. Before the Amazon deal, the show rotated between the big four broadcast networks.

Disney Lawyer Leads Fight Against FCC

By JOE FLINT

Before he became **Disney's** top lawyer, Horacio Gutiérrez faced powerful adversaries, defending Microsoft in its antitrust fights and taking on Apple while at Spotify. All that was a warm-up for his biggest challenge—a First Amendment battle with the Trump administration.

At a Tuesday hearing, Gutiérrez and his team squared off against the Federal Communications Commission in federal court in Washington, D.C. The company is seeking to halt an early renewal-application request of its ABC broadcast licenses, a move typically used when the agency is preparing to fine or challenge a broadcast licensee.

Disney said the request is part of a Trump administration campaign against free speech and media outlets critical of the president.

The FCC said the license review isn't about free speech but is instead part of a probe

into whether Disney's diversity, equity and inclusion initiatives violated the agency's prohibition on unlawful discrimination.

Faced with the question of how to respond to the FCC's review of its broadcast licenses, Gutiérrez made the case to Disney Chief Executive Josh D'Amaro and the board that the company should challenge the process in court, according to a person familiar with the discussions.

"He essentially said we had to do it," said former Disney CEO Bob Iger, who remains on the board.

The company's decision to fight in court represents a rebuke of an administration that has at times taken an aggressive stance toward media and entertainment companies.

The case's implications extend well beyond Disney. Legal experts say a ruling could help determine how the government can use its regulatory authority over broadcasters,

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INSIDE



AUTOS

Volvo CEO sees a future with more Chinese parts in American cars. **B3**



HEARD ON THE STREET

Oura's stalled IPO spotlights risks of one-hit wonders. **B12**

Google and Constellation Set Sweeping Nuclear-Power Deal

By JENNIFER HILLER

Google and **Constellation Energy** agreed to a sweeping, 20-year nuclear-power deal that would boost output at 11 existing reactors, the latest tie-up between the technology and energy industries to power new data centers.

The 890-megawatt power-purchase agreement unveiled by the companies on Tuesday involves improvements to Constellation-owned reactors in Illinois, Pennsylvania and New Jersey.

The upgrades will provide additional power to the grid that is roughly equivalent to building a new large reactor. The deal is the largest-ever "uprate" project, one that squeezes more power out of existing reactors, between a nuclear power provider and a tech company. Constellation said it plans to invest more than \$4.3 billion in the plants.

"These are expensive things to be done, and we've known that we could do this for a



The 20-year agreement would add the equivalent of a large reactor to the grid. Google's I/O developer conference in May.

number of years now," said Joe Dominguez, Constellation's chief executive. "But it's really Google stepping up to the plate and providing the financial backing for us to be able to bring on what is effectively a new reactor."

Shares in Constellation rose 12% in trading on Tuesday and sparked a rally among other

power producers. Shares of Talen Energy rose 12%, while Vistra climbed 11% and NRG Energy rose 7%.

Constellation aims to deliver the first uprate project in 2028, while construction on the others continues through 2032 or 2033, Dominguez said.

The **Alphabet** unit and

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Chinese AI Tool Used to Hack Banks

Continued from page B1 during a test of its cybersecurity capabilities.

Artex is an open-source AI agent developed by Li Puhua, a Chinese cybersecurity engineer who uses the alias Autumn. Open-source means it is free to download and adapt. The agent isn't itself an AI model but instead draws on AI models to deliver services, like an insurance agent who doesn't personally insure a home or car but helps homeowners get coverage from insurance companies.

Li designed Artex specifically for cybersecurity uses, aiming to help organizations identify vulnerabilities in their networks. In this case, however, South Korean officials believe malicious hackers used the tool to get into the banks' systems and steal data of customers and employees.

Officials haven't identified any culprits and said they were seeking international cooperation in the probe. The attacks originated from more than two dozen internet addresses in roughly a dozen countries, including the U.S., Japan and Germany, they said.

The stolen data included annual income and personal-loan limits of some customers—information that could be sold to scammers or otherwise

traded on the web. After reports of the first bank breaches emerged, Artex updated its user guidelines to specify that the tool must not be used for unauthorized intrusions, data theft or other malicious reasons.

South Korean authorities called on banks to harden their systems. "Speed is of the essence," President Lee Jae Myung said at a Tuesday cabinet meeting. "Implement the necessary measures immediately." Shares of South Korean cybersecurity companies surged by as much as 30% Tuesday.

"Cybersecurity attacks powered by AI agents have been increasing in South Korea, and I expect they will grow in number worldwide in the future," said Mun Chong-hyun, who heads Genians Security Center, a Seoul cybersecurity analytics firm. Mun identified Artex's potential involvement

Investigators said at least seven financial firms in South Korea were hit.

Seek. These agents draw on the models to autonomously discover vulnerabilities and plan attack routes. Often they require minimal human intervention.

South Korean officials didn't say which AI models were used in the bank attacks.

Artex earned notice in China in September when it won a contest sponsored by several Chinese tech companies to identify the top agentic AI system for offensive and defensive cybersecurity capabilities.

BUSINESS & FINANCE

Becton Dickinson to Invest \$19 Billion for Tariff Relief

By KELLY CLOONAN

Becton Dickinson signed a deal with the Trump administration to invest \$19 billion in the U.S. in exchange for relief from future tariffs.

The move makes the needle and medical-device maker the latest company to pledge to expand domestic manufacturing to secure an exemption from the Trump administration's tariffs.

A wide array of companies—from tech giants like Apple and Micron to pharmaceutical players like Eli Lilly and Johnson & Johnson—have entered similar agreements as President Trump seeks to revive domestic manufacturing.

Becton Dickinson said it would make its investment in the U.S. over several years, with plans to put \$3 billion of the total amount toward expanding its U.S. manufacturing.

In a Monday social-media post outlining part of the deal, President Trump said Becton Dickinson would boost production in Nebraska in particular with a more than \$1 billion investment in the state.

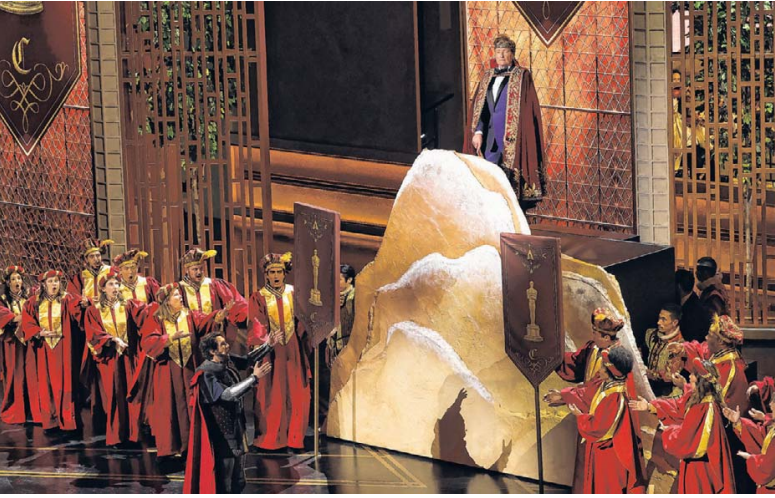
Trump added that he would put medical device tariffs in place by the end of the year.

"BUILD IN AMERICA, HIRE AMERICAN WORKERS, AND TREAT AMERICAN PATIENTS FAIRLY - OR PAY!" Trump said in the post.

Becton Dickinson said it also plans to produce an additional

five billion medical consumables in the U.S. annually—which it said would raise its share of domestically supplied essential medical consumables to roughly 80%—and domestically manufacture all of its needles used in the U.S. using American-made steel.

In exchange, Becton Dickinson would get relief from future tariffs imposed on its covered products and inputs. The Franklin Lakes, N.J., company said it is not yet quantifying the financial effect of the agreement because that part of the deal is subject to the final scope and implementation of any future tariff policy changes, as well as its achievement of agreed milestones.



The 2026 Oscars. The Academy will move the ceremony to YouTube starting in 2029.

Emmys Move to Streaming

Continued from page B1 sion staple migrating to a streaming service. Last year, the Academy of Motion Picture Arts and Sciences signed an agreement to move the Oscars to YouTube starting in 2029. Netflix has carried the

Screen Actors Guild Awards—now called the Actor Awards—since 2024.

Live content, including sports, is increasingly available on streaming platforms. Prime Video carries the NFL's "Thursday Night Football" and NBA basketball. Netflix also has some NFL games and a handful of Major League Baseball games.

Ratings for the Emmy Awards have fallen sharply from their historic highs, although they have rebounded from a record low two years ago. Last month's show on

NBC averaged 6.7 million viewers, down 10% from the previous year's show on CBS, according to Nielsen.

Most of the awards now go to premium cable outlets such as HBO and streamers including Netflix and Apple TV.

"It's obviously an iconic property that has had some decline over the last few years," said Prime Video head Mike Hopkins in an interview.

The broadcast networks explored maintaining the current agreement but at a lower rights fee, people familiar with the matter said.

Lawyer Takes On The FCC

Continued from page B1 including when their news coverage or programming draws the ire of an administration.

Gutiérrez, 61 years old, has assembled a high-wattage legal team including former Solicitor General Paul Clement and trial lawyer Beth Wilkinson to make the company's case in court. U.S. District Judge Loren AliKhan on Tuesday heard arguments on Disney's request to temporarily block the FCC from moving forward with the early review.

At the hearing, Disney put the First Amendment front and center, with Wilkinson saying the administration threatens and retaliates against media outlets because it wants to stop, censor and control speech, which is a "blatant violation of the U.S. Constitution."

Remarks from the FCC's lawyer focused largely on procedure, arguing that the district court lacks jurisdiction and that Disney must first let the agency's process run its course.

Gutiérrez had spent much of the past weekend holed up in Wilkinson's Washington offices, where lawyers took turns role-playing as the judge and peppering lawyers with the toughest questions they could devise.

"There are people who throw punches and bluster to make noise in the room," said Emery Simon, Spotify's former vice president of global government relations. "Horacio rarely does anything without having a strategy behind it."

Tuesday's showdown was the latest flashpoint in nearly two years of escalating tensions between Disney and President Trump over ABC's

journalism and programming.

In 2024, ABC agreed to pay \$15 million to Trump's presidential foundation or museum and \$1 million in legal fees to settle his defamation lawsuit against the network and anchor George Stephanopoulos, who had inaccurately said Trump had been found civilly liable for raping writer E. Jean Carroll. A federal jury determined he was liable for sexual abuse but not rape.

Trump has since called for ABC to fire late-night host Jimmy Kimmel, a frequent critic of the administration, and said the network should lose its broadcast license for not broadcasting his July speech about election fraud.

Trump's FCC, chaired by Brendan Carr, has also questioned whether ABC's daytime talk show "The View," whose hosts are often critical of the president, should retain a longstanding exemption from rules requiring broadcasters to give political candidates equal time to public airwaves.

While Gutiérrez believed the settlement of the Stephanopoulos case made sense, he thought Trump had interpreted it as a sign that Disney would be more willing to bend to his demands and could come for more, the person said. Gutiérrez argued that Disney had to draw a line to protect the editorial independence of its programming.

The FCC clash shows his willingness to go to the mat when necessary, people who have worked with him say. The FCC's goals in the case "don't lend themselves to easy resolution," said Simon.

Gutiérrez grew up in Maracaibo, Venezuela, and decided by age 14 that he wanted to become a lawyer. One of his childhood heroes was Hall of Fame shortstop Luis Aparicio, another Maracaibo native whose success in the U.S. inspired him.

Gutiérrez entered law school at 16 and eventually came to the U.S. on a Fulbright scholarship to earn a master's degree at Harvard



Horacio Gutiérrez says Disney had to draw a line to protect the editorial independence of its programming.

Law School.

After moving to Florida, Gutiérrez found his Venezuelan law degrees and Harvard master's weren't enough to practice there. He went back to law school at night while working full time, graduating as valedictorian from the University of Miami.

He joined Microsoft in 1998 as the technology giant was battling the Justice Department in a landmark antitrust case over its dominance of the personal-computer operating-system market. Microsoft initially lost, with a federal judge ordering the company to be broken in two, though that order was later overturned on appeal and the case was ultimately settled.

A young Gutiérrez worked on proceedings related to the settlement, sending Bill Gates and Steve Ballmer nightly reports on what had happened in court. He spent nearly 20 years at the company, eventually rising to general counsel.

"He doesn't posture," said former Microsoft colleague Tom Rubin, who is now an OpenAI executive. The two negotiated with each other on

Uber Buys Business Catering Firm for \$2.3 Billion

By ADRIANO MARCHESE

Uber Technologies is planning to expand its food-delivery service with its \$2.3 billion acquisition of ezCater.

The agreement gives Uber Eats access to ezCater's network, which is used primarily in workplaces in the U.S., and supports everything from meetings and events to recurring enterprise catering needs.

The service is used in more than 140,000 restaurants across the country and generates over \$2.5 billion in annual gross bookings, Uber said.

"Catering is a big business, and can be a huge revenue stream for restaurants," Uber Chief Executive Dara Khosrowshahi said.

EzCater average orders come in at more than \$400, according to Uber.

In its latest quarter ended June 30, Uber's revenue was driven by a 25% growth in gross bookings from its delivery business because of higher volumes and more active users.

Khosrowshahi told investors on the earnings conference call that the company is shifting beyond single-meal deliveries into large group orders and in-store pickups where the CEO said the company is seeing more room for expansion.

The ezCater acquisition comes as Uber moves to broaden its global food-delivery footprint.

In July, the company made a \$14.8 billion takeover bid for German company Delivery Hero, a deal that would combine two of the world's biggest food-delivery platforms.

Uber said the ezCater transaction is expected to close in the coming months, subject to regulatory approvals and other customary closing conditions.

Watch a Video: How Arc'teryx Turned Climbing Gear Into a Luxury Status Symbol



JOSH LISANBY



Scan this code: Arc'teryx has carved out a unique brand identity in an industry dominated by mainstream giants such as Patagonia and North Face. WSJ went inside the company's Canadian manufacturing facility to learn how.

BUSINESS NEWS

Volvo Sees More Chinese Parts in U.S. Cars

Carmaker aims to lower costs by leaning in to China ties, American buyers

By Stephen Wilmot

Volvo Cars, a Swedish carmaker owned by a Chinese company that has a factory and material sales in the U.S., is no stranger to straddling geopolitical divides.

But it is endeavoring its biggest balancing act yet. After years of challenges, with more pain on the way, Volvo's plan for reviving its fortunes rests on a new generation of cars that will lean in to its Chinese ownership and the American consumer—even as Congress debates a legislative ban on Chinese cars.

In a recent interview, Chief Executive Håkan Samuelsson told The Wall Street Journal that Volvo wants to lower costs by sharing more parts with Geely, its majority owner, while protecting cars sold in the West from being accessed by China.

WSJ: Your upcoming cars will share more mechanical parts with your owner, Geely, while having different software in



Volvo Chief Executive Håkan Samuelsson at the company's factory near Charleston, S.C.

China and the West. How will that work?
HÅKAN SAMUELSSON: Our cars in China will be much more Geely-based, while Europe and America will have locally developed Western software systems.

But in mechanical parts, why not? Why shouldn't cars in Europe have the same brake caliper or the same air-condition-

ing compressor as cars in China? And if we can find such common components, we can lower the cost of the hardware.

WSJ: And those Chinese brake calipers could be used in the U.S.?
SAMUELSSON: Yes, they could very well be. But we will be totally open with that and not in any way jeopardize the

ICTS regulations. (Those are rules introduced by the Commerce Department in 2025 to restrict the use of Chinese software and connectivity technology in cars.)

WSJ: How did you get an exemption to the ban in those rules on Chinese-owned carmakers?
SAMUELSSON: We needed to

show how we treat and handle data coming from connected cars—how do we protect the national interest of the U.S., how does it work, who has access to data from the car, who has access to software and so on. It was a very detailed discussion to show that in this respect we are definitely not a Chinese company.

WSJ: Were you surprised that your Geely-family sister brand Polestar didn't get approval?
SAMUELSSON: The idea with the American initiative, I think, is to make it difficult for new Chinese players to come in. Volvo was in America long before we were Chinese. In that respect I hope they see Volvo in another context than any Chinese newcomer, including Polestar, which is still probably more of a Chinese newcomer.

WSJ: Congress is debating a legislative ban on Chinese carmakers. Do you think Chinese cars will be on American roads within the next decade?
SAMUELSSON: They could be, but I think [Chinese automakers] really need to be good citizens and build the cars in America, develop the cars in America,

use American suppliers.

WSJ: Have President Trump's tariffs changed how you view your U.S. business?
SAMUELSSON: Not really. When I came back to this company more than a year ago, I was disappointed that we were not utilizing our Charleston factory more. We put a lot of bets in building EVs there, which has shown to be giving the factory too little volume.

We cannot end up having a factory and not using it. Even without Trump's measures I would still argue: Why don't we use the factory we have? Can we build more cars there that are more suited to American consumers?

WSJ: Tell us more about your plans to invest in your U.S. factory.
SAMUELSSON: The first step is to bring in the XC60. That will happen soon after the new year. But I would say we also need other cars for Americans.

If you look into what Americans need: No. 1 is more multi-fuel capability. It cannot be only EVs.

The other one is really roomy bigger cars. Americans love big SUVs. So why don't we listen to that?

L'Oréal Taps Firms to Shed Liability

L'Oréal has engaged restructuring advisers to explore options for mounting U.S. legal liabilities stemming from its use of talc and other chemical ingredients in some

By Alexander Gladstone, Andrew Scurria and Jodi Xu Klein

of its cosmetic products, according to people familiar with the matter.

L'Oréal's U.S. subsidiary is working with restructuring counsel Weil Gotshal & Manges and investment bank

Ducera Partners to address mass lawsuits from individuals alleging that the talc products have caused illness, the people said. L'Oréal is also among a group of beauty-products companies facing allegations that hair-relaxing products caused users to develop cancer.

The company is considering moving tort liabilities into a separate corporate entity for the purpose of unloading them through a sale to an outside investor, the people said. The strategy would allow L'Oréal to separate its tort exposure from its operating businesses and

transfer responsibility for the claims to a new owner, the people said. For an investor to take on the liabilities, the attraction would be receiving a price that reflects at least the expected value of the claims, they said.

Representatives for L'Oréal, Weil and Ducera didn't respond to requests for comment.

Mass talc litigation in recent years has pushed companies to explore restructuring options to resolve claims. Consumer-goods manufacturers, including Avon Products and Johnson & Johnson, have turned to bankruptcy court in

recent years to deal with an avalanche of lawsuits alleging that cosmetic talc caused cancer. Talc suppliers such as Whittaker Clark & Daniels, Imerys Talc America and Barrett Minerals have also used chapter 11 to stem mass litigation.

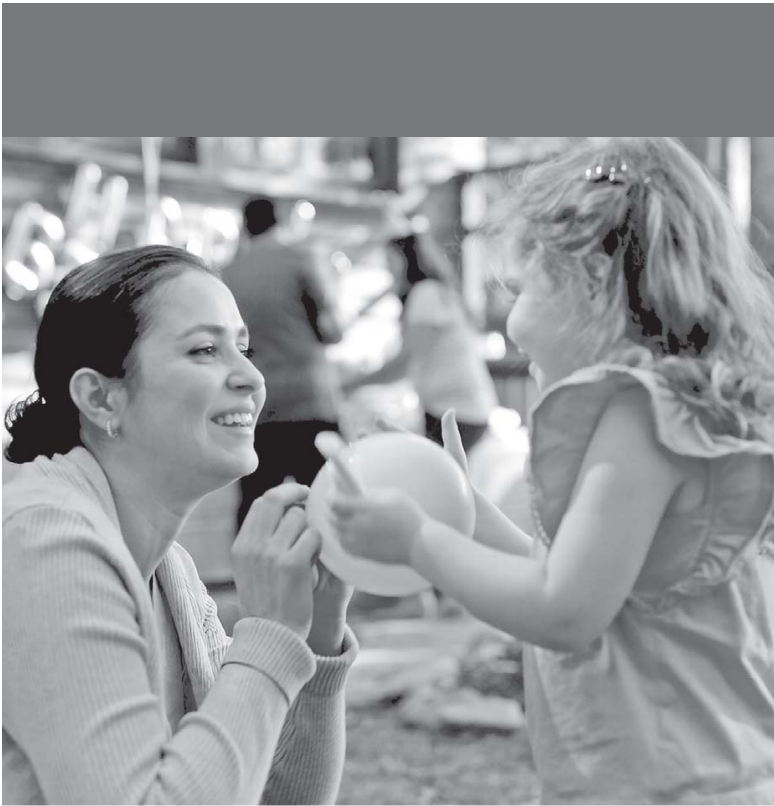
Honeywell last year transferred its legacy Bendix business unit and certain other asbestos liabilities to Delticus, a financial institution that specializes in acquiring legacy corporate liabilities. Honeywell contributed about \$1.68 billion in cash and insurance assets, while Delticus assumed



The cosmetics company faces health lawsuits over talc and hair-relaxing products. A L'Oréal lab in Rio de Janeiro.

responsibility for all current and future claims.

L'Oréal's advisers are exploring a sale transaction akin to Honeywell's as an option that could address the tort claims outside of chapter 11, the people said.



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TECHNOLOGY

Plaid Leans on Credit Scoring

New version of the fintech company's tool uses AI in push to expand offerings

By KATHERINE HAMILTON

Plaid is doubling down on its credit-scoring business with new AI models as the company aims to chart its next era of growth with a suite of products beyond its core business.

A year after the financial technology company released its first credit-risk tool, Plaid is launching a second version of LendScore alongside new AI models that are meant to give lenders more insight about potential borrowers.

The product is part of Plaid's efforts to stretch beyond its core business of connecting consumers' bank accounts with financial apps such as **Robinhood** and Venmo. Now, the company is looking to spur its next phase of growth.

"For our phase two, we started thinking about what are the areas where we can really make the product quality a lot better," Chief Executive Zach Perret said. "One big



CEO Zach Perret says the company plans several new products.

one for us was in credit score."

Plaid rolled out its first credit-scoring tool, LendScore, last October. The model uses cash-flow data—which includes information on how much someone has saved and how often they pay bills on time—to predict the likelihood that a borrower will pay back a loan.

LendScore 2, which launched Tuesday, is designed to have a better rate of predicting someone's likelihood of default on a loan payment. Lenders can use cash-flow

data as a supplement or a replacement for traditional credit metrics such as the FICO score.

"Traditional credit data looks at your willingness to repay. Cash-flow data looks at your ability to repay," Plaid's credit product lead, Michelle Young, said. "These signals together give lenders a more holistic view to actually make a decision."

The company is also introducing LendScore Arc, a credit risk model powered by AI technology. It learns from the

order and timing of a borrower's transactions to predict their ability to repay debt, and the likelihood of delinquency.

The new version of LendScore offers specialized models for auto and home lending that predict creditworthiness for people with those specific types of loans. It also has a short-term lending model designed for companies including buy now, pay later providers.

Plaid said it receives roughly eight million customer requests a month for credit products and services. The new specialized models are intended to attract more customers who might be apprehensive about new credit technology.

"It's a very new thing," Perret said. "We're still talking to people about how it works. Lenders want to be very comfortable."

So far, Plaid has seen the most traction among fintech lenders who are more apt to try new technologies, the company said. Consumer lenders are particularly interested because their loans aren't collateralized and they want to know as much as they can about their prospective borrowers.

The tools are also supposed to help people who have little to no credit history get loans

by providing cash-flow data instead.

The underwriting business follows Plaid's model of focusing on business-to-business relationships with a goal of improving consumers' experience in the financial world, Perret said. Plaid's core business is designed to make it easier for consumers to link their bank accounts with apps, and Perret has that goal in mind with some of the new products the company is currently developing.

Plaid has hinted about launching new products to help businesses and consumers with the payments process. It also has a growing antifraud business, and is doing more integrations with **OpenAI's** ChatGPT and others to allow users to manage finances through AI chatbots.

Plaid's finance chief said earlier this year that Plaid is preparing to go public, and the company has stepped up product development in new areas including credit scoring and payments. Perret said he plans to announce several new products in the near future, some of which could come out this fall.

"We want to continue to push the edge of innovation," Perret said.

Forbion Raises Billions For Biotech

By XAVIER MARTINEZ

Forbion, a Netherlands-based venture firm that is one of Europe's largest biotech investors, has raised 2.3 billion euros, or about \$2.6 billion, in the largest life-sciences venture raise in Europe this year.

About 60% of the money came from European investors and 40% from North American ones, Forbion said.

Backers include Dutch pension managers MN and PGGM, Germany's KfW Capital and Eli Lilly. The new raise brings Forbion's total assets under management to about 7.5 billion euros, or \$8.5 billion, up 50% from two years ago.

Forbion invests in life-sciences companies primarily in Europe and North America across a range of therapeutic areas.

The raise comes as Europe's drug industry leaders are sounding an alarm. Last month, the chairs of nine drug-makers, including AstraZeneca, GSK, Novartis, Roche Holding and Sanofi, published an open letter warning that Europe is losing the race for pharmaceutical investment.

Europe's share of global drug research has fallen to 31% from 43% in 1990, they said, as China, for one, is aggressively building up its biotech muscle.

The signatories are pushing for European governments to spend more on medicines.

Venture capital shows a much larger gap. European funds hold 7% of the global life-sciences venture market, compared with 63% for the U.S., according to the European Life Sciences Coalition, of which Forbion is a member.

Of 67 European Union-based biotech companies that went public in the past six years, nearly all listed outside the EU, the group says.

"There's a lot of debate about making available more capital [in Europe]," said Sander Slootweg, Forbion's co-founder and managing partner. "What we're seeing here are the first signs of that."

Firm Looks to Unlock AI Power Supply

By SARAH KLEARMAN

The data center build-out is exploding across America. But what if AI didn't need more—more chips, more energy, more resources—to meet the intensifying demand for computing power?

Enter Palo Alto, Calif.-based Turba Labs, which has raised nearly \$52 million in combined seed and Series A financing. The two-year-old startup's goal: to double the world's available computing power, or "compute," without building a single new data center.

Turba Labs creates a digital twin of the infrastructure within data centers. Its platform models customers' artificial intelligence use cases and then directs those demands toward the hardware best suited for their level of complexity.

The company's thesis is that optimizing existing AI infrastructure could unlock significantly more compute than is currently available, said co-founder and co-Chief Executive Hans-Juergen Schmidtk. By customizing how AI workloads interact with the underlying hardware, Turba Labs' platform could double the availability of compute. Schmidtk said exactly how much capacity the platform unlocks will vary depending on the infrastructure involved.

Turba Labs' platform could help make more supply avail-



Turba Labs' Patrick Jahnke and Hans-Juergen Schmidtk.

able to meet mushrooming demand for the computing power necessary to run AI models. Demand already outstrips supply, fueling a data center build-out that is on track to become the largest economic bet in U.S. history, The Wall Street Journal has reported. And scarcity of the power, hardware and skilled labor required to build data centers—as well as the willingness of local jurisdictions to approve them—is further complicating progress, according to a report published by Bain & Co. in September.

There are also shortages in various components of AI in-

frastructure, said Schmidtk, describing a "round robin of scarcity."

Schmidtk should know: As the former director of engineering at Meta Platforms, he oversaw large-scale deployment of AI infrastructure for the company.

"There are few people in the world that have more insights into procurement, write-off cycles, maintenance—the questions that anyone who buys chips for data centers [asks]—than him," said Simon Schmincke, a Berlin-based partner at venture-capital firm Creandum, which led Turba Labs' Series A.

Co-founder and co-CEO Patrick Jahnke most recently led a data center team at **SAP**, optimizing its AI usage, among other things. SAP is one of Turba Labs' customers, a company spokesperson said.

The co-founders' understanding of the hardware and software served as the foundation for the "infracode," as Schmidtk described it, on which Turba Labs' platform is built. The company's long-term goal is to usher in the commoditization of compute.

"Compute is going to be the new oil. Not a single business in the world won't run with AI-enabled intelligence in the next three to five years," Creandum's Schmincke said. "It is impossible that we solve the problem with more chips. Energy, water, permits—all of this is constrained. So we need to start thinking about: How can we get more out of the existing?"

Turba Labs works not only with compute providers like data center operators and neoclouds, but enterprises wanting to project and optimize their compute usage, as well as hardware makers who want to project how their products will perform.

Turba Labs has 65 employees across its headquarters in Palo Alto and an office in Heidelberg, Germany, where Jahnke is based.

plants and restarts of a handful of recently closed reactors are considered the quickest way to add more nuclear power.

Meta this year signed a 20-year agreement with Vistra that included 433 megawatts of generation-output increases across three plants in Ohio and Pennsylvania. Last week, Amazon said it signed a 20-year power-purchase deal with Constellation that included an upgrade of a nuclear plant on the western shore of Chesapeake Bay, adding 190 megawatts of power.

Constellation, the country's largest owner of nuclear power reactors, also has a deal with Microsoft, which is supporting the restart of the undamaged reactor at Pennsylvania's Three Mile Island.

Startup Backed By Nvidia Is Raising \$4 Billion

By ROBBIE WHELAN

Nvidia-backed cloud-computing company Lambda is raising up to \$4 billion in a final round of fundraising before the company's planned initial public offering, according to people familiar with the matter.

The new funding will give the company a valuation of \$14.5 billion, excluding the amount of the money raised.

The pre-IPO funding round is led by investment firms **Blackstone** and Coatue Management, both of which have been highly active in the artificial-intelligence and data-center industries.

Lambda management is targeting an IPO in 2027, subject to execution and market conditions, according to a letter sent to the company's limited partners reviewed by The Wall Street Journal.

Lambda's backlog—or total orders that have yet to be filled or shipped—grew from \$15 billion in June to \$50 billion in September of this year, according to the letter.

A Lambda spokesman declined to comment.

Since the spring, the company has been making personnel moves seen as preparing it for public-market scrutiny. In May, Lambda replaced Chief Executive Stephen Balaban, one of the startup's co-founders, with Michel Combes, a veteran CEO formerly of Brightspeed, SoftBank International, Sprint and Alcatel-Lucent. Balaban shifted to the role of chief technology officer.

The company also has looked to the telecommunications industry for additional executive and board talent, adding AT&T CEO John Donovan as a director and hiring Charles Fisher as chief financial officer. Fisher had been executive vice president of corporate finance and development at broadband provider Charter Communications and CFO at car-sharing service Turo.

Lambda is one of a growing crop of startups known as neoclouds, a type of digital infrastructure company that buys graphics-processing units and other chips tailored for training and running large language models then leases them to customers who need computing power to build or use AI tools.



Lambda CEO Michel Combes.

Nvidia has been on an investing tear recently, pumping billions into the neocloud space. The market-leading chip designer owns roughly 10% of both **CoreWeave**, which went public last year, and Netherlands-based **Nebius**. Other neoclouds Nvidia has backed include Iren, Firmus and Nscale.

In February 2025, Nvidia participated in Lambda's \$480 million Series D fundraising round. The company's most recent funding round, in November, was led by investors Mark Walter's and Thomas Tull's TWG Capital and raised \$1.5 billion at a post-money valuation of \$5.9 billion, according to company announcements and valuation estimates by venture-capital platform Forge Global.

The letter said the jump in Lambda's backlog was driven primarily by a \$35 billion commitment from **Anthropic**, maker of the popular Claude family of models. In late August, the Journal reported that Anthropic had signed the \$35 billion cloud deal to rent Nvidia chips from Lambda—in a facility that Nvidia leased from bitcoin miner and data-center developer Hut8 in Texas.

Data-Center Firm DayOne Seeks Up to \$5 Billion in IPO

By P.R. VENKAT AND KIMBERLEY KAO

A **SoftBank**-backed data-center company is seeking to raise up to \$5 billion in a U.S. initial public offering, people familiar with the situation said, in a test of investor appetite for artificial-intelligence-related stocks in the world's busiest equity-fundraising market.

DayOne Data Centers plans to list its American depositary shares on the Nasdaq by the end of the year, these people said. The company filed its

IPO prospectus to the Securities and Exchange Commission on Monday. DayOne declined to comment.

Apart from SoftBank, the data-center operator is backed by major investors such Coatue Management, Hillhouse and Citadel.

The Singapore-based company recorded a more than threefold increase in first-half revenue to \$512 million compared with the year prior, according to the SEC filing. Net loss for the period widened to \$81.9 million from \$13.5 million.

DayOne, previously known as GDS International, was a consolidated subsidiary of Chinese data-center operator **GDS Holdings** before spinning off. It rebranded itself as DayOne last year, and GDS retains a minority stake.

In early June, DayOne said it raised \$4.5 billion in a Series C equity financing, which it will use to accelerate its expansion in markets in Asia and Europe.

Despite rising market volatility and more selective AI investing, strong demand for in-

frastructure continues to drive hyperscalers and AI companies to pour billions of dollars into data centers and computing capacity as they race to expand their AI capabilities.

So far this year, the U.S. has remained the world's leading market for technology companies seeking to tap public investors, drawing companies from across the globe. The depth of the U.S. equity markets and its large base of institutional investors have made the country a preferred destination for companies

looking to go public.

The number of IPOs in the U.S. market reached 208 in the first half of the year, raising \$137.9 billion in total proceeds, according to SEC data. That was driven primarily by SpaceX's \$75 billion offering in June.

Since its establishment in 2022, DayOne has expanded across Asia and Europe, with a presence in Singapore, Japan, Hong Kong, Finland and Spain, among other markets. Morgan Stanley, JPMorgan, BofA Securities and Citigroup are underwriters of the IPO.

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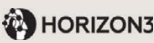


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THE PROPERTY REPORT

Luxury Senior Housing Locks In a Buyer

Investment firm aims to lure boomers who can splurge on their retirement

By PETER GRANT

An investment group is acquiring a luxury senior-housing operator in a \$1 billion deal, seeking to capitalize on the buying power of the aging baby-boom generation.

BDT & MSD Partners, an investment and advisory firm, is taking a majority stake in Sunrise Senior Living, the fifth-largest senior-housing operator in North America, while senior leadership at the privately held firm will own the rest. Sunrise operates more than 230 communities across the U.S. and Canada, serving more than 22,000 residents.

Terms of the purchase from Canada's Public Sector Pension Investment Board weren't disclosed. But the buyer values the deal at more than \$1 billion, according to people familiar with the matter, making it one of the largest senior-housing deals since Covid disrupted the business in 2020.

With the population aging and people living longer, senior housing is becoming one of the hottest commercial-property types. The baby boom, which began 80 years ago, produced about 76 million U.S. births through 1964. That sets the stage for today's unprecedented demand for senior housing.

"The silver tsunami has been a topic since 1998," said Coburn Packard, head of real-estate equity at BDT & MSD Partners. "For the first time, it's not like this thing's going to happen. It's actually happening."

That is a change for the sector, which got clobbered by the pandemic. During the early Covid-19 years, occu-



In Manhattan, Sunrise residents can go to Broadway shows and classes by Juilliard students.

pancy nosedived. Move-ins virtually halted and social-distancing restrictions left residents isolated.

Now, demographic trends are filling those empty rooms. Senior-housing occupancy in 31 major metropolitan markets

reached a postpandemic high of 90.4% in the third quarter, according to data provider NIC MAP. Assisted-living occupancy reached 89.1%, compared with below 74% at its pandemic low.

Most of Sunrise's communi-

ties are more than 90% occupied and many have wait lists, according to Chief Executive Jack R. Callison Jr. The company, which offers a range of options from independent living to memory care, charges roughly \$10,000 a month for

assisted living, not including add-on care services.

Sunrise was founded in 1981 by a husband-and-wife team who lived alongside residents in their first community in Oakton, Va. The company courts the upper end of the market by combining personalized care with upscale dining, amenities and programs designed to keep residents active and engaged.

At Sunrise's two Manhattan locations, for example, residents can take classes and attend performances by Juilliard students, work with visiting artists in dedicated art studios, and attend Broadway shows with backstage discussions, Callison said.

"They want that type of experience," Callison said. "They've had that their entire

life."

BDT & MSD has roots in the family office of computer pioneer Michael Dell, and today it manages capital for his family, as well as other investors. Sunrise marks its first investment in senior housing, but the firm brings extensive luxury-hospitality experience, with investments including The Boca Raton, Four Seasons Hualalai and a stake in hotel operator Auberge Collection.

Sunrise owns fewer than one-quarter of its communities, earning management fees from operating the rest. Its growth plan is to win more management contracts by pairing Sunrise's senior-care expertise with BDT & MSD's experience in luxury hospital-

ity.

Sunrise also hopes to benefit from a dearth of new senior-housing supply, which was limited until recently by

the difficult pandemic years. NIC MAP projected in August that the U.S. could face a shortage of more than 575,000 senior-housing units by 2030, as the population age 80 and older grows by about one-third.

Sunrise's growth plan includes a development pipeline of more than 50 communities with an estimated construction cost of \$7.5 billion. Callison said Sunrise is poised to move quickly with new projects because it kept its development team together during the pandemic and has been picking up sites abandoned by other developers.

The company is now on pace to start six to seven communities a year and plans to increase that to 10 annually by 2030, he said. "When every-

body else was downsizing, we were really investing," Callison said.

Still, the aging of the population won't solve all of the senior-housing industry's problems. Inflation and high interest rates are driving up costs, an immigration crackdown threatens to deepen staffing shortages, and advances in healthcare and technology are helping older adults stay at home longer, delaying their move into senior housing.

Sunrise believes it can counter these pressures by helping residents live longer, healthier lives. The company has been investing in wellness programs that combine fitness, nutrition and social engagement, while exploring emerging therapies aimed at extending healthy lifespans.

"We think Sunrise has a very differentiated approach," Packard said.

90.4%
Senior-housing occupancy in 31 major metro markets in the third quarter

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Underlined quotations are those stocks with large changes in volume compared with the issue's average trading volume.		
Boldfaced quotations highlight those issues whose price changed by 5% or more if their previous closing price was \$2 or higher.		
Footnotes: 1-NY 52-week high; 1-NY 52-week low; dd -Indicates loss in the most recent four quarters.		
Stock tables reflect composite regular trading as of 4 p.m. ET and changes in the official closing prices from 4 p.m. ET the previous day.		

Tuesday, October 6, 2026			Net Chg	Stock	Sym	Sym Close	Net Chg	Stock	Sym	Sym Close	Net Chg
A B C											
AES	AES	1493	0.03	ADM	ADM	82.21	-0.26	BurlingtonSt	BURL	276.43	4.62
Aflac	AFL	113.23	1.25	AresMgmt	ARES	117.74	0.61	CACI Int'l	CACI	599.64	-24.55
AGNC Inv	AGNC	8.70	0.05	AristaNetworks	ANET	215.36	8.46	CDK Group	CDW	139.67	1.75
APA	APA	44.10	0.25	Arm	ARM	302.56	-0.34	CF Industries	CF	116.02	0.1
ASX Tech	ASX	46.78	-0.75	ArrowElec	AXIS	49.40	0.18	CGI A	GIB	69.60	-1.46
ASML	ASML	183.10	-25.76	Axis	AXIS	49.49	0.05	CH Robinson	CHRW	135.05	-5.56
ASTS Space	ASTS	63.12	4.68	AscendisPharma	ASND	22.65	-1.98	CME Group	CME	270.18	0.15
AT&T	AT	24.43	0.19	Assurant	AIZ	270.96	0.45	CMS Energy	CMS	65.07	1.04
AbbottLabs	ABB	146.69	1.60	AstellasLabs	ASAB	298.59	27.46	CNA Fin	CNA	46.25	0.71
Abbvie	ABBV	266.69	0.93	AstraZeneca	AZN	158.61	2.08	CNH Indl	CNH	13.27	-0.03
Accenture	ACN	193.40	-1.65	Atlasian	TEAM	193.98	-2.67	CRH	CRH	83.60	0.95
Acuity	AYI	30.92	-1.86	AtomSenergy	ATO	159.74	1.69	CSX	CSX	47.50	0.07
Adobe	ADBE	238.12	-0.66	Auroralinnov	AUR	5.75	---	CVS Health	CVS	86.43	-0.58
AdvDrainageSys	WMS	130.07	0.64	Autodesk	ADP	262.36	2.10	CVS Design	CDNS	359.55	6.07
AdvFinancials	AEIS	302.77	5.48	AutoZone	AZ	298.57	90.84	GardenProPCT	CPCT	97.65	0.28
AdvMicroElect	AMD	649.42	17.67	Avantor	AVTR	15.42	-0.38	Cameco	CC	93.02	5.55
Aegon	AEG	8.48	-0.01	AveryDennison	AVY	168.45	-1.55	Avant	AVT	11.59	1.27
AerCap	AER	146.27	2.98	AxcelTherap	AXON	418.62	6.81	CanNatRlwy	CN	118.41	-0.91
AffiliatedMrgs	AMF	379.72	-0.93	BCE	BCE	19.75	0.01	CanadianNatRcs	CNQ	48.10	-0.21
AffirmA	AFRM	74.88	0.13	BHP Group	BHP	87.00	1.07	CdnPacKc	CPK	85.43	-0.37
AgilentTchs	A	169.33	-1.70	BJSWholesale	BJ	95.02	1.82	CapitalOne	COF	195.82	0.68
Alcon	ALC	63.19	-1.14	BP	BP	42.61	1.29	CardinalHealth	CAH	233.44	0.32
AirProducts	APD	28.10	1.55	BWX Tech	BWXT	10.75	10.35	Carlisle	CSL	325.74	-5.24
Airbnb	ABNB	160.39	-3.68	Baidu	BIU	87.05	0.06	Carlyle	C	38.88	-0.44
AkamaiNet	AKM	108.62	0.63	BakerHughes	BKH	51.73	-0.25	Carnival	CCL	26.58	1.02
AlamosGold	AG	32.73	0.42	BBVA	BBVA	27.15	0.21	CarpenterTech	CRS	395.71	3.51
Albermarle	ALB	106.35	1.98	BBVA	BBVA	27.15	0.21	CarrierGlobal	CARR	56.10	0.37
Alcoa	AA	43.17	-0.32	BancoBadesco	BBS	49.02	0.26	Carvana	CVNA	63.88	0.16
Alkerm	ALK	63.19	-1.14	BancoDeChile	BCH	38.67	-0.75	CasegyGenStres	CASY	620.80	3.47
Alibaba	BABA	109.26	-1.54	BancSanBrasil	BBSB	5.98	0.20	Caterpillar	CAT	363.44	15.30
AlignTech	ALGN	141.45	0.80	BcoSantander	BSAC	32.11	-0.59	Centene	CNC	9.92	0.38
Allegion	ALC	154.20	1.53	BancoSantaAna	BSAN	14.01	0.11	Cencora	COR	316.37	1.44
AlliantEnergy	LNT	65.49	1.20	BankofAmerica	BAC	56.09	0.64	CentrusEnergy	CVE	31.24	-0.23
AlliantTransm	ALSN	114.75	-1.00	BankMontreal	BMQ	14.09	1.09	Centene	CNC	9.92	0.38
Allstate	ALL	224.27	-0.44	BankNY Mellon	BK	143.73	-0.02	CenterPointEner	CNP	38.56	0.01
AllyFinancial	ALLY	37.62	-0.01	BankNovoScotia	BNS	90.22	0.13	CheniereEnergy	LNG	275.26	0.73
AllyPharm	ALNY	223.94	4.05	Barclays	BNS	23.67	0.08	ChenierePctrs	CP	63.97	0.71
Alphabet A	GOOG	347.68	1.21	BarrickMining	B	40.72	0.72	Chevron	CVX	207.58	1.11
Alphabet C	GOOG	344.59	0.76	BaxterIntl	BAX	24.36	0.14	Chevron	CVX	207.58	1.11
Altria	MO	68.55	0.67	BectonDickson	BDX	180.30	-0.37	Cinergy	CNP	38.56	0.01
Amazon.com	AMZN	256.29	4.89	BendSons	BSP	33.07	0.95	Cintas	CTAS	278.20	0.42
Ambev	ABEV	32.22	-0.03	BentleySystems	BT	62.15	1.26	Citigroup	C	128.52	0.03
Amcor	AMCR	41.77	-0.03	Berkley	WRB	69.65	-0.12	CitizensFin	CFG	64.09	-0.22
AmeriSports	AS	27.76	-0.29	BerkHathwy	BRKH	505.54	1.28	ClinchHarbors	CLH	318.06	-4.31
Ameren	AME	101.68	1.98	BerkHathwy A	BRKA	7581.66	1790.00	Clorex	CLX	33.52	1.51
AmericaMovil	AMX	22.36	0.21	BestBuy	BBY	84.85	-2.54	Clovis	CLX	33.52	1.51
AEP	AEP	121.67	1.94	Biotech	TECH	72.43	-0.15	Clovis	CLX	33.52	1.51
AmeriExpress	AXP	304.55	0.53	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
AmeriFin	AFG	140.07	0.74	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
AmeriHlthcRtr	AHT	50.49	-0.80	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
AmeriMidstream	AMT	21.14	0.58	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
AmeriResources	AR	35.72	1.03	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
Aon	AON	273.99	1.94	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
API Group	APG	41.40	0.74	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
ApollGlbMgmt	APOL	115.95	0.60	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
Apple	APPL	333.63	0.74	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
AppliedInt'l	AIT	344.99	-0.80	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
AppliedMaterls	AMAT	530.27	-12.01	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
AppliedOptoelec	AO	130.16	8.59	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
AppLovin	APP	278.78	-3.19	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
Apv	APT	44.72	0.83	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
Armark	ARMK	55.45	0.22	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
ArchCapital	ACT	65.19	0.46	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51
ArchChem	ACH	94.82	0.46	BlackRock	BLK	113.36	12.97	Clovis	CLX	33.52	1.51

BANKRATE.COM® MMA, Savings and CDs

Average Yields of Major Banks			Tuesday, October 6, 2026							
Type	MMA	1-MO	2-MO	3-MO	6-MO	1-YR	2-YR	25YR	5YR	
National average										
Savings		0.45	0.92	1.08	1.39	1.93	2.10	1.85	1.64	1.78
Jumbo		1.19	0.49	0.48	1.44	1.69	2.07	1.81	1.52	1.72
Weekly change										
Savings		0.00	-0.00	-0.01	0.00	0.01	0.02	0.03	0.03	0.02
Jumbo		-0.01	-0.02	-0.03	-0.01	0.01	0.03	0.01	0.02	0.02

Consumer Savings Rates

Below are the top federally insured offers available nationwide according to Bankrate.com's weekly survey of highest yields. For latest offers and reviews of these financial institutions, please visit bankrate.com/banking/reviews. Information is believed to be reliable, but not guaranteed.

High yield savings					
Bank		Yield	Bank		Yield
Phone number	Minimum	(%)	Phone number	Minimum	(%)
Money market account			Six-month CD		
Peak Bank	\$100	4.27	Quorum Federal Credit Union	\$100	4.40
866-484-5705			800-874-5544		
PIBank	\$0	4.25	Popular Direct	\$10,000	4.35
877-678-0888			800-274-5696		
Newtek Bank	\$0	4.20	Merrick Bank	\$25,000	4.33
888-681-7238			866-638-6851		
One-month CD			One-year CD		
EagleBank	\$1,000	3.65	E*Trade	\$0	4.75
301-986-1800			800-387-2331		
FinWise Bank	\$500	2.68	Popular Direct	\$10,000	4.50
801-545-6000			800-274-5696		
Lone Star Bank	\$1,000	0.20	Quorum Federal Credit Union	\$100	4.50
713-358-9400			800-874-5544		
Two-month CD			Two-year CD		
State Bank of India California	\$1,000	3.50	Popular Direct	\$10,000	4.70
877-707-1995			800-274-5696		
FinWise Bank	\$500	2.68	BTG Pactual Bank	\$500	4.50
801-545-6000			212-652-7200		
Lone Star Bank	\$1,000	0.20	Merrick Bank	\$25,000	4.50
713-358-9400			866-638-6851		
Three-month CD			Five-year CD		
Popular Direct	\$10,000	4.30	Popular Direct	\$10,000	5.00
800-274-5696			800-274-5696		
Merrick Bank	\$25,000	4.18	BTG Pactual Bank	\$500	4.55
866-638-6851			212-652-7200		
Bank Bank, a div of Texas Capital Bank	\$1,000	4.10	Synchrony Bank	\$0	4.50
833-260-4320			866-226-5638		

High yield jumbos - Minimum is \$100,000					
Money market account			Six-month CD		
EverBank	\$100,000	4.10	Quorum Federal Credit Union	\$100,000	4.40
888-882-EVER			800-874-5544		
Credit One Bank, NA	\$100,000	4.05	Credit One Bank, NA	\$100,000	4.25
877-825-3242			877-825-3242		
BankFive	\$100,000	3.65	Luana Savings Bank	\$100,000	4.24
508-679-8551			800-666-2012		
One-month CD			One-year CD		
Bank of Hope	\$100,000	0.20	Quorum Federal Credit Union	\$100,000	4.40
855-325-2226			800-874-5544		
Lone Star Bank	\$100,000	0.20	Credit One Bank, NA	\$100,000	4.25
713-358-9400			877-825-3242		
USAA Federal Savings Bank	\$100,000	0.05	Luana Savings Bank	\$100,000	4.24
800-531-8722			800-666-2012		
Two-month CD			Two-year CD		
Lone Star Bank	\$100,000	0.20	Credit One Bank, NA	\$100,000	4.45
713-358-9400			877-825-3242		
Applied Bank	\$100,000	0.05	E Trade	\$100,000	4.40
888-839-7952			800-387-2331		
Citizens Trust Bank	\$100,000	0.01	Luana Savings Bank	\$100,000	4.40
888-214-3099			800-666-2012		
Three-month CD			Five-year CD		
Luana Savings Bank	\$100,000	3.91	E Trade	\$100,000	4.40
800-666-2012			800-387-2331		
Washington Savings Bank	\$100,000	3.60	Luana Savings Bank	\$100,000	4.40
978-458-7999			800-666-2012		
Lone Star Bank	\$100,000	2.80	Credit One Bank, NA	\$100,000	4.35
713-358-9400			877-825-3242		

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MARKETS DIGEST

EQUITIES

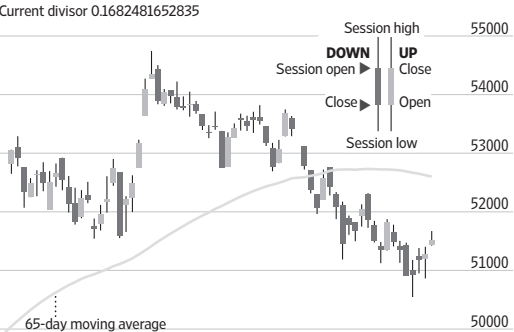
Dow Jones Industrial Average

51521.28▲253.38, or 0.49%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio20.9825.54
P/E estimate *19.5122.32
Dividend yield1.541.58
All-time high54349.12, 08/05/26

LastYear ago



Bars measure the point change from session's open

Weekly P/E data based on as-reported earnings from Biringi Associates Inc.; *Based on Nasdaq-100 Index

Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg	52-Week High	52-Week Low	% chg YTD	% chg 3-yr. ann.
Dow Jones									
Industrial Average	51672.25	51422.90	51521.28	253.38	0.49	54349.12	45166.64	10.6	7.2 15.5
Transportation Avg	19889.89	19634.32	19701.76	-89.80	-0.45	23933.14	15067.87	25.8	13.5 10.0
Utility Average	1048.00	1023.24	1047.19	26.41	2.59	1190.23	1004.50	-8.2	-2.0 9.4
Total Stock Market	77317.47	77002.82	77043.76	402.28	0.52	77313.23	62750.36	16.0	14.1 21.6
Barron's 400	1613.34	1605.27	1606.84	2.46	0.15	1685.46	1318.70	16.5	13.7 19.0

Nasdaq Stock Market									
Nasdaq Composite	27722.75	27592.56	27599.79	122.48	0.45	27599.79	20794.64	21.1	18.7 27.1
Nasdaq-100	31361.37	31208.20	31224.47	148.03	0.48	31224.47	22953.38	25.7	23.7 27.8

S&P									
500 Index	7844.52	7805.96	7818.93	44.98	0.58	7818.93	6343.72	16.4	14.2 22.0
MidCap 400	3715.21	3691.87	3697.48	19.23	0.52	3926.98	3109.89	13.5	11.9 14.6
SmallCap 600	1698.66	1686.26	1689.42	-0.27	-0.02	1828.54	1364.94	17.2	15.1 14.5

Other Indexes									
Russell 2000	2864.83	2825.98	2830.30	-16.84	-0.59	3068.42	2305.11	15.1	14.0 17.5
NYSE Composite	23988.90	23788.62	23921.67	133.06	0.56	24821.68	20912.89	10.4	8.7 16.3
Value Line	658.24	653.06	655.85	2.790	0.43	702.60	590.50	4.0	4.4 7.6
NYSE Arca Biotech	9517.66	9137.78	9228.28	-199.73	-2.12	9539.76	6340.88	41.9	29.0 22.4
NYSE Arca Pharma	1220.60	1199.50	1215.58	9.56	0.79	1315.38	984.85	19.0	8.0 10.8
KBW Bank	172.06	170.28	170.67	0.06	0.04	193.91	143.23	13.8	3.9 30.9
PHLX [®] Gold/Silver	367.06	357.35	363.87	2.96	0.82	470.37	265.03	21.2	6.3 50.5
PHLX [®] Oil Service	95.89	93.91	94.79	-1.17	-1.22	109.24	60.27	44.3	29.3 2.2
PHLX [®] Semiconductor	13349.96	13196.50	13217.82	45.08	0.34	14634.72	6352.07	99.2	86.6 56.1
Choe Volatility	15.54	14.96	15.01	-0.51	-3.29	31.05	13.47	-12.9	0.4 -4.9

Source: Nasdaq PHLX

Sources: FactSet; Dow Jones Market Data

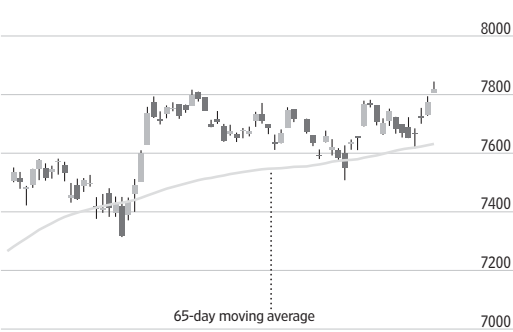
S&P 500 Index

7818.93▲44.98, or 0.58%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio *23.3825.56
P/E estimate *19.8022.17
Dividend yield *1.071.15
All-time high7818.93, 10/06/26

LastYear ago



Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of \$2 and minimum after-hours volume of 50,000 shares.

Company	Symbol	Volume (000)	Last	Net chg	After Hours % chg	High	Low
Grab Holdings	GRAB	21,015.0	3.07	...	unch.	3.08	3.05
NVIDIA	NVDA	8,422.1	239.57	0.33	0.14	251.44	224.41
Procter & Gamble	PG	5,342.7	148.83	0.42	0.28	149.15	148.00
Huntington Bancshares	HBAN	5,279.3	15.33	...	unch.	15.44	15.33
Altimmune	ALT	5,169.5	2.68	0.01	0.36	2.69	2.67
State Street SPDR S&P 500	SPY	5,142.3	779.75	0.66	0.08	779.89	779.09
Apple	AAPL	5,141.7	333.86	0.23	0.07	339.75	324.96
Snap	SNAP	4,996.3	5.79	0.01	0.15	5.81	5.77

Percentage gainers...							
Neogen	NEOG	663.0					
5E Advanced Materials	FEAM	73.2					
iSh 0-5Y Hi Yd Corp Bd	SHYG	590.9					
Penguin Solutions	PENG	3,138.2					
Black Hills	BKH	328.8					
...And losers							
Constellation Brands A	STZ	1,126.9					
Apimeds Pharma US	APUS	551.3					
Ario Technologies	ARLO	90.9					
Worthington Steel	WS	55.6					
Greenland Energy	GLND	144.8					

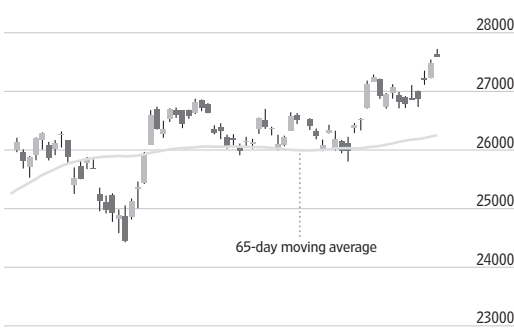
Nasdaq Composite Index

27599.79▲122.48, or 0.45%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio **34.6833.37
P/E estimate **23.8726.95
Dividend yield **0.520.65
All-time high: 27599.79, 10/06/26

LastYear ago



Trading Diary

Volume, Advancers, Decliners

	NYSE	NYSE Amer.
Total volume ¹	1,145,005,171	21,369,549
Adv. volume ²	741,384,889	12,999,422
Decl. volume ²	387,144,627	8,045,181
Issues traded	2,812	301
Advances	1,654	175
Declines	1,083	117
Unchanged	75	9
New highs	50	0
New lows	134	18
Closing Arms ³	0.77	1.07
Block trades ⁴	4,028	204

	Nasdaq	NYSE Arca
Total volume ¹	8,451,475,184	288,608,641
Adv. volume ²	4,963,622,051	207,546,664
Decl. volume ²	3,394,537,800	78,931,012
Issues traded	5,111	2,728
Advances	2,499	2,026
Declines	2,420	663
Unchanged	192	39
New highs	224	190
New lows	229	33
Closing Arms ³	0.71	1.20
Block trades ⁴	50,681	1,348

¹ Primary market NYSE, NYSE American NYSE Arca only.
² (TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

Percentage Gainers...

Company	Symbol	Close	Net chg	% chg	52-Week High	52-Week Low	% chg
Apimeds Pharma US	APUS	7.13	2.54	55.34	59.70	1.51	-61.3
Professional Diversity	IPDN	4.61	1.51	48.71	130.50	2.95	-95.6
Solarmax Technology	SMXT	3.42	1.05	44.30	15.24	1.82	-73.6
Option Care Health	OPCH	31.00	7.63	32.65	36.80	18.01	13.4
All In FutureTech Allian	AIFA	7.67	1.79	30.44	8.93	1.51	51.1
Tradr 2X Long CIEN Daily	CIEX	16.86	3.76	28.70	23.96	8.72	...
Leverage 2X Lg CIEN Dly	CIEG	6.33	1.38	27.75	17.41	3.31	...
Picard Medical	PMI	8.74	1.81	26.12	684.00	2.65	-98.3
Tradr 2X Long CEG Daily	CEGX	15.85	3.10	24.31	40.65	9.81	-50.6
GIBO Holdings	GIBO	44.44	8.67	24.24	77.50	22.60	-31.9
Trinity Biotech ADR	TRIB	7.15	1.38	23.92	52.50	5.81	-78.3
Defiance Tgt 2X Lg VST	VSTL	26.50	4.62	21.12	73.47	18.63	-58.5
Tantech Holdings	TANH	16.88	2.86	20.40	98.00	10.06	-82.2
Jaguar Health	JAGX	5.62	0.89	18.82	1267.88	2.35	-99.5
Modular Medical	MODD	2.73	0.43	18.70	21.15	1.72	-86.6

Volume Movers

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	52-Week Low
FT NY Muni Hi Incm	FMNY	470	4744	24.88	-0.20	27.22	24.61
ArriVent BioPharma	AVBP	19,733	3664	15.09	-46.98	35.83	11.36
Vident Intl Equity Strat	VIDI	458	3612	39.78	-0.43	41.68	31.33
FT Vest Nasd100 Cons Jan	OCJA	621	3427	24.08	0.08	25.47	21.21
Option Care Health	OPCH	65,070	2866	31.00	32.65	36.80	18.03
Franklin Calif Mun Incm	FTCA	12,021	2699	6.84	-0.15	7.47	6.77
Jena Acquisition II Cl A	JENA	813	2350	10.42	-0.10	10.61	10.06
All In FutureTech Allian	AIFA	4,725	2151	7.67	30.44	8.93	1.51
Innov Grw100 Pwr Bf Mar	NMAR	197	2110	33.37	0.13	33.41	26.78
VicSh US SC Hi Div Vol	CSB	203	1984	62.22	0.14	68.26	56.14

* Common stocks priced at \$2 a share or more with an average volume over 65 trading days of at least 5,000 shares. †Has traded fewer than 65 days

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World	MSCI ACWI	1154.55	6.79	0.59	13.8
	MSCI ACWI ex-USA	476.06	2.78	0.59	13.1
	MSCI World	4984.86	32.14	0.65	12.5
	MSCI Emerging Markets	1742.92	3.01	0.17	24.1
Americas	MSCI AC Americas	2958.19	17.261	0.59	14.1
Canada	S&P/TSX Comp	35649.51	130.96	0.37	12.4
Latin Amer.	MSCI EM Latin America	3356.85	12.36	0.37	23.9
Brazil	Bovespa	205835.29	-1076.60	-0.52	27.7
Mexico	S&P/BMV IPC	65312.46	337.38	0.52	1.6
EMEA	STOXX Europe 600	636.63	3.01	0.48	7.5
Eurozone	Euro STOXX	661.32	3.76	0.57	8.0
Belgium	Bel-20	5569.99	71.03	1.29	9.7
Denmark	OMX Copenhagen 20	1502.68	4.79	0.32	-6.6
France	CAC 40	7865.07	30.97	0.40	-3.5
Germany	DAX	25449.19	194.98	0.77	3.9
Israel	Tel Aviv	4198.81	-24.93	-0.59	15.6
Italy	FTSE MIB	51261.40	443.02	0.87	14.1
Netherlands	AEX	1128.33	4.45	0.40	18.6
Norway	Oslo Bors All-Share	2466.54	-5.73	-0.23	27.0
South Africa	FTSE/JSE All-Share	108881.47	554.69	0.51	-6.0
Spain	IBEX 35	19444.20	144.50	0.75	12.3
Sweden	OMX Stockholm	1130.24	8.73	0.78	8.1
Switzerland	Swiss Market	13788.93	85.40	0.62	3.9
Turkey	BIST 100	12374.26	-69.66	-0.56	9.9
U.K.	FTSE 100	10541.69	43.75	0.42	6.1
U.K.	FTSE 250	24215.33	91.58	0.38	7.8
Asia-Pacific	MSCI AC Asia Pacific	2820.69	0.99	0.35	23.3
Australia	S&P/ASX 200	8735.70	49.31	0.57	0.2
China	Shanghai Composite	3842.19	...	Closed	-3.2
Hong Kong	Hang Seng	24280.56	240.22	1.00	-5.3
India	BSE Sensex	73067.81	685.34	0.95	-14.3
Indonesia	JSX Composite	6192.93	74.07	1.21	-28.4
Japan	NIKKEI 225	70683.98	737.12	1.05	40.4
Singapore	Straits Times	5701.54	37.21	0.66	22.7
South Korea	KOSPI	6941.39	-62.35	-0.89	64.7
Taiwan	TAIEX	49822.55	110.51	0.22	72.0
Thailand	SET	1582.22	5.77	0.37	25.6

Sources: FactSet; Dow Jones Market Data

Percentage Losers

Company	Symbol	Close	Net chg	% chg	52-Week High	52-Week Low	% chg
NFT	MI	1.23	-5.77	-82.43	536.00	0.73	-99.6
Armada Acquisition II	XRPN	19.20	-19.45	-50.32	53.00	10.10	84.1
ArriVent BioPharma	AVBP	15.09	-13.37	-46.98	35.83	11.36	-24.4
Opportunistic Trader ETF	WZRD	5.24	-3.54	-40.32	417.60	3.83	-98.5
China SXT Pharm	SXTC	1.25	-0.83	-39.90	83758.79	1.18	-99.99
Alpha Modus Holdings Cl A	AMOD	2.50	-1.28	-33.86	52.00	1.12	-94.4
Tradr 2X Long TEM Daily	TEMT	29.30	-10.98	-27.26	152.22	11.52	-76.0

Futures Contracts

Metal & Petroleum Futures					
	Contract			Open	
	Open	High	hi lo	Low	Settle
Copper-High (CXM)-25,000 lbs., \$ per lb.					
Oct	6.5775	6.6135		6.5775	6.5945
Dec	6.6300	6.6840		6.6105	6.6495
Gold (CMO)-100 troy oz.; \$ per troy oz.					
Oct	4118.00	4183.40	4118.00	4159.20	30.80
Nov	4146.30	4195.60	4118.80	4171.90	30.30
Dec	4169.20	4212.40	4130.70	4187.10	30.30
Jan/27	4192.40	4215.00	4158.50	4206.10	30.40
Feb	4204.20	4247.40	4165.90	4222.10	30.80
March	4216.70	4243.20	4216.70	4238.20	31.00
Palladium (NYM) -50 troy oz.; \$ per troy oz.					
Oct	1215.00	1215.00	1207.00	1163.60	-3.60
Dec	1185.50	1185.50	1157.50	1174.40	-3.60
Platinum (NYM)-50 troy oz.; \$ per troy oz.					
Oct	127.50	137.00	1713.90	1692.70	-14.20
Jan/27	1729.90	1737.00	1690.20	1709.30	-14.40
Silver (CMX)-5,000 troy oz.; \$ per troy oz.					
Oct	60.920	61.375	60.920	61.168	0.299
Dec	61.395	62.210	60.570	61.589	0.289
Crude Oil, Light Sweet (NYM)-1,000 bbls.; \$ per bbl.					
Nov	89.27	90.05	86.86	89.44	0.01
Dec	88.00	88.96	86.00	88.43	0.23
Jan/27	86.92	87.88	85.19	87.42	0.23
June	81.29	81.70	80.13	81.63	0.03
Dec	76.11	76.42	75.49	76.27	-0.02
Dec/28	70.63	70.78	70.27	70.60	0.01
NY Harbor ULSD (NYM)-42,000 gal.; \$ per gal.					
Nov	4.5099	4.6082	4.3513	4.5694	.0242
Dec	4.3532	4.4593	4.2233	4.4231	.0230
Gasoline-NY RB0B (NYM)-42,000 gal.; \$ per gal.					
Nov	3.2324	3.3228	3.1874	3.2732	.0270
Dec	3.0540	3.1280	3.0208	3.0880	.0161
Natural Gas (NYM)-10,000 MMBtu.; \$ per MMBtu.					
Nov	3.078	3.130	3.058	3.114	.048
Dec	3.372	3.418	3.340	3.409	.051
Jan/27	3.736	3.799	3.713	3.789	.060
Feb	3.418	3.455	3.394	3.450	.040
March	2.708	2.743	2.695	2.741	.036
April	2.620	2.651	2.609	2.648	.030

Agriculture Futures					
Corn (CBT)-5,000 bu.; cents per bu.					
Dec	499.25	509.00	496.00	508.00	10.75
March	513.25	523.00	510.75	522.25	10.75
Oats (CBT)-5,000 bu.; cents per bu.					
Dec	417.75	424.00	▲	417.75	
March/27	431.75	439.75	▲	437.50	14.25
Soybeans (CBT)-5,000 bu.; cents per bu.				437.50	11.50
Nov	1280.00	1305.00	1278.25	1303.00	22.25
Jan/27	1297.00	1320.75	1295.25	1319.25	21.75
Soybean Meal (CBT)-100 tons; \$ per ton.					
Oct	352.60	352.90	352.60	353.40	7.50

Cash Prices | wsj.com/market-data/commodities

Tuesday, October 6, 2026

These prices reflect buying and selling of a variety of actual or "physical" commodities in the marketplace—separate from the futures price on an exchange, which reflects what the commodity might be worth in future months.

Tuesday			Tuesday			Tuesday		
Energy						Food		
Coal,C.Aplc.,12500Btu,12SO2-r,w		84.500	BMI Lithium Carbonate, EXW China, +99.5%-v,w		19025	Beef,carcass equiv. index		
Coal,Pwdr,RvBsn,8800Btu,0.8SO2-r,w		14.650	BMI Lithium Hydroxide, EXW China, +56.5%-v,w		17875	choice 1-3,600-900 lbs.-u		346.35
Metals						select 1-3,600-900 lbs.-u		324.75
Gold, per troy oz						Broilers, National comp wtd. avg.-u,w		1.1754
Engelhard industrial		4170.00				Butter,AA Chicago-d		1.3100
Krugerrand,wholesale-e		4364.44				Cheddar cheese,bbl,Chicago-d		145.25
Maple Leaf-e		4468.86				Cheddar cheese,bkl,Chicago-d		133.50
American Eagle-e		4468.86				Milk,Nonfat dry,Chicago lb-d		224.75
Mexican peso-e		5388.10				Coffee,Brazilian,Comp-y		2.9143
Austria crown-e		4096.81				Coffee,Colombian, NY-y		3.5666
Austria phil-e		4385.33				Eggs,large white,Chicago-u,w		0.6450
Silver, troy oz.						Flour,hard winter KC-p		18.25
Engelhard industrial		61.6000				Hams,17-20 lbs,Mid-US fob-u		n.a.
Handy & Harman base		61.3530				Hogs,Iowa-So. Minnesota-u		78.31
Handy & Harman fabricated		76.6190				Pork bellies,12-14 lb MidUS-u		1.1006
Coins,wholesale \$1,000 face-a		43994				Pork loins,13-19 lb MidUS-u		1.0215
Other metals						Steers,Tex.-Okla. Choice-u		n.a.
Platinum,Engelhard industrial		1711.0				Steers,feeder,Okla. City-u,w		374.25
Palladium,Engelhard industrial		1174.0				Fats and Oils		
Aluminum, LME, \$ per metric ton		*3107.0				Degummed com oil, crude wtd. avg.-u,w		n.a.
Copper,Comex spot		6.5945				Grease,choice white,Chicago-h		n.a.
Iron Ore, 62% Fe CFR China-s		*914				Lard,Chicago-u		n.a.
Steel,HRC USA, FOB Midwest Mill-s		*1250.0				Soybean oil,crude,Cent IL-u,w		0.6972
Battery/EV metals						Tallow,bleach,Chicago-h		n.a.
						Tallow,edible,Chicago-u		n.a.

KEY-TO CODES: A=ask; B=bid; BP=country elevator bids to producers; C=corrected; D=CME; E=Manfra, Tordella & Brookes; H=American Commodities Brokerage Co; K=bi-weekly; M=monthly; N=nominal; n.a.=not quoted or not available; R=Sasland Publishing; R=SNL Energy; S=Platts-TSI; T=Cotlook Limited; U=USDA; V=Benchmark Mineral Intelligence; W=weekly; Y=International Coffee Organization; Z=not quoted. * Data as of 10/5

Source: Dow Jones Market Data

Borrowing Benchmarks | wsj.com/market-data/bonds/benchmarks

Money Rates

October 6, 2026

Key annual interest rates paid to borrow or lend money in U.S. and international markets. Rates below are a guide to general levels but don't always represent actual transactions.

Inflation			Week			-52-WEEK-		
	Aug. index	Chg From (%)	Latest	ago	High	Low	High	Low
	level	July 26	Aug 25					
U.S. consumer price index								
All items	334.980	0.32	3.4					
Core	338.041	0.27	2.4					
International rates			Week			-52-Week-		
	Latest	ago	High	Low	High	Low	High	Low
U.S. consumer price index								
Britain	3.75	3.75	4.00	3.75				
Australia	4.60	4.35	4.60	3.60				
Overnight repurchase								
U.S.	3.91	3.87	4.30	3.49				
U.S. government rates			Week			-52-Week-		
	Latest	ago	High	Low	High	Low	High	Low
Discount								
	4.00	4.00	4.25	3.75				
Federal funds								
Effective rate	3.8900	3.8900	4.1100	3.6300				
High	3.9500	3.9500	4.2000	3.7000				
Low	3.8000	3.8000	4.0800	3.5500				
Bid	3.8800	3.8800	4.1000	3.6100				
Offer	3.8900	3.8900	4.1200	3.6300				
Treasury bill auction								
4 weeks	3.890	3.850	4.060	3.550				

Notes on data: U.S. prime rate is the base rate on corporate loans posted by at least 70% of the 10 largest U.S. banks, and is effective September 17, 2026. Other prime rates aren't directly comparable; lending practices vary widely by location; Discount rate is effective September 17, 2026. Secured Overnight Financing Rate is as of October 5, 2026. DTCC GCF Repo Index is Depository Trust & Clearing Corp.'s weighted average for overnight trades in applicable CUSIPs. Value traded is in billions of U.S. dollars. Federal-funds rates are Tullett Prebon rates as of 3:30 p.m. ET. Sources: Federal Reserve; Bureau of Labor Statistics; DTCC; FactSet; Tullett Prebon Information, Ltd.

Exchange-Traded Portfolios | wsj.com/market-data/mutualfunds-etfs

Largest 100 exchange-traded funds, latest session.					
Tuesday, October 6, 2026					
ETF	Symbol	Closing Price	Chg YTD (%)	Chg YTD (%)	YTD (%)
AvantisEM	AVEM	96.14	-0.54	24.8	
AvantisUS\$CValue	AVUV	120.47	-0.22	18.1	
CapGrpDivVal	CDGV	49.82	0.52	14.1	
FidTotalBd	FBND	43.35	0.21	-5.8	
InvsNasd100	QOOM	312.76	0.44	23.7	
InvsCQQQ	QQQ	759.66	0.46	23.7	
InvsCore\$P500EW	RSP	212.33	0.57	10.8	
ISHBitcoin	IBIT	48.49	-0.14	-2.3	
ISHCoreDivGrowth	DGRO	76.55	0.64	10.3	
ISHCoreMSCIEAFE	IEFA	97.25	0.13	8.7	
ISHCoreMSCIEM	IEMG	83.05	-0.63	23.5	
ISHMSCIntDev	IDEV	89.86	-0.23	8.9	
ISHCoreMSCITotInt	IXUS	96.06	-0.04	13.5	
ISHCore\$P500	IVV	782.54	0.55	14.2	
ISHCore\$P6 MC	IJH	74.00	0.43	12.1	
ISHCore\$P6 SC	IJR	138.85	-0.12	15.5	
ISHCore\$P6TotUS	ITOT	169.91	0.49	14.3	
ISHCore\$P6USGrw	IVUS	199.10	0.58	18.6	
ISHCoreUSAggBd	AGG	94.36	0.24	-5.5	
ISHCoreUSMiniUSDBd	IUSB	44.03	0.25	-5.5	
ISHEdgeMSCIUSAQJual	QJUAL	226.47	0.26	14.0	
ISHGoldTr	IAU	78.37	0.71	-3.4	
ISHiBoxx\$GCPbId	LOD	102.14	0.30	-7.2	
ISHMBS	MBS	89.36	0.30	-6.2	
ISHMSCIACWI	ACWI	161.84	0.45	14.4	
ISHMSCIEAFE	EFA	104.22	0.18	8.5	
ISHMSCIEM	EM	68.27	-0.67	24.8	
ISHMSCIEAFEValue	EFV	78.95	0.50	10.6	
ISHNatImmBd	MWB	101.02	-0.10	-5.7	
ISHRussMkt	IWR	109.68	0.47	13.9	
ISHRuss1000	IWB	425.66	0.55	14.0	
ISHRuss1000Grw	IWF	129.19	0.65	9.2	
ISHRuss1000Val	IWD	251.74	0.55	19.7	
ISHRuss2000	IWM	281.34	-0.72	14.3	
ISHS&P500Grw	IVW	146.12	0.61	18.5	
ISHS&P500Value	IVE	231.66	0.50	9.2	
ISHSemiconduct	SOXX	589.45	-0.01	95.7	
ISH10-YTreasuryBd	IEF	89.12	0.23	-7.3	
ISHSilver	SLV	55.45	0.58	-13.9	
ISH20-YTreasuryBd	TLT	77.28	0.22	-11.3	
ISHUSEqFactRotat	DYFN	70.68	0.44	16.2	
ISHUSTreasuryBd	GOVT	21.82	0.16	-5.2	
ISH10-3MTreasuryBd	SGOV	100.86	0.01	0.1	
JPMNasdaqEqPrem	JEPM	61.25	0.10	5.4	
JanusAAACLO	JAAA	50.00	0.02	-0.2	
JPMWetPremiumIncome	JEPI	56.54	0.04	-1.2	
JPMUITShlcm	JPMI	50.25	0.02	-0.7	
ProShlutrQMQQ	TQQQ	84.25	1.36	59.8	
SPDRGoldMini	GLDM	82.45	0.67	-3.4	
SPDRGold	GLD	382.27	0.72	-3.5	
SchwabIntEquity	SCHF	27.60	0.04	14.8	
SchwabUS BrdMkt	SCHB	29.97	0.54	14.3	
SchwabUS Div	SCHD	32.85	0.40	19.8	
SchwabUS LC	SCHX	30.70	0.52	14.1	
SchwabUS LC Grw	SCHG	36.93	0.57	13.2	
SSEnergySel	XLE	63.05	0.47	42.6	
SSEFinSel	XLF	54.01	0.24	-1.4	
SSIndStk	XLV	167.09	-0.17	7.9	
SSIndStk	XLJ	171.58	0.87	10.6	
SSSPDRBd3-M	BIL	91.45	0.01	0.1	
SS SPDR DJIA	DIA	51.56	0.48	7.1	
SSSPDRDevUS	SPDW	50.56	...	13.8	
SSSPDR\$P600	SPY	91.72	0.55	14.3	
SSSPDR\$P500G	SPYG	126.50	0.60	18.6	
SSSPDR\$P500V	SPYV	62.03	0.47	9.2	

	Open	High	Low	Settle</
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Firms Raise More Than \$1 Trillion in Equity Markets

Companies raised \$1.08 trillion across 5,566 deals over



RICARDO MORAES/REUTERS

The Alunorte alumina refinery in Barcarena, Brazil

[illegible]

Data provided by LSEG

Tuesday, October 6, 2026											
Fund			Net YTD			Fund			Net YTD		
NAV			Chg %			NAV			NAV Chg %		
AB Funds											
Municipals			10.37	-0.01	-3.5	Artisan Funds			Dimensional Fds		
American Century Inv			105.05	-0.1	8.4	IntValInt			EngMcKtVa		
American Funds			46.28	+0.27	10.3	Bal Funds			US CoreEq		
American Funds CI			40.22	+0.12	8.4	AggBndInt			2022		
Ampca			46.28	+0.27	10.3	CorBndInt			IntValInt		
AMFutB			41.64	+0.52	9.0	IntBndInt			2022		
BaIA			40.22	+0.14	8.2	SHTBndInt			IntValInt		
BondA			17.04	+0.72	-3.2	IntBndInt			2022		
CapBIA			81.49	+0.40	7.8	HvYdInt			IntValInt		
CapWGrA			82.37	+0.38	10.6	IntBndInt			2022		
CapuCA			63.73	-0.10	11.3	IntBndInt			2022		
EdmIA			105.05	-0.1	8.4	IntBndInt			2022		
GwrthA			90.76	+0.23	12.8	IntBndInt			2022		
ICAA			69.57	+0.45	12.1	IntBndInt			2022		
IncoA			27.15	+0.59	9.9	IntBndInt			2022		
N PerA			76.55	-0.18	8.4	IntBndInt			2022		
NEcoA			88.09	-0.02	21.3	IntBndInt			2022		
NWrrdIA			103.91	-0.65	17.2	IntBndInt			2022		
SmnCpA			67.11	+0.52	13.4	IntBndInt			2022		
WshA			83.09	+0.50	7.9	IntBndInt			2022		

Tuesday, October 6, 2026																	
Fund			Net YTD			Fund			Net YTD								
NAV			Chg %			NAV			NAV Chg %								
AB Funds						Artisan Funds						Dimensional Fds					
Municipals 10.37 -0.01 -3.5						IntValInt 9.31+0.05 2.6						EngMcKtVa 45.66 -0.05 11.2					
American Century Inv 105.05 -0.1 8.4						Bal Funds 53.99+0.42 9.8						US CoreEq 35.08 -0.1 2.2					
American Funds						AggBndInt 53.99+0.42 9.8						2022 22.02+0.09 25.8					
American Funds CI 40.22+0.12 8.4						CorBndInt 57.95+0.02 -2.4						IntValInt 32.19+0.18 10.8					
Ampca 46.28+0.27 10.3						IntBndInt 10.12+0.01 -1.3						IntSmtCo 27.62+0.13 14.1					
AMFutB 41.64+0.52 9.0						SHTBndInt 9.38+0.01 1.0						IntSmtVa 34.86+0.20 15.1					
BaIA 40.22+0.14 8.2						HvYdInt 6.93+0.02 0.8						LgCo 51.89+0.30 15.2					
BondA 17.04+0.72 -3.2						IntBndInt 6.93+0.02 0.8						US CoreEq 56.59+0.28 14.9					
CapBIA 81.49+0.40 7.8						Artisan Funds III						US CoreEq 50.44+0.22 15.0					
CapWGrA 82.37+0.30 11.6						SHS6P500IDX903.37 ...						US Small 59.65+0.05 17.0					
CapuCA 63.73 -0.10 16.3						StratAggFunds 9.48+0.02 0.6						US SmtCo 60.15 -0.06 15.7					
EdmIA 105.05 -0.1 15.4						Calamos Funds						US TgdVal 66.57+0.25 15.7					
GwrthA 90.76+0.23 12.8						MidCap 26.29+0.01 4.6						Dodge & Cox					
ICAA 69.57+0.45 12.1						CausewayInt 64.42+0.22 9.3						Balanced 13.59+0.32 3.2					
IncoA 27.15+0.59 0.9						CausewayInt 25.24+0.22 9.3						Income 12.03+0.33 3.3					
N PerA 76.55 -0.18 8.4						Columbia Class I						Intl Stk 18.21+0.15 10.6					
NEcoA 88.09 -0.02 21.3						SelyColumbiaA259A+1.76 65.4						Stock 17.39+0.68 0.6					
NWrrdIA 103.91 -0.65 17.2						Columbia Class I						TotalBondFds					
SmtCA 67.11+0.02 23.4						DivInclm 33.91+0.24 11.3						DotLineDn 8.36+0.02 -2.8					
WshA 83.59+0.50 7.9																	

ChildFund.org

NAV	Net Ytd		Fund	Net Ytd		Fund	Net Ytd				
	NAV	Chg % YTD		NAV	Chg % YTD		NAV	Chg % YTD			
Fidelity Investments											
27m21.69	+1.58	15.2	Balanc	35.75	+0.14	12.1	GIBA	86.72	+0.12	7.8	
6g	39.28	+0.04	0.6	BluCch	30.51	+1.14	22.5	Franklin A1			
7f	17.29	-0.09	0.64	BluCkChpGr	50.66	+0.21	21.1	IncomeA1	2.50	+0.01	4.5
1e14.97	+0.17	12.2	Contra	28.21	+0.04	16.2	FrankTemp/Frank Adv				
27	22.32	-0.10	3.45	ContraK	28.35	+0.04	16.3	IncomeAdv	2.47	+0.01	4.7
7.05	-0.02	-4.5	Cplnc	11.25	+0.06	16.2	FrankTemp/Frankin A				
8.21	-0.13	-1.3	GrCo	61.20	+0.23	29.9	DynaTech A2153.57	0.07	15.7		
25	55.12	+0.14	15.2	InvGrBd	9.60	+0.02	-1.6	Growth A	150.50	+0.89	11.8
28.05	-0.16	15.0	LowP	41.63	+0.16	11.5	RisDv A	96.62	+0.62	7.3	
21.54	-0.04	15.4	Magin	15.89	+0.08	18.5	Guggenheim Funds Tru				
48.85	-0.25	30.9	NASDAQ	35.16	+1.55	19.2	TruRetRIrd Clndst NA				
67.24	-0.32	10.6	PUTC	28.47	+0.05	35.7	Harbor Funds				
17.11	+0.03	0.62	Ortint	28.73	+0.15	11.2	CapAdInst	132.20	+1.16	13.4	
50.70	-0.35	3.5	SAIUSMidVld	5.97	-0.01	1.3	DispValMCI	30.69	+1.04	11.7	
25.05	-0.13	21.0	SAIUSTreblnd	25.00	-0.19	9.6	John Hancock				
42.46	-0.26	15.2	SAISQtdlyLd	25.46		12.7	BondR6	12.86	+0.03	-2.9	
29.15	-0.17	15.2	SRIUSGrnRet	26.13	+0.11	12.9	JPM CorpBond	9.81	+0.01	-2.8	
8.62	-0.02	-2.7	SrsEmerGbl	32.19	-0.21	30.6	Eqinc	28.23	+0.16	15.2	
15.74	-0.03	2.5	SrsGbl	11.22	+0.03	15.4	LCpCgWth	88.33	+0.33	8.0	
4.83	-0.01	-1.6	SrsGrnCort	35.68	+0.13	30.9	JPM CorpBond	9.83	+0.02	-2.7	
35.57	-0.21	7.52	SrsIntGrw	20.86	+0.03	9.2	CorePlusBd	6.90	+0.02	-2.0	
21m24.95	+1.13	15.1	SrsIntVal	16.78	+0.10	27.8	Ltd Abbett I				
27.22	-0.14	15.1	TotalBond	9.10	+0.01	-0.6	SHDurenc	3.78		0.9	
Pr 19.92	+0.05	15.0	Fidelity Select				Metroplitan West				
9.98	-0.02	15.0	FISAI				TruRetBd	8.64	+0.02	15.1	
divisor 1											
27.91	+0.81	19.5	FISAI CndnFnd	15.74	+0.12	10.5	MFS Funds				
			FISAI SlnFndFnd	9.65	+0.01	-1.9	IE	42.67	+0.31	5.2	
			IntValFnd	14.49	-0.08	15.1	MFS Funds Class 1				
			TotalBd	8.62	+0.02	-2.7	Value	53.26	+0.25	7.1	
Fidelity Selects											
28.79	-0.10	8.6	Semiconductors	67.51	+0.35	70.2	NetNet Funds				
31.97	-0.11	0.13	Tech	59.55	+0.18	48.6	LSGrowthY	33.95	+0.11	2.2	
34.81	-0.13	0.13	Fidelity Strategic A								
35.04	+0.13	13.4	StratAdEmrMkt NA								

id	NAV	Net YTD	%Ret	Fund	NAV	Net YTD	%Ret	Fund	NAV	Net YTD	%Ret	Fund
thex Funds				Strat&MunBond	NA	...	NA	SmGthAdm1	122.18	...	0.04	...
thex Funds	77.84	+0.45	15.2	StratAdFidInt1	16.32	-0.06	10.5	STIGradeAdm1	10.17	...	0.00	...
Westbury Fds				TLA/CREF Funds				STIPStbAdm1	24.28	...	0.00	...
CPStr	22.98	+0.12	11.1	EqlqHsth	53.90	+0.30	14.9	TotBdAdm1	9.22	...	0.00	...
IM Funds C1				IntlGrGldInst1	30.78	+0.10	10.5	TotIntBdAdm1	18.74	...	0.00	...
ReturnBond	11.42	+0.03	-2.7	IntGrGldInstH	83.44	+0.57	9.8	TotBdAdm1	46.14	...	0.00	...
US Fds Inst1				VANGUARD ADMIRAL				TotStAdm1	186.19	...	0.00	...
BUDSH	9.47	+0.03	NA	500Adm1	721.63	+4.21	15.2	TxMcapAdm1	141.24	...	0.00	...
RT	NA	...	NA	BalAdm1	54.52	-0.22	7.9	TxMlnr	22.88	...	0.00	...
US Funds A				CatAdm1	10.93	-0.31	1.9	USGrAdm1	208.72	...	0.00	...
omeFd NA	...	NA	...	CapAppAdm1	r274.58	-0.01	26.6	ValAdm1	85.43	...	0.00	...
US Funds I2				DivAppAdm1	64.52	+4.49	9.5	WdsrAdm1	92.40	...	0.00	...
ome NA	...	NA	...	EdmAdm1	50.47	-0.35	1.8	WellsAdm1	60.82	...	0.00	...
US Funds Inst1				EqIncAdm1	100.45	+0.85	9.9	WellsAdm1	81.73	...	0.00	...
omeFd NA	...	NA	...	ExpAdm1	122.44	+0.09	14.3	WdsrAdm1	82.74	...	0.00	...
ne Funds				ExtndAdm1	179.16	+0.16	14.8	VANGUARD FDS				
Cap	22.84	+1.57	6.9	GrlncAdm1	124.10	+0.06	14.7	DvldGro	31.98	...	0.00	...
CapGow I	92.67	+0.65	9.1	GrwthAdm1	286.06	+1.91	14.3	FTAWldAdm1	52.17	...	0.00	...
thex Funds Class A				HthCaresAdm1	8.23	...	...	LfLifeGro	56.16	...	0.00	...
LargCap NA	49.51	+0.29	14.9	HYCORAAdm1	5.30	-0.02	-0.1	LfLifeGro	36.99	...	0.00	...
thex Funds Class Y				IntProAd	21.86	-0.04	0.1	PmpcPrCo	47.19	...	0.00	...
LargCap NA	44.94	+0.29	15.1	IntlFechd1	53.72	+6.84	38.3	STAR	30.83	...	0.00	...
web Funds				IntlGrAdm1	123.73	-0.04	0.3	TgtR2020	28.55	...	0.00	...
0 Inv r	16.77	+0.10	10.5	ITBondAdm1	9.85	-0.02	-0.6	TgtR2025	21.91	...	0.00	...
USInst r	38.13	+0.16	18.9	ITGradeAdm1	8.31	-0.03	-3.2	TgtR2030	45.62	...	0.00	...
SP	31.75	+0.11	10.6	LarCapAd	181.55	+0.19	15.2	TgtR2035	29.89	...	0.00	...
M Psel	20.20	+0.11	15.2	LargCapAdm1	40.10	+1.30	12.8	TgtR2040	55.18	...	0.00	...
SP Sel r	18.86	+0.10	15.1	MultHyAdm1	9.96	-0.01	-3.3	TgtR2045	38.84	...	0.00	...
Advisor				MultAdm1	13.03	-0.02	-3.7	TgtR2050	67.06	...	0.00	...
AdCorFin	NA	...	NA	MultAdm1	10.69	...	-0.4	TgtR2060	69.09	...	0.00	...
AdCorFin	8.76	+0.01	-2.3	MuShAdm1	15.66	...	...	TgtR2075	74.95	...	0.00	...
AdCorFin	19.50	-0.12	28.4	PmpcAdm1	r238.68	-0.11	26.4	TgtRetInc	14.09	...	0.00	...
AdCorFIDUS	22.26	+0.08	17.4	RealEstAdm1	129.44	+1.17	4.5	Welltn	47.34	...	0.00	...
AdIntFin	NA	...	NA	SmCapAdm1	137.48	+1.19	14.0	VANGUARD INDEX FDS				

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HEARD_{ON THE} STREET

FINANCIAL ANALYSIS & COMMENTARY

Oura Spotlights Risks of One-Hit Wonders

The smart ring maker pitched itself as a tech platform, but investors saw through that

Oura's glossy smart ring is everywhere these days: in high-profile TV ad campaigns and on the fingers of plenty of people.

Yet when Oura tried to go public late last month, it couldn't find enough buyers at its proposed price and shelved the listing. The company blamed jittery markets, despite major stock indexes being near record highs, and said it could afford to pick its moment.

Surging Treasury yields were certainly part of the problem. The bigger challenge was a mismatch between how Oura sees itself and how prospective investors saw it.

It pitched itself as a technology and data platform worth as much as \$15 billion. Many investors saw a fancy wellness product instead.

That's more than semantics. Technology platforms can scale exponentially and cheaply, while gadget makers have to keep convincing people to buy the next one. Investors are right to be skeptical of one-hit wonders, at least until they prove they can become something more. That's because they have learned the hard way. **Peloton**, Fitbit, Casper Sleep and GoPro all built buzzy brands quickly, then hit the same wall: They had to keep selling the product to keep revenue growing.

"The consumer wallet," says Stephanie Davis, a health-tech analyst and adviser, "is a very quick adopter of solutions and a very quick abandoner of solutions."

Jay Ritter, a University of Florida professor who studies IPOs, tracked 13 single-product consumer companies that went public between 2005 and 2024. Five years after listing, their shares lost about 32% on average from the IPO price, while the market rose 49%. More than 1,200 other IPOs in his sample gained 68% on average over their first five years.

The exception is revealing. Roku, the only single-product maker on the list to beat the market, turned its streaming device into an advertising platform.

In June, Fox Corp. agreed to acquire it in a \$25 billion deal. The lesson is that a consumer product



About 80% of Oura's revenue still comes from selling rings.

usually needs to become something more, whether a platform, a recurring subscription or a product that someone other than the consumer pays for.

Oura isn't primarily any of those yet, but it has potential.

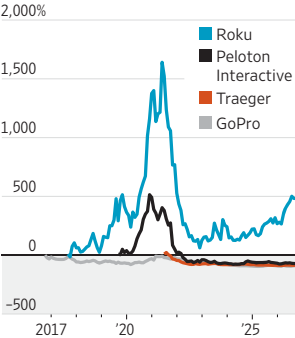
Its prospectus calls the company a "health intelligence platform" built on more than 40 billion hours of biometric data tracked over time. Layer software and AI on top, and there's a credible case that Oura could turn that data into services that drugmakers, employers or insurers will pay for.

But calling a product a platform doesn't make it one economically, at least not yet.

About 80% of Oura's revenue still comes from selling rings, and just 20% from memberships. Its overall gross margin is about 55%, well below what digital-health software companies typically earn.

Yet Oura was asking for about 10 times trailing revenue. Fitbit was sold to Google for less than

Share-price performance of single-product companies

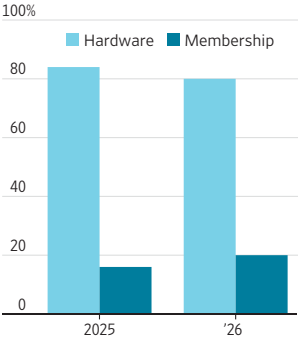


Sources: FactSet (performance); Oura's S-1 (share of revenue)

two times revenue.

"Hardware-centric businesses naturally demand a lower sales multiple," says Robin Boldt, chief investment officer at Rock2 Capital, a healthcare-focused hedge fund. "The ability to sustain and even accelerate subscription growth would make public investors more comfortable."

Share of Oura's revenue, nine months ended June 30.



Oura does have a recurring business: More than five million members pay about \$6 a month, and the company says 85% stick around after a year. But successful platforms are built on dependence.

Developers make a living on Apple's App Store; drivers and restaurants rely on Uber. Leave Oura, and you lose little more than your

sleep history. So Oura has to keep spending heavily on marketing—about a fifth of revenue—to sell new rings every year.

So how does a single-product company thrive over the long haul? One route is to stop being a single product.

Garmin was best known for car GPS units, a business that smartphones gutted. It now makes most of its money from fitness watches, outdoor gear and aviation and marine electronics.

Another is to turn the product into a platform, as Roku did. It sells its streaming players at thin margins and makes money from advertising and a cut of subscriptions.

The most promising route for Oura, and for other wellness startups such as Whoop, is to get someone else to pay. Patients get ResMed's CPAP machines and Dexcom's glucose monitors largely because insurers cover them. Hinge Health, which offers app-based physical therapy for back and joint pain, is paid mostly by employers and health plans.

Oura already has several health-care partnerships. For instance, its temperature data feeds Natural Cycles, a fertility app, and employers spend heavily on fertility care. But it still has to show payers that wearing the ring actually improves people's health, not just that it measures it accurately.

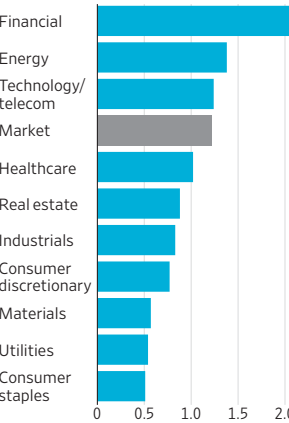
The easiest route, at least for shareholders, might be to get bought. A tech company could theoretically buy Oura, but a health-care giant might be the more natural owner. Eli Lilly invested in Oura pre-IPO and had indicated interest in buying more. Lilly could decide there is real value in knowing whether patients on Zepbound and Mounjaro are sleeping better, moving more and improving other measures of health.

Oura doesn't need to become the next Apple or even the next Garmin. It needs to prove that the data it collects is valuable to someone other than the consumer—and that it does more than just sell pricey rings.

—David Wainer

These Company Insiders Are Selling. Should You?

Unique Seller/Buyer Ratio as multiple of long-term sector average in the third quarter



Source: VerityData

When investors hear the words "insider trading," they think of profitable stock tips exchanged on a golf course or through some coded message: "Blue Horseshoe loves Anacott Steel."

But executives legally buy or sell tens of billions of dollars worth of their own companies' shares each year. Parsing that publicly available information can help us non-insiders too if we can guess why they did it. Sometimes it's an urge to take profits after an exceedingly strong run or snag a bargain when markets are too pessimistic.

Big Wall Street banks will unveil third-quarter results next week. **Goldman Sachs**, **Morgan Stanley** and **JPMorgan Chase** have all more or less quadrupled their earnings per share in a decade and the broader KBW Nasdaq Bank Index hit a record this summer.

Are investors too optimistic? The

number of financial executives buying their own stock fell to the lowest in almost 23 years during the third quarter, according to Ben Silverman, head of research at VerityData. The number of sellers wasn't elevated. That still left the "Unique Seller/Buyer Ratio" his company tracks the highest of any sector relative to its long-term average during the period.

Banks' profitability measures, such as return on tangible common equity, are at their highest in years for some large institutions. But rising consumer stress, problems bubbling up in private credit and a record borrowing binge by AI

companies are all concerns.

Another industry where executive trading has been lopsided is energy, recently boosted by rising oil prices stemming from the war with Iran. It's particularly pronounced among some smaller oil refiners, including **Par Pacific** and PBF, where executives have been selling. Those companies' shares are up 147% and 206% this year through Tuesday, respectively, and just under all-time highs.

Oil above \$100 gets the headlines, but the effective price per barrel of diesel cranked out by refineries topped \$200 last week before European countries agreed to release some stockpiles. That's unsustainable, and refining executives know it. While their share prices don't assume the profit bonanza can

last forever, investors might be more optimistic about its staying power than people with decades of experience in the business.

Executive trading is far from a foolproof timing signal because they aren't always good judges of how excited or dejected Wall Street is about their sector. It's more useful in the case of individual companies, according to Silverman.

Some look enticing on that measure. The sector with the lowest ratio of sales to buys is consumer staples, at half of its long-run average. Consumer discretionary stocks are also subdued. Recent purchases from executives at **Altria**, **Tyson Foods** and **Celsius Holdings** stand out.

Executives will never tell you outright when to buy or sell their stock. Sometimes their money talks for them.

—Spencer Jakab

MONEY & INVESTING

Stock Spotlight

Lamb Weston

The maker of french fries rose more than 7% after the company raised its outlook for the year. It also reported better-than-expected quarterly earnings.

Norsk Hydro

The Norwegian company said it expects a further financial hit in the fourth quarter following gas supply challenges at its alumina refinery in Brazil. Its shares fell 2% in Oslo.

Option Care Health

Private-equity firm CD&R and healthcare services provider McKesson are buying the company, which offers infusion therapy and*

services to patients at home. The deal pushed up Option Care's stock more than 30%.

Genmab

Shares jumped 4% in Tuesday's trading after the biotechnology company and partner AbbVie said their Epkinly drug helped extend the time patients with a common type of lymphoma lived without the disease getting worse in a late-stage clinical trial. AbbVie shares ticked up less than 1%.

Informa

The events and academic-publishing group said it plans to separate its academic business, Taylor & Francis, and buy business-to-business live events company Clarion Events for

an enterprise value of £2.24 billion pounds, or \$2.96 billion. Shares finished Tuesday's trading in London 3% higher.

WEDNESDAY'S EVENTS:

- ◆Economic data: Federal Open Market Committee minutes for the meeting of Sept. 15-16 will be released.
- ◆Treasury auction: 10-year notes

EARNINGS EXPECTED:

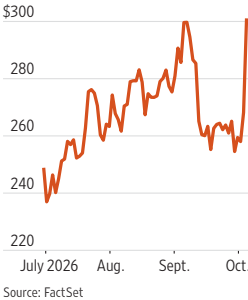
Levi Strauss, Applied Digital

Today in Market History

On this day in 1996, the Fox News Channel was launched.

The sector with the lowest ratio of sales to buys is consumer staples.

Constellation Energy share price



Constellation Energy Rises

Shares of Constellation Energy rose 12% in Tuesday's trading after the company agreed to a 20-year deal with Google to boost output at 11 nuclear reactors,

Dimon Flags Mythos Risks

JPMorgan Chase Chief Executive Jamie Dimon said that the release of Anthropic's Mythos artificial-intelligence model has raised the stakes of cybersecurity risks across the globe.

Cyber risks "went up 10-fold after Mythos," Dimon said on Tuesday in an interview with Bloomberg TV. "AI created vulnerabilities that we didn't know about," he added.

The Trump administration has warned bank executives about the risks posed by Mythos.

Anthropic's model excels at finding software vulnerabilities and hasn't been released broadly to the pub-

lic.

Dimon said he believes AI will have huge positive impacts.

"The downside is obviously what you read about with the agents and Mythos and all these things that can cause trouble," Dimon said. "I'm not going to get hysterical over, 'Is it existential or not?' What we're doing is rolling up our sleeves and going to work to fix it."

Anthropic Chief Executive Dario Amodei has acknowledged the risks presented by rapidly developing AI models. He has called on the AI industry to slow down development of advanced models to give them enough time to ensure it is being done safely.

—Joseph De Avila